



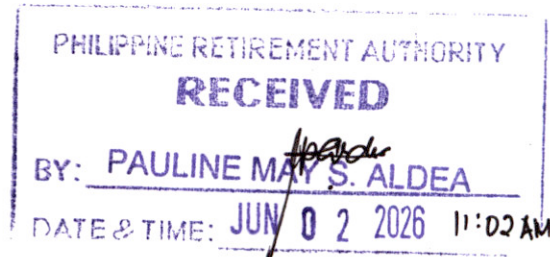
Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City, Philippines

CORPORATE GOVERNMENT AUDIT SECTOR
Cluster 6 – Social, Cultural, Trading, Promotional and Other Services

June 1, 2026

THE BOARD OF TRUSTEES

Philippine Retirement Authority
29th Floor, BDO Towers Valero
8741 Paseo de Roxas, Makati City



Gentlemen/Mesdames:

Pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree (PD) No. 1445, otherwise known as the Government Auditing Code of the Philippines, we transmit herewith our report on the results of the audit of the accounts and transactions of the **Philippine Retirement Authority (PRA)**, for the years ended December 31, 2025 and 2024.

The report consists of the Independent Auditor's Report, the Audited Financial Statements, the Observations and Recommendations, the Status of Implementation of Prior Year's Audit Recommendations and the Annex.

The Auditor expressed a Qualified opinion on the fairness of presentation of the financial statements in view of the following:

1. The Retained Earnings (RE) account, with a year-end balance of P3.637 billion, is overstated by P23.842 million, with the corresponding misstatements in several affected accounts, due to the erroneous adjustment and the improper recognition of the reversal of allowance for impairment directly in RE account instead of recognizing it prospectively in Profit or Loss. Additionally, the details of the prior period adjustments totaling P192.004 million are not adequately disclosed in the Notes to Financial Statements (Notes to FSs). These deficiencies are not in accordance with Paragraphs 36, 38, and 42 of the Philippine Accounting Standard (PAS) 8 and have affected the fair presentation of the balances of the said accounts in the financial statements. Furthermore, the dividend declaration in Calendar Year (CY) 2025 was incorrectly accounted for as a prior period adjusting event rather than as a current year transaction, resulting in the adjustment of the declared dividends of P294.960 million against the prior year's balance of the Dividends Payable account, which is contrary to Paragraphs 12 and 13 of PAS 10.
2. The faithful representation of the Restricted Funds (RF) invested in time deposits (TDs) totaling P22.168 billion could not be established due to discrepancies amounting to: (a) P462.338 million between the confirmed bank balances and the results of the inventory of Certificate of TDs (CTDs); (b) P51.047 million between the general ledger (GL) balance and supporting schedules; and (c) P34.490 million between the balances per

books and the confirmed bank balances. These discrepancies were attributable to the incomplete supporting documents and subsidiary ledgers (SLs), unadjusted long-outstanding reconciling items (RIs), heavy reliance on manual procedures, and deficiencies in internal controls, which is inconsistent with the requirements of Paragraph 15 of PAS 1. Furthermore, the interest earned from Visa Deposits (VD) of retiree members for the period CYs 2022 to 2025, totaling P710.123 million, was recognized as PRA's income despite the absence of a clear legal basis or a duly approved arrangement, resulting in potential misstatement of both income and liabilities accounts by the same amount, while the source and basis of computation of the interest income were not disclosed in the Notes to FSs. These conditions are contrary to Paragraph 4.48 of the Conceptual Framework for Financial Reporting (CFFR), and Paragraph 122 of PAS 1.

3. The correctness of the balances of the Trust Liabilities (TL) – VD and TL – Interest on VDs accounts, aggregating P22.927 billion as at year-end, could not be established due to: (a) long-standing unreconciled differences of P206.135 million between these liability accounts and their corresponding contra-asset accounts totaling P22.721 billion; and (b) absence of complete and reliable subsidiary records. These conditions impaired the verifiability and fair presentation of the accounts in the financial statements, contrary to Paragraph QC26 of CFFR.
4. The correctness of the Cash in Bank (CIB) account, with a year-end balance of P296.516 million, could not be ascertained due to unreconciled differences and other RIs totaling P16.295 million between the balances per books and per bank records that remained unadjusted as at year-end. These deficiencies were caused by: (a) unadjusted long-standing RIs; (b) absence of SLs for each CIB account; (c) the delayed and/or non-preparation of Bank Reconciliation Statements (BRSs), and (d) non-cancellation of various stale checks, resulting in the understatement of the CIB account by P9.098 million, thereby affecting the fair presentation of the CIB account balance in the financial statements, contrary to Paragraph 15 of PAS 1.
5. The correctness of the Accounts Receivable account with a net carrying amount of P196.038 million as at year-end could not be ascertained due to non-compliance with the Expected Credit Losses (ECL) measurement requirements for impairment of financial assets under Paragraphs 5.5.17 and 5.5.18 of the Philippine Financial Reporting Standard (PFRS) 9.
6. The balances of the Lease Payable (LP) and Right-of-Use (ROU) Assets accounts amounting to P111.188 million and P114.328 million, respectively, are not fairly presented in the financial statements due to the doubtful recognition of LP and ROU assets totaling P103.254 million. The lease terms used in measuring these balances for two lease renewals could not be reliably established because the renewals were not supported by duly executed lease contracts, contrary to Section 2.30 of CFFR and Appendix B34 of PFRS 16. Furthermore, the LP account was understated by P0.567 million, while the ROU Asset and Prepaid Rent accounts were overstated by P0.967 million and P1.500 million, respectively. These misstatements, together with the resulting inaccuracies in other related accounts, arose from errors in the measurement, recording, and depreciation computation for one lease contract, which is inconsistent with Paragraphs 23, 24, and 26 of PFRS 16.

7. The correctness of the balances of Property, Plant and Equipment (PPE) - Machinery and Equipment, Furniture and Fixtures, Motor Vehicles, and other PPE items, with an aggregate carrying amount of P40.653 million as at year-end, could not be established due to significant discrepancies between the report on physical count of PPE (RPCPPE) and the books amounting to P26.517 million, caused by: (a) missing or non-existent items totaling P11.984 million; (b) erroneous recording of Subscription Expense amounting to P2.983 million and advance payments of P4.780 million for purchased vehicle; (c) unrecorded PPE items amounting to P2.407 million; and (d) lapses in the preparation of RPCPPE, thereby affecting the fair presentation of the PPE account in the financial statements, contrary to Paragraph 15 of PAS 1.

For the foregoing observations which caused the issuance of a Qualified opinion, we recommended that the PRA Management:

1.1. Direct the Financial Management Division (FMD) to:

- a. Reclassify the reversal of Allowance for Impairment from RE to profit or loss as impairment gain, correct the erroneous adjustment by recording the correct impairment loss for Visitorial Fees, and recognize the corresponding Deferred Tax Assets in accordance with the nature of underlying transaction and the requirements of PFRS 9 and PAS 12;
- b. Thoroughly review and analyze all proposed adjustments and refer to the Chart of Accounts for Government Owned and Controlled Corporations to ensure the use of the appropriate accounts before recording transactions in the books;
- c. Conduct a mandatory review at year-end of all entries posted to the RE account and correct any erroneous or inappropriate adjustments in accordance with applicable accounting standards;
- d. Provide adequate disclosures in the Notes to FSs about the nature, amount, and financial statement impact of prior period error corrections, including disclosures relating to dividends declared after the reporting period but before the authorization of the financial statements for issue; and
- e. Ensure that dividends are recognized only upon declaration and accounted for in the period in which the declaration is made, in accordance with applicable accounting standards;

2.1 Direct the FMD to:

- a. Standardize the CTD inventory report to reflect all essential information necessary for verification, and ensure its monthly reconciliation with the bank confirmations, and the GL, while all identified RIs must be investigated, documented, and resolved on time;
- b. Strengthen internal controls by ensuring supervisory review of the reconciliation results, maintaining proper segregation of duties so that recording, reconciliation, and review functions are independently performed, and enhancing manual spreadsheets with appropriate validation and control features;

- c. Capacitate personnel on the effective use of available systems and tools, ensuring accuracy, consistency, and accountability in financial recording and reconciliation processes;
- d. Establish and maintain complete SL, supported by periodic monitoring and reporting mechanisms on the status of reconciliation activities, to ensure sustained oversight and the timely resolution of outstanding issues;
- e. Initiate the adoption of an automated or system-supported reconciliation process capable of performing transaction matching, generating exception reports, and maintaining reliable audit trails, while optimizing the functionality of the Retiree Database Management Information System and Retiree Information Management System pending full automation;
- f. Prioritize obtaining a formal legal opinion and Board approval outlining the authority and basis for the income recognition of interest from retirees' VDs, including the determination of a fair and mutually agreed interest-sharing rate, in compliance with the applicable laws, rules, and accounting standards governing trust funds;
- g. Reassess the accounting treatment of interest earnings pending formal approval and adjust prior period financial records, where necessary, to correct misstatements due to recognition of interest income without proper legal authority; and
- h. Enhance disclosures in the Notes to FSs by presenting the source of interest earnings, the applicable interest rates for retiree members, the basis for determining the interest-sharing arrangement, and the computation of the respective shares of the retirees and PRA, to promote transparency and accountability, and informed financial reporting;

3.1 Direct the FMD to:

- a. Reconcile regularly the TL – VDs and Interest on VDs accounts with the corresponding Other Non-Current Assets – RF accounts and related records on a comprehensive basis, and subsequently, prepare and record the necessary adjustments for all identified RIs, supported by adequate documentation;
- b. Complete, maintain, and institutionalize the regular preparation of detailed SLs for all retiree-members with VDs and related accounts to corroborate the GL balances of the TL and related RF accounts at any given point; and
- c. Designate accountable personnel with clearly defined and continuing responsibility for the monitoring, reconciliation, maintenance, and reporting of TL accounts and related RFs to ensure the completeness and reliability of records and prevent disruptions arising from personnel turnover or reliance on temporary staffing arrangements;

4.1 Direct the FMD to:

- a. Investigate, verify, and conduct a detailed review of the discrepancies in the unadjusted balances of the CIB-Foreign Currency accounts with the Landbank of the Philippines Cebu Branch and Philippine Veteran Bank Buendia Branch, and submit the results thereof to the Audit Team;**
- b. Establish and enforce a deadline for the monthly BRS preparation by the personnel concerned to ensure their timely completion; expedite the verification, documentation, and adjustment of book RIs; and coordinate regularly with the depository banks to facilitate the resolution of long outstanding RIs;**
- c. Establish and maintain SLs for each bank account to support the CIB account in the GL, and ensure that all disbursements, deposits, and cancellations are promptly recorded and regularly reconciled; and**
- d. Adjust stale checks in the books to reflect valid obligations, and discontinue the practice of requiring the presentation of the physical check as a prerequisite for recording cancellations, except when a replacement check is requested, and establish a monitoring mechanism for outstanding checks to ensure their timely review and cancellation;**

4.2 Direct the FMD Division Chief to exercise close supervision over the preparation of BRSs by conducting regular reviews, monitoring compliance with established guidelines, and ensuring timely verification and adjustment of RIs. In addition, clear turnover procedures should be established for BRS preparation and related reconciliation activities in cases of personnel transfer, reassignment, resignation, retirement, or separation from the service;

5.1 Direct the FMD to:

- a. Prioritize the development and implementation of a comprehensive policy on the recognition and measurement of ECL compliant with the requirements of PFRS 9, and align existing practices with the approved policy;**
- b. Create a Committee to oversee the development and implementation of the ECL policy, establish a definitive timeline for its completion, and provide appropriate training to enhance the competency of concerned FMD personnel in the application of ECL requirements;**
- c. Clearly define the point at which receivables are considered past due based on contractual due dates, ensure its consistent application across all types of receivables, and integrate the same into the ECL policy;**
- d. Ensure that the disclosures in the Notes to FSs are consistent with the requirements of the applicable accounting standards and the actual ECL methodology adopted and applied; and**
- e. Consider the inclusion of the approved ECL methodology in the crafting of the Accounting Manual to institutionalize its consistent application and ensure compliance with PFRS 9;**

- 6.1 Direct the Administrative Support Division (ASD), Procurement Management Division (PMD), and Legal Unit to:
- a. Evaluate the causes of delays and expedite the completion and execution of the Lease Contracts (LCs) with the concerned lessors. Thereafter, submit to COA copies of the duly signed LCs;
 - b. Closely coordinate with the lessors to ensure the timely issuance of billing statements and with the FMD to facilitate the prompt payment of lease obligations, thereby preventing the accumulation of unpaid liabilities and minimizing the risk of disputes or lump-sum billings; and
 - c. Establish a monitoring mechanism that requires proactive follow-ups and timely escalation of unresolved matters to Management to prevent unnecessary delays in contract execution and related activities, and to ensure that formal written communications are undertaken instead of relying solely on email correspondence;
- 6.2 Direct the FMD to:
- a. Effect the necessary adjustments to correct the misstatements;
 - b. Thoroughly review the recording of lease-related transactions like lease liability measurement, ROU assets recognition, advance rentals treatment, depreciation, and contract provisions;
 - c. Remeasure the LP and ROU Assets upon execution of final lease contracts and effect the necessary adjustments; and
 - d. Regularly reconcile recorded lease liabilities with the billings from lessors and the ASD for proper application and recording of lease payments;
- 7.1 Direct the FMD to effect the necessary adjustments to correct the noted misstatements, as well as reconcile its records with those of the ASD- Property Officer (PO) based on the submitted RPCPPE;
- 7.2 Require the Inventory Committee (IC) to prepare a Property Inventory Plan as a mandatory requirement for the conduct of a physical count of PPE items to serve as a guide for the systematic execution and completion of inventory activities, and shall be submitted to COA, including the invitation to witness the physical count;
- 7.3 Direct the Information and Communication Technology Division (ICTD) to determine the whereabouts of the missing Information and Communication Technology Equipment (ICTE) items, exert reasonable efforts to locate them, and prepare a status report thereon. Should the items remain unaccounted for, require the concerned personnel previously responsible for their custody, management, and oversight to explain and be held accountable, as warranted. A copy of the status report shall be furnished to the IC, PO, FMD and COA;
- 7.4 Instruct the IC and the ASD – PO to locate and reconcile all missing or unaccounted for furniture and fixtures, and other PPE items by referring to the corresponding Property

Acknowledgement Report and other property records to identify the accountable personnel;

- 7.5 Require the PO to submit to the Agency Head a list of all missing PPE items for the issuance of demand letters to the concerned accountable officer or personnel, directing them to produce the property entrusted to their custody or explain its non-production;
- 7.6 Direct all concerned personnel to cooperate fully in the inventory, location, and reconciliation of missing ICTE and other PPE items. For any items that cannot be located or produced by the accountable person/unit/division, direct the PO to prepare a list and forward it to the FMD for the recording of receivables, in accordance with applicable accounting and auditing rules and regulations; and
- 7.7 Direct the PO to immediately prepare the list of PPE items found in the work stations, including related information, and transmit it formally to the FMD for reconciliation, recording, and updating of the property records.

The other significant audit observations and recommendations that need immediate action are as follows:

8. The reasonableness and effectiveness of PRA's advertising and sponsorship expenditures amounting to P78.742 million and P35.389 million, respectively, could not be established due to the absence of clearly defined and measurable success indicators and consolidated performance reporting, which resulted in fragmented monitoring and limited Management's ability to assess the performance of advertising and sponsorship activities, including their contribution to achievement of agency objectives. Consequently, the PRA was unable to adequately demonstrate whether these expenditures generated the intended outcomes and represented an efficient use of government resources, consistent with the principles of Results-Based Budget Management, Section 2 of PD No. 1445, and Department of Budget and Management National Budget Circular No. 565. Moreover, PRA has yet to establish a formally approved written policy outlining the criteria and procedures for the selection and approval of sponsorship activities. The absence of such a policy weakens transparency, fairness, and accountability in decision-making and increases the risk that sponsorship expenditures may not be sufficiently justified, cost-effective, or aligned with the agency's objectives.
- 8.1 We recommended that Management direct the Marketing Department to:
 - a. Incorporate in the Marketing Plan (MP) for CYs 2025-2026 a well-defined set of Key Performance Indicators (KPIs) for each advertising platform, including the corresponding measurement tools, data sources, metrics, results-based indicators like conversion and attribution rates, and reporting requirements, and secure Board approval thereof;
 - b. Prepare individual and consolidated performance evaluation reports for all sponsorship activities undertaken during the year, using relevant and measurable parameters, and subject these reports to review by the agency head to guide future sponsorship decisions and advertising and marketing budget allocations, ensuring that only activities that provide the greatest benefit to the PRA are selected;

- c. Prepare periodic and consolidated performance reports by integrating all KPIs data into a comprehensive annual report to facilitate comparison of advertising platform performance, identification of underperforming channels, trend analysis, and evidence-based decision-making;
 - d. Improve data validation by integrating mandatory surveys during oath-taking to identify enrolment drivers, and enhancing QR code deployment through more engaging designs to increase participation and response rates, in coordination with the ICTD;
 - e. Submit a comprehensive and realistic performance evaluation report on the CY 2025 advertising placements, platforms, and sponsorship activities based on the KPIs/success indicators in the approved MP, to determine their reasonableness, effectiveness and contribution to enrolment outcomes, and to justify the necessity and validity of sponsorship expenditures of P31.509 million, including any future engagements; and
 - f. Develop a comprehensive Sponsorship Selection and Approval Policy incorporating standardized criteria for evaluating and approving sponsorship proposals based on cost-effectiveness, pricing benchmarks, Return on Investments indicators, performance evaluation results, and alignment with PRA's mandate and approved MP, and integrate such policy into the existing Detailed Operating Procedures, for Board approval.
- 8.2 We likewise recommended that Management establish a formal review and evaluation mechanisms, to be handled by a designated Committee, to assess advertising and sponsorship performance against KPIs, ensure accountability, and support the continuous improvement of marketing strategies and resource allocation decisions.
9. PRA incurred lease rentals, condominium dues, and related payments totaling P7.058 million for an additional office space that remained unutilized for its intended purpose as at December 31, 2025, due to significant delays in the procurement of assessment/design services and the subsequent postponement of construction works required to make the premises operational. These circumstances may lead to inefficient use of government resources, contrary to Section 2 of PD No. 1445 and the principles of sound public financial management.
- 9.1 We recommended that Management:
- a. Direct the FMD to demand payment from the Consultant for the liquidated damages that were not deducted from the amount due to him;
 - b. Direct the ASD to submit a comprehensive written explanation, supported by relevant documents and timelines, on the delays or non-completion of the project that led to the lease rental costs of P7.058 million, considering the circumstances surrounding the project and the performance of the assigned duties and responsibilities of concerned personnel; and direct the Legal Unit to conduct an independent review of the relevant conditions and the participation of the concerned personnel, and, based on the results thereof, initiate the appropriate actions, if warranted. Thereafter, submit to COA the results of the review and the actions taken;

- c. Direct the ASD, Technical Working Group (TWG), PMD, and Bids and Awards (BAC) Committee to prioritize and fast-track the finalization of the Terms of Reference (TOR) for the construction project and the procurement of the construction contractor, with clearly defined timelines, milestones, and responsibilities;
 - d. Designate a dedicated project focal person within the ASD to oversee the day-to-day implementation of the project, coordinate with concerned offices, monitor progress, maintain proper documentation, and regularly report status updates to the Office of the General Manager to facilitate the timely completion of the project;
 - e. Require the ASD, TWG, PMD, and BAC to conduct regular coordination meetings to promptly resolve issues, monitor project progress, and prevent further delays until the project is fully implemented;
 - f. To prevent similar issues in the future, engage qualified technical personnel (engineer/architect) to assist the proponents and TWGs in: (i) conducting technical assessment for major renovation projects involving prospective leased spaces; and (ii) preparing TORs, plans, cost estimates, technical specifications, and bills of materials;
 - g. Direct the PMD to require proponents to finalize TORs and Project Procurement Management Plans within prescribed written deadlines to ensure timely inclusion in the Annual Procurement Plan and eligibility for Early Procurement Activity; and
 - h. Establish internal timelines and clearly delineate accountability for the inspection, evaluation, review, and acceptance of consultants' outputs and other deliverables.
10. The development of the Human Resource Information System (HRIS) and Website Development Project (Phase II), for which payments totaling P0.974 million and P1.680 million, respectively, were made, remain incomplete due to inadequate coordination and weak project implementation among the responsible divisions/units. As a result, the intended objectives and expected benefits of these projects have not been fully realized. Consequently, government resources were utilized inefficiently, contrary to Section 2 of PD No. 1445 and Sections 7 and 47.2 of Republic Act No. 9184 or the Government Procurement Act Reform Act.
- 10.1. We recommended that Management:
- a. Require the ICTD to provide a written explanation for the prolonged delay in the completion of the HRIS and the Website Project, including the basis for the issuance of Certificate of Completion and Acceptance despite the HRIS not being fully completed and operational;
 - b. Direct the ICTD and ASD to immediately coordinate and collaborate in identifying and completing the necessary requirements and inputs necessary for the HRIS to become fully functional and operational, and to establish a definite timeline to fast-track the completion and implementation;

- c. Instruct the ICTD, Resident Retiree Services Department, and FMD to immediately coordinate and complete all the remaining requirements and inputs for the Website Development Project, with clearly defined roles, responsibilities, deliverables, and implementation timelines;
- d. Direct the ICTD and Legal Unit to conduct a technical and financial assessment of the project deliverables vis-à-vis payments made, to determine any accountability on the part of the vendor/contractor and to enforce compliance with contractual obligations, as warranted. Likewise, coordinate with the contractor regarding the requirements raised by the Office of the Government Corporate Counsel regarding the outstanding payment issues;
- e. To prevent the recurrence of similar lapses in the future, strengthen project planning and governance by formulating and implementing an IT Project Governance Policy covering, among others, TOR preparation, requirements definition, acceptance testing, documentation, project monitoring and accountability mechanisms; and
- f. Direct the Internal Audit Division to conduct a comprehensive review of all software system projects to assess their completion status, functionality, usability, and the extent to which intended objectives and benefits have been realized.

The observations together with the recommended courses of action which were discussed by the Audit Team with concerned Management officials and staff during the exit conference conducted on April 29, 2026 are discussed in detail in Part II of the report. We also invite your attention to the prior year's unimplemented audit recommendations embodied in Part III of the report.

In our transmittal letter of even date, we requested the General Manager and Chief Executive Officer of the PRA to implement the recommendations contained in the report and to inform this Commission of the actions taken thereon within 60 days from receipt of the report.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus facilitating the submission of the report.

Very truly yours,

COMMISSION ON AUDIT

By:


ATTY. CHITO C. JANABAN
Director IV
Cluster Director

Copy furnished:

The President of the Republic of the Philippines
The Vice President
The President of the Senate
The Speaker of the House of Representatives
The Chairperson – Senate Finance Committee
The Chairperson – Appropriations Committee
The Secretary of the Department of Budget and Management
The Governance Commission for Government-Owned or Controlled Corporations
The Presidential Management Staff, Office of the President
The UP Law Center
The National Library
The COA Central Library

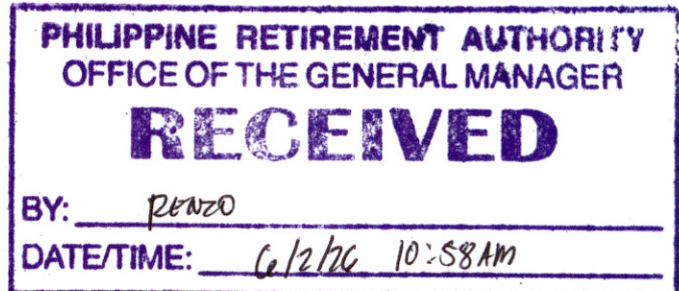


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CORPORATE GOVERNMENT AUDIT SECTOR
Cluster 6 – Social, Cultural, Trading, Promotional and Other Services

June 1, 2026

Mr. ROBERTO Z. ZOZOBRADO
General Manager and Chief Executive Officer (CEO)
Philippine Retirement Authority
29th Floor, BDO Towers Valero
8741 Paseo de Roxas, Makati City



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- c. Capacitate personnel on the effective use of available systems and tools, ensuring accuracy, consistency, and accountability in financial recording and reconciliation processes;
- d. Establish and maintain complete SL, supported by periodic monitoring and reporting mechanisms on the status of reconciliation activities, to ensure sustained oversight and the timely resolution of outstanding issues;
- e. Initiate the adoption of an automated or system-supported reconciliation process capable of performing transaction matching, generating exception reports, and maintaining reliable audit trails, while optimizing the functionality of the Retiree Database Management Information System and Retiree Information Management System pending full automation;
- f. Prioritize obtaining a formal legal opinion and Board approval outlining the authority and basis for the income recognition of interest from retirees' VDs, including the determination of a fair and mutually agreed interest-sharing rate, in compliance with the applicable laws, rules, and accounting standards governing trust funds;
- g. Reassess the accounting treatment of interest earnings pending formal approval and adjust prior period financial records, where necessary, to correct misstatements due to recognition of interest income without proper legal authority; and
- h. Enhance disclosures in the Notes to FSs by presenting the source of interest earnings, the applicable interest rates for retiree members, the basis for determining the interest-sharing arrangement, and the computation of the respective shares of the retirees and PRA, to promote transparency and accountability, and informed financial reporting;

3.1 Direct the FMD to:

- a. Reconcile regularly the TL – VDs and Interest on VDs accounts with the corresponding Other Non-current Assets–RF accounts and related records on a comprehensive basis, and subsequently, prepare and record the necessary adjustments for all identified RIs, supported by adequate documentation;
- b. Complete, maintain, and institutionalize the regular preparation of detailed SLs for all retiree-members with VDs and related accounts to corroborate the GL balances of the TL and related RF accounts at any given point; and
- c. Designate accountable personnel with clearly defined and continuing responsibility for the monitoring, reconciliation, maintenance, and reporting of TL accounts and related RFs to ensure the completeness and reliability of records and prevent disruptions arising from personnel turnover or reliance on temporary staffing arrangements;

4.1 Direct the FMD to:

- a. Investigate, verify, and conduct a detailed review of the discrepancies in the unadjusted balances of the CIB-Foreign Currency accounts with the Landbank of the Philippines Cebu Branch and Philippine Veteran Bank Buendia Branch, and submit the results thereof to the Audit Team;
- b. Establish and enforce a deadline for the monthly BRS preparation by the personnel concerned to ensure their timely completion; expedite the verification, documentation, and adjustment of book RIs; and coordinate regularly with the depository banks to facilitate the resolution of long outstanding RIs;
- c. Establish and maintain SLs for each bank account to support the CIB account in the GL, and ensure that all disbursements, deposits, and cancellations are promptly recorded and regularly reconciled; and
- d. Adjust stale checks in the books to reflect valid obligations, and discontinue the practice of requiring the presentation of the physical check as a prerequisite for recording cancellations, except when a replacement check is requested, and establish a monitoring mechanism for outstanding checks to ensure their timely review and cancellation;

4.2 Direct the FMD Division Chief to exercise close supervision over the preparation of BRSs by conducting regular reviews, monitoring compliance with established guidelines, and ensuring timely verification and adjustment of RIs. In addition, clear turnover procedures should be established for BRS preparation and related reconciliation activities in cases of personnel transfer, reassignment, resignation, retirement, or separation from the service;

5.1 Direct the FMD to:

- a. Prioritize the development and implementation of a comprehensive policy on the recognition and measurement of ECL compliant with the requirements of PFRS 9, and align existing practices with the approved policy;
- b. Create a Committee to oversee the development and implementation of the ECL policy, establish a definitive timeline for its completion, and provide appropriate training to enhance the competency of concerned FMD personnel in the application of ECL requirements;
- c. Clearly define the point at which receivables are considered past due based on contractual due dates, ensure its consistent application across all types of receivables, and integrate the same into the ECL policy;
- d. Ensure that the disclosures in the Notes to FSs are consistent with the requirements of the applicable accounting standards and the actual ECL methodology adopted and applied; and
- e. Consider the inclusion of the approved ECL methodology in the crafting of the Accounting Manual to institutionalize its consistent application and ensure compliance with PFRS 9;

- 6.1 Direct the Administrative Support Division (ASD), Procurement Management Division (PMD), and Legal Unit to:
- a. Evaluate the causes of delays and expedite the completion and execution of the Lease Contracts (LCs) with the concerned lessors. Thereafter, submit to COA copies of the duly signed LCs;
 - b. Closely coordinate with the lessors to ensure the timely issuance of billing statements and with the FMD to facilitate the prompt payment of lease obligations, thereby preventing the accumulation of unpaid liabilities and minimizing the risk of disputes or lump-sum billings; and
 - c. Establish a monitoring mechanism that requires proactive follow-ups and timely escalation of unresolved matters to Management to prevent unnecessary delays in contract execution and related activities, and to ensure that formal written communications are undertaken instead of relying solely on email correspondence;
- 6.2 Direct the FMD to:
- a. Effect the necessary adjustments to correct the misstatements;
 - b. Thoroughly review the recording of lease-related transactions like lease liability measurement, ROU assets recognition, advance rentals treatment, depreciation, and contract provisions;
 - c. Remeasure the LP and ROU Assets upon execution of final lease contracts and effect the necessary adjustments; and
 - d. Regularly reconcile recorded lease liabilities with the billings from lessors and the ASD for proper application and recording of lease payments;
- 7.1 Direct the FMD to effect the necessary adjustments to correct the noted misstatements, as well as reconcile its records with those of the ASD- Property Officer (PO) based on the submitted RPCPPE;
- 7.2 Require the Inventory Committee (IC) to prepare a Property Inventory Plan as a mandatory requirement for the conduct of a physical count of PPE items to serve as a guide for the systematic execution and completion of inventory activities, and shall be submitted to COA, including the invitation to witness the physical count;
- 7.3 Direct the Information and Communication Technology Division (ICTD) to determine the whereabouts of the missing Information and Communication Technology Equipment (ICTE) items, exert reasonable efforts to locate them, and prepare a status report thereon. Should the items remain unaccounted for, require the concerned personnel previously responsible for their custody, management, and oversight to explain and be held accountable, as warranted. A copy of the status report shall be furnished to the IC, PO, FMD and COA;
- 7.4 Instruct the IC and the ASD – PO to locate and reconcile all missing or unaccounted for furniture and fixtures, and other PPE items by referring to the corresponding Property

Acknowledgement Report and other property records to identify the accountable personnel;

- 7.5 Require the PO to submit to the Agency Head a list of all missing PPE items for the issuance of demand letters to the concerned accountable officer or personnel, directing them to produce the property entrusted to their custody or explain its non-production;
- 7.6 Direct all concerned personnel to cooperate fully in the inventory, location, and reconciliation of missing ICTE and other PPE items. For any items that cannot be located or produced by the accountable person/unit/division, direct the PO to prepare a list and forward it to the FMD for the recording of receivables, in accordance with applicable accounting and auditing rules and regulations; and
- 7.7 Direct the PO to immediately prepare the list of PPE items found in the work stations, including related information, and transmit it formally to the FMD for reconciliation, recording, and updating of the property records.

The other significant audit observations and recommendations that need immediate action are as follows:

8. The reasonableness and effectiveness of PRA's advertising and sponsorship expenditures amounting to P78.742 million and P35.389 million, respectively, could not be established due to the absence of clearly defined and measurable success indicators and consolidated performance reporting, which resulted in fragmented monitoring and limited Management's ability to assess the performance of advertising and sponsorship activities, including their contribution to achievement of agency objectives. Consequently, the PRA was unable to adequately demonstrate whether these expenditures generated the intended outcomes and represented an efficient use of government resources, consistent with the principles of Results-Based Budget Management, Section 2 of PD No. 1445, and Department of Budget and Management National Budget Circular No. 565. Moreover, PRA has yet to establish a formally approved written policy outlining the criteria and procedures for the selection and approval of sponsorship activities. The absence of such a policy weakens transparency, fairness, and accountability in decision-making and increases the risk that sponsorship expenditures may not be sufficiently justified, cost-effective, or aligned with the agency's objectives.
- 8.1 We recommended that Management direct the Marketing Department to:
 - a. Incorporate in the Marketing Plan (MP) for CYs 2025-2026 a well-defined set of Key Performance Indicators (KPIs) for each advertising platform, including the corresponding measurement tools, data sources, metrics, results-based indicators like conversion and attribution rates, and reporting requirements, and secure Board approval thereof;
 - b. Prepare individual and consolidated performance evaluation reports for all sponsorship activities undertaken during the year, using relevant and measurable parameters, and subject these reports to review by the agency head to guide future sponsorship decisions and advertising and marketing budget allocations, ensuring that only activities that provide the greatest benefit to the PRA are selected;

- c. Prepare periodic and consolidated performance reports by integrating all KPIs data into a comprehensive annual report to facilitate comparison of advertising platform performance, identification of underperforming channels, trend analysis, and evidence-based decision-making;
 - d. Improve data validation by integrating mandatory surveys during oath-taking to identify enrolment drivers, and enhancing QR code deployment through more engaging designs to increase participation and response rates, in coordination with the ICTD;
 - e. Submit a comprehensive and realistic performance evaluation report on the CY 2025 advertising placements, platforms, and sponsorship activities based on the KPIs/success indicators in the approved MP, to determine their reasonableness, effectiveness and contribution to enrolment outcomes, and to justify the necessity and validity of sponsorship expenditures of P31.509 million, including any future engagements; and
 - f. Develop a comprehensive Sponsorship Selection and Approval Policy incorporating standardized criteria for evaluating and approving sponsorship proposals based on cost-effectiveness, pricing benchmarks, Return on Investments indicators, performance evaluation results, and alignment with PRA's mandate and approved MP, and integrate such policy into the existing Detailed Operating Procedures, for Board approval.
- 8.2 We likewise recommended that Management establish a formal review and evaluation mechanisms, to be handled by a designated Committee, to assess advertising and sponsorship performance against KPIs, ensure accountability, and support the continuous improvement of marketing strategies and resource allocation decisions.
9. PRA incurred lease rentals, condominium dues, and related payments totaling P7.058 million for an additional office space that remained unutilized for its intended purpose as at December 31, 2025, due to significant delays in the procurement of assessment/design services and the subsequent postponement of construction works required to make the premises operational. These circumstances may lead to inefficient use of government resources, contrary to Section 2 of PD No. 1445 and the principles of sound public financial management.
- 9.1 We recommended that Management:
- a. Direct the FMD to demand payment from the Consultant for the liquidated damages that were not deducted from the amount due to him;
 - b. Direct the ASD to submit a comprehensive written explanation, supported by relevant documents and timelines, on the delays or non-completion of the project that led to the lease rental costs of P7.058 million, considering the circumstances surrounding the project and the performance of the assigned duties and responsibilities of concerned personnel; and direct the Legal Unit to conduct an independent review of the relevant conditions and the participation of the concerned personnel, and, based on the results thereof, initiate the appropriate actions, if warranted. Thereafter, submit to COA the results of the review and the actions taken;

- c. Direct the ASD, Technical Working Group (TWG), PMD, and Bids and Awards (BAC) Committee to prioritize and fast-track the finalization of the Terms of Reference (TOR) for the construction project and the procurement of the construction contractor, with clearly defined timelines, milestones, and responsibilities;
 - d. Designate a dedicated project focal person within the ASD to oversee the day-to-day implementation of the project, coordinate with concerned offices, monitor progress, maintain proper documentation, and regularly report status updates to the Office of the General Manager to facilitate the timely completion of the project;
 - e. Require the ASD, TWG, PMD, and BAC to conduct regular coordination meetings to promptly resolve issues, monitor project progress, and prevent further delays until the project is fully implemented;
 - f. To prevent similar issues in the future, engage qualified technical personnel (engineer/architect) to assist the proponents and TWGs in: (i) conducting technical assessment for major renovation projects involving prospective leased spaces; and (ii) preparing TORs, plans, cost estimates, technical specifications, and bills of materials;
 - g. Direct the PMD to require proponents to finalize TORs and Project Procurement Management Plans within prescribed written deadlines to ensure timely inclusion in the Annual Procurement Plan and eligibility for Early Procurement Activity; and
 - h. Establish internal timelines and clearly delineate accountability for the inspection, evaluation, review, and acceptance of consultants' outputs and other deliverables.
10. The development of the Human Resource Information System (HRIS) and Website Development Project (Phase II), for which payments totaling P0.974 million and P1.680 million, respectively, were made, remain incomplete due to inadequate coordination and weak project implementation among the responsible divisions/units. As a result, the intended objectives and expected benefits of these projects have not been fully realized. Consequently, government resources were utilized inefficiently, contrary to Section 2 of PD No. 1445 and Sections 7 and 47.2 of Republic Act No. 9184 or the Government Procurement Act Reform Act.

10.1. We recommended that Management:

- a. Require the ICTD to provide a written explanation for the prolonged delay in the completion of the HRIS and the Website Project, including the basis for the issuance of Certificate of Completion and Acceptance despite the HRIS not being fully completed and operational;
- b. Direct the ICTD and ASD to immediately coordinate and collaborate in identifying and completing the necessary requirements and inputs necessary for the HRIS to become fully functional and operational, and to establish a definite timeline to fast-track the completion and implementation;

- c. Instruct the ICTD, Resident Retiree Services Department, and FMD to immediately coordinate and complete all the remaining requirements and inputs for the Website Development Project, with clearly defined roles, responsibilities, deliverables, and implementation timelines;
- d. Direct the ICTD and Legal Unit to conduct a technical and financial assessment of the project deliverables vis-à-vis payments made, to determine any accountability on the part of the vendor/contractor and to enforce compliance with contractual obligations, as warranted. Likewise, coordinate with the contractor regarding the requirements raised by the Office of the Government Corporate Counsel regarding the outstanding payment issues;
- e. To prevent the recurrence of similar lapses in the future, strengthen project planning and governance by formulating and implementing an IT Project Governance Policy covering, among others, TOR preparation, requirements definition, acceptance testing, documentation, project monitoring and accountability mechanisms; and
- f. Direct the Internal Audit Division to conduct a comprehensive review of all software system projects to assess their completion status, functionality, usability, and the extent to which intended objectives and benefits have been realized.

The observations together with the recommended courses of action which were discussed by the Audit Team with concerned Management officials and staff during the exit conference conducted on April 29, 2026 are discussed in detail in Part II of the report. We also invite your attention to the prior year's unimplemented audit recommendations embodied in Part III of the report.

We request that appropriate actions be taken on the observations and recommendations contained in the report and that we be informed of the action(s) taken thereon by submitting the duly accomplished Agency Action Plan and Status of Implementation form (copy attached) within 60 days upon receipt hereof.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus facilitating the submission of the report.

Very truly yours,

COMMISSION ON AUDIT

By:


ATTY. CHITO C. JANABAN
Director IV
Cluster Director

Copy furnished:

The President of the Republic of the Philippines
The Vice President
The President of the Senate
The Speaker of the House of Representatives
The Chairperson – Senate Finance Committee
The Chairperson – Appropriations Committee
The Secretary of the Department of Budget and Management
The Governance Commission for Government-Owned or Controlled Corporations
The Presidential Management Staff, Office of the President
The UP Law Center
The National Library
The COA Central Library

(Name of the Agency and Address)

**AGENCY ACTION PLAN and
STATUS OF IMPLEMENTATION**

For the Calendar Year 20__
As of _____

Ref.	Audit Observations	Audit Recommendations	Agency Action Plan				Status of Implementation	Reason for Non-Implementation, If applicable	Action Taken/Action to be Taken
			Action Plan	Persons/Dept. Responsible	Target Implementation Date				
					From	To			

Agency sig-off:

Name and Position of Agency Officer

Date

Note: Status of Implementation may either be (a) Fully Implemented and (b) Not Implemented

This template shall be used for Current Year's audit recommendations and Prior Years' recommendations as contained in the Part II-A and B, respectively, of the Annual Audit Report



Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

ANNUAL AUDIT REPORT

on the

PHILIPPINE RETIREMENT AUTHORITY

For the Years Ended December 31, 2025 and 2024

EXECUTIVE SUMMARY

INTRODUCTION

The Philippine Retirement Authority (PRA) was created under Executive Order (EO) No. 1037 dated July 4, 1985, as a corporate body tasked primarily to develop and promote the Philippines as a retirement haven by providing the best quality of life for targeted retirees. The EO also aims to accelerate the social and economic development of the country and, at the same time, strengthen its Foreign Exchange (forex) position.

The PRA recommends to the Bureau of Immigration (BI) the issuance of Special Resident Retirees Visa, a special non-immigrant visa with multiple/indefinite entry privileges, to qualified foreigners and former Filipino citizens who wish to make the Philippines their second home.

Mandated to attract foreign nationals and former Filipinos to retire, invest, and reside in the Philippines and with a vision to make our country a leading and significant destination for the world's retirees, the PRA offers various retirement products with required visa deposits (VDs) that can be withdrawn when the retiree leaves/withdraws from the program or in case of end-of-term obligations. Qualified retiree-applicants make inward remittance of their requisite VDs to the Philippines through the Development Bank of the Philippines. Existing members under the old product offerings maintain their VDs with private banks. Accredited marketers provide enrolment services to applicants.

For purposes of bringing the PRA closer to its member-retirees as well as encouraging active involvement of local governments and the private sector in the retirement industry, the Authority established satellite offices in some cities, such as Baguio, Angeles, Cebu, and Davao.

With the passage of the Tourism Act of 2009, also known as Republic Act (RA) No. 9593 on May 12, 2009, the supervision of the PRA was transferred from the Department of Trade and Industry to the Department of Tourism (DOT).

The PRA administration is composed of the following principal officers and Board of Trustees (BOT) as at December 31, 2025:

Position / Designation	Name
1. General Manager and Chief Executive Officer	Roberto Z. Zozobrado
2. Deputy General Manager	Ma. Milagros R. Lisaca
3. Chairperson, BOT	Ma. Esperanza Christina García Frasco Secretary, DOT
4. Member, BOT	Felipe M. Medalla Governor, Bangko Sentral ng Pilipinas
5. Member, BOT	Norman G. Tansingco Commissioner, BI
6. Member, BOT	Verna Emeraldal C. Buensuceso Assistant Secretary, DOT

As at December 31, 2025, the PRA had a total of 205 manpower complement consisting of 95 regular employees and 110 job order workers.

FINANCIAL HIGHLIGHTS (In Philippine Peso)

I. Comparative Financial Position

	2025	2024 Restated	Increase/ (Decrease)
Assets	27,789,734,056	25,839,759,900	1,949,974,156
Liabilities	24,086,951,629	22,936,888,220	1,150,063,409
Equity	3,702,782,427	2,902,871,680	799,910,747

II. Comparative Comprehensive Income

	2025	2024 Restated	Increase/ (Decrease)
Income	2,315,902,758	2,138,170,201	177,732,557
Personnel services	114,253,971	93,890,497	20,363,474
Maintenance and other operating expenses	241,794,441	153,360,906	88,433,535
Financial expenses	6,198,871	696,983	5,501,888
Direct costs	76,688,558	73,400,835	3,287,723
Unrealized loss on Forex	923,819,632	900,536,899	23,282,733
Non-cash expenses	30,430,953	169,555,955	(139,125,002)
Total expenses	1,393,186,426	1,391,442,073	1,744,351
Profit before tax	922,716,332	746,728,126	175,988,206
Income tax expense	122,772,117	95,864,741	26,907,376
Net income	799,944,214	650,863,385	149,080,829
Other comprehensive income/(loss) for the period	-	-	-
Comprehensive income	799,944,214	650,863,385	149,080,829

III. Comparison of 2025 Budget and Actual Amounts

	Approved COB	Actual	Variance
Personnel services	120,463,739	105,483,237	14,980,502
Maintenance and other operating expenses	484,670,500	344,566,058	140,104,442
Capital outlays	84,364,474	28,432,852	55,931,622
Total	689,498,713	478,482,147	211,016,566

SCOPE OF AUDIT

The audit covered the examination, on a test basis, of the accounts, transactions, and operations of the PRA to enable us to express an opinion on the financial statements for the years ended December 31, 2025, and 2024 in accordance with the International Standards of Supreme Audit Institutions. It was also conducted to determine the PRA's compliance with pertinent laws, rules, and regulations and adherence to prescribed policies and procedures.

INDEPENDENT AUDITOR'S REPORT ON THE FINANCIAL STATEMENTS

We rendered a Qualified opinion on the fairness of presentation of the financial statements in view of the following:

1. The Retained Earnings (RE) account, with a year-end balance of P3.637 billion, is overstated by P23.842 million, with the corresponding misstatements in several affected accounts, due to the erroneous adjustment and the improper recognition of the reversal of allowance for impairment (AFI) directly in RE account instead of recognizing it prospectively in Profit or Loss. Additionally, the details of the prior period adjustments totaling P192.004 million are not adequately disclosed in the Notes to Financial Statements (Notes to FSs). These deficiencies were not in accordance with Paragraphs 36, 38, and 42 of the Philippine Accounting Standard (PAS) 8 and have affected the fair presentation of the balances of the said accounts in the financial statements. Furthermore, the dividend declaration in Calendar Year (CY) 2025 was incorrectly accounted for as a prior period adjusting event rather than as a current year transaction, resulting in the adjustment of the declared dividends of P294.960 million against the prior year's balance of the Dividends Payable account, which is contrary to Paragraphs 12 and 13 of PAS 10.
2. The faithful representation of the Restricted Funds (RF) invested in time deposits (TDs) totaling P22.168 billion could not be established due to discrepancies amounting to: (a) P462.338 million between the confirmed bank balances and the results of the inventory of Certificate of TDs (CTDs); (b) P51.047 million between the general ledger (GL) balance and supporting schedules; and (c) P34.490 million between the balances per books and the confirmed bank balances. These discrepancies were attributable to the incomplete supporting documents and subsidiary ledgers (SLs), unadjusted long-outstanding reconciling items (RIs), heavy reliance on manual procedures, and deficiencies in internal controls, which is inconsistent with the requirements of Paragraph 15 of PAS 1. Furthermore, the interest earned from VDs of retiree members for the period CYs 2022 to 2025, totaling P710.123 million, was recognized as PRA's income despite the absence of a clear legal basis or a duly approved arrangement, resulting in potential misstatement of both income and liabilities accounts by the same amount, while the source and basis of computation of the interest income were not disclosed in the Notes to FSs. These conditions are contrary to Paragraph 4.48 of the Conceptual Framework for Financial Reporting (CFFR), and Paragraph 122 of PAS 1.
3. The correctness of the balances of the Trust Liabilities (TL) – VDs and TL – Interest on VDs accounts, aggregating P22.927 billion as at year-end, could not be established due to: (a) long-standing unreconciled differences of P206.135 million between these liability accounts and their corresponding contra-asset accounts totaling P22.721 billion; and (b) absence of complete and reliable subsidiary records. These conditions impaired the verifiability and fair presentation of the accounts in the financial statements, contrary to Paragraph QC26 of CFFR.
4. The correctness of the Cash in Bank (CIB) account, with a year-end balance of P296.516 million, could not be ascertained due to unreconciled differences and other RIs totaling P16.295 million between the balances per books and per bank records that remained unadjusted as at year-end. These deficiencies were caused by: (a) unadjusted long-standing RIs; (b) absence of SLs for each CIB account; (c) the delayed and/or non-preparation of Bank Reconciliation Statements (BRs), and (d) non-cancellation of various stale checks, resulting in the understatement of the CIB account by P9.098 million, thereby

affecting the fair presentation of the CIB account balance in the financial statements, contrary to Paragraph 15 of PAS 1.

5. The correctness of the Accounts Receivable account with a net carrying amount of P196.038 million as at year-end could not be ascertained due to non-compliance with the Expected Credit Losses (ECL) measurement requirements for impairment of financial assets under Paragraphs 5.5.17 and 5.5.18 of the Philippine Financial Reporting Standard (PFRS) 9.
6. The balances of the Lease Payable (LP) and Right-of-Use (ROU) Assets accounts amounting to P111.188 million and P114.328 million, respectively, are not fairly presented in the financial statements due to the doubtful recognition of LP and ROU assets totaling P103.254 million. The lease terms used in measuring these balances for two lease renewals could not be reliably established because the renewals were not supported by duly executed lease contracts, contrary to Section 2.30 of CFFR and Appendix B34 of PFRS 16. Furthermore, the LP account was understated by P0.567 million, while the ROU Asset and Prepaid Rent accounts were overstated by P0.967 million and P1.500 million, respectively. These misstatements, together with the resulting inaccuracies in other related accounts, arose from errors in the measurement, recording, and depreciation computation for one lease contract, which is inconsistent with Paragraphs 23, 24, and 26 of PFRS 16.
7. The correctness of the balances of Property, Plant and Equipment (PPE) - Machinery and Equipment, Furniture and Fixtures, Motor Vehicles, and other PPE items, with an aggregate carrying amount of P40.653 million as at year-end, could not be established due to significant discrepancies between the report on physical count of PPE (RPCPPE) and the books amounting to P26.517 million, caused by: (a) missing or non-existent items totaling P11.984 million; (b) erroneous recording of Subscription Expense amounting to P2.983 million and advance payments of P4.780 million for purchased vehicle; (c) unrecorded PPE items amounting to P2.407 million; and (d) lapses in the preparation of RPCPPE, thereby affecting the fair presentation of the PPE account in the financial statements, contrary to Paragraph 15 of PAS 1.

For the foregoing observations, which caused the issuance of a Qualified opinion, we recommended that the PRA Management:

- 1.1. Direct the Finance Management Division (FMD) to:
 - a. Reclassify the reversal of AFI from RE to profit or loss as impairment gain, correct the erroneous adjustment by recording the correct impairment loss for Visitorial Fees, and recognize the corresponding Deferred Tax Assets in accordance with the nature of underlying transaction and the requirements of PFRS 9 and PAS 12;
 - b. Thoroughly review and analyze all proposed adjustments and refer to the Chart of Accounts for Government Owned and Controlled Corporations to ensure the use of the appropriate accounts before recording transactions in the books;
 - c. Conduct a mandatory review at year-end of all entries posted to the RE account and correct any erroneous or inappropriate adjustments in accordance with applicable accounting standards;

- d. Provide adequate disclosures in the Notes to FSs about the nature, amount, and financial statement impact of prior period error corrections, including disclosures relating to dividends declared after the reporting period but before the authorization of the financial statements for issue; and
- e. Ensure that dividends are recognized only upon declaration and accounted for in the period in which the declaration is made, in accordance with applicable accounting standards;

2.1 Direct the FMD to:

- a. Standardize the CTD inventory report to reflect all essential information necessary for verification, and ensure its monthly reconciliation with the bank confirmations, and the GL, while all identified RIs must be investigated, documented, and resolved on time;
- b. Strengthen internal controls by ensuring supervisory review of the reconciliation results, maintaining proper segregation of duties so that recording, reconciliation, and review functions are independently performed, and enhancing manual spreadsheets with appropriate validation and control features;
- c. Capacitate personnel on the effective use of available systems and tools, ensuring accuracy, consistency, and accountability in financial recording and reconciliation processes;
- d. Establish and maintain complete SL, supported by periodic monitoring and reporting mechanisms on the status of reconciliation activities, to ensure sustained oversight and the timely resolution of outstanding issues;
- e. Initiate the adoption of an automated or system-supported reconciliation process capable of performing transaction matching, generating exception reports, and maintaining reliable audit trails, while optimizing the functionality of the Retiree Database Management Information System and Retiree Information Management System pending full automation;
- f. Prioritize obtaining a formal legal opinion and Board approval outlining the authority and basis for the income recognition of interest from retirees' VDs, including the determination of a fair and mutually agreed interest-sharing rate, in compliance with the applicable laws, rules, and accounting standards governing trust funds;
- g. Reassess the accounting treatment of interest earnings pending formal approval and adjust prior period financial records, where necessary, to correct misstatements due to recognition of interest income without proper legal authority; and
- h. Enhance disclosures in the Notes to FSs by presenting the source of interest earnings, the applicable interest rates for retiree members, the basis for determining the interest-sharing arrangement, and the computation of the respective shares of the retirees and PRA, to promote transparency and accountability, and informed financial reporting;

3.1 Direct the FMD to:

- a. Reconcile regularly the TL – VDs and Interest on VDs accounts with the corresponding Other Non-current Assets–RF accounts and related records on a comprehensive basis, and subsequently, prepare and record the necessary adjustments for all identified RIs, supported by adequate documentation;
- b. Complete, maintain, and institutionalize the regular preparation of detailed SLs for all retiree-members with VDs and related accounts to corroborate the GL balances of the TL and related RF accounts at any given point; and
- c. Designate accountable personnel with clearly defined and continuing responsibility for the monitoring, reconciliation, maintenance, and reporting of TL accounts and related RFs to ensure the completeness and reliability of records and prevent disruptions arising from personnel turnover or reliance on temporary staffing arrangements;

4.1 Direct the FMD to:

- a. Investigate, verify, and conduct a detailed review of the discrepancies in the unadjusted balances of the CIB-Foreign Currency accounts with the Land Bank of the Philippines Cebu Branch and Philippine Veterans Bank Buendia Branch, and submit the results thereof to the Audit Team;
- b. Establish and enforce a deadline for the monthly BRS preparation by the personnel concerned to ensure their timely completion; expedite the verification, documentation, and adjustment of book RIs; and coordinate regularly with the depository banks to facilitate the resolution of long outstanding RIs;
- c. Establish and maintain SLs for each bank account to support the CIB account in the GL, and ensure that all disbursements, deposits, and cancellations are promptly recorded and regularly reconciled; and
- d. Adjust stale checks in the books to reflect valid obligations, and discontinue the practice of requiring the presentation of the physical check as a prerequisite for recording cancellations, except when a replacement check is requested, and establish a monitoring mechanism for outstanding checks to ensure their timely review and cancellation;

4.2 Direct the FMD Division Chief to exercise close supervision over the preparation of BRSs by conducting regular reviews, monitoring compliance with established guidelines, and ensuring timely verification and adjustment of RIs. In addition, clear turnover procedures should be established for BRS preparation and related reconciliation activities in cases of personnel transfer, reassignment, resignation, retirement, or separation from the service;

5.1 Direct the FMD to:

- a. Prioritize the development and implementation of a comprehensive policy on the recognition and measurement of ECL compliant with the requirements of PFRS 9, and align existing practices with the approved policy;

- b. Create a Committee to oversee the development and implementation of the ECL policy, establish a definitive timeline for its completion, and provide appropriate training to enhance the competency of concerned FMD personnel in the application of ECL requirements;
 - c. Clearly define the point at which receivables are considered past due based on contractual due dates, ensure its consistent application across all types of receivables, and integrate the same into the ECL policy;
 - d. Ensure that the disclosures in the Notes to FSS are consistent with the requirements of the applicable accounting standards and the actual ECL methodology adopted and applied; and
 - e. Consider the inclusion of the approved ECL methodology in the crafting of the Accounting Manual to institutionalize its consistent application and ensure compliance with PFRS 9;
- 6.1 Direct the Administrative Support Division (ASD), Procurement Management Division (PMD), and Legal Unit to:
- a. Evaluate the causes of delays and expedite the completion and execution of the Lease Contracts (LCs) with the concerned lessors. Thereafter, submit to COA copies of the duly signed LCs;
 - b. Closely coordinate with the lessors to ensure the timely issuance of billing statements and with the FMD to facilitate the prompt payment of lease obligations, thereby preventing the accumulation of unpaid liabilities and minimizing the risk of disputes or lump-sum billings; and
 - c. Establish a monitoring mechanism that requires proactive follow-ups and timely escalation of unresolved matters to Management to prevent unnecessary delays in contract execution and related activities, and to ensure that formal written communications are undertaken instead of relying solely on email correspondence;
- 6.2 Direct the FMD to:
- a. Effect the necessary adjustments to correct the misstatements;
 - b. Thoroughly review the recording of lease-related transactions like lease liability measurement, ROU assets recognition, advance rentals treatment, depreciation, and contract provisions;
 - c. Remeasure the LP and ROU Assets upon execution of final lease contracts and effect the necessary adjustments; and
 - d. Regularly reconcile recorded lease liabilities with the billings from lessors and the ASD for proper application and recording of lease payments;
- 7.1 Direct the FMD to effect the necessary adjustments to correct the noted misstatements, as well as reconcile its records with those of the ASD- Property Officer (PO) based on the submitted RPCPPE;

- 7.2 Require the Inventory Committee (IC) to prepare a Property Inventory Plan as a mandatory requirement for the conduct of a physical count of PPE items to serve as a guide for the systematic execution and completion of inventory activities, and shall be submitted to COA, including the invitation to witness the physical count;
- 7.3 Direct the Information and Communications Technology Division (ICTD) to determine the whereabouts of the missing Information and Communication Technology Equipment (ICTE) items, exert reasonable efforts to locate them, and prepare a status report thereon. Should the items remain unaccounted for, require the concerned personnel previously responsible for their custody, management, and oversight to explain and be held accountable, as warranted. A copy of the status report shall be furnished to the IC, PO, FMD and COA;
- 7.4 Instruct the IC and the ASD – PO to locate and reconcile all missing or unaccounted for furniture and fixtures, and other PPE items by referring to the corresponding Property Acknowledgement Report and other property records to identify the accountable personnel;
- 7.5 Require the PO to submit to the Agency Head a list of all missing PPE items for the issuance of demand letters to the concerned accountable officer or personnel, directing them to produce the property entrusted to their custody or explain its non-production;
- 7.6 Direct all concerned personnel to cooperate fully in the inventory, location, and reconciliation of missing ICTE and other PPE items. For any items that cannot be located or produced by the accountable person/unit/division, direct the PO to prepare a list and forward it to the FMD for the recording of receivables, in accordance with applicable accounting and auditing rules and regulations; and
- 7.7 Direct the PO to immediately prepare the list of PPE items found in the work stations, including related information, and transmit it formally to the FMD for reconciliation, recording, and updating of the property records.

The other significant audit observations and recommendations that need immediate action are as follows:

8. The reasonableness and effectiveness of PRA's advertising and sponsorship expenditures amounting to P78.742 million and P35.389 million, respectively, could not be established due to the absence of clearly defined and measurable success indicators and consolidated performance reporting, which resulted in fragmented monitoring and limited Management's ability to assess the performance of advertising and sponsorship activities, including their contribution to achievement of agency objectives. Consequently, the PRA was unable to adequately demonstrate whether these expenditures generated the intended outcomes and represented an efficient use of government resources, consistent with the principles of Results-Based Budget Management, Section 2 of Presidential Decree No. (PD) 1445, and Department of Budget and Management National Budget Circular No. 565. Moreover, PRA has yet to establish a formally approved written policy outlining the criteria and procedures for the selection and approval of sponsorship activities. The absence of such a policy weakens transparency, fairness, and accountability in decision-making and increases the risk that sponsorship expenditures may not be sufficiently justified, cost-effective, or aligned with the agency's objectives.

- 8.1 We recommended that Management direct the Marketing Department to:
- a. Incorporate in the Marketing Plan (MP) for CYs 2025-2026 a well-defined set of Key Performance Indicators (KPI) for each advertising platform, including the corresponding measurement tools, data sources, metrics, results-based indicators like conversion and attribution rates, and reporting requirements, and secure Board approval thereof;
 - b. Prepare individual and consolidated performance evaluation reports for all sponsorship activities undertaken during the year, using relevant and measurable parameters, and subject these reports to review by the agency head to guide future sponsorship decisions and advertising and marketing budget allocations, ensuring that only activities that provide the greatest benefit to the PRA are selected;
 - c. Prepare periodic and consolidated performance reports by integrating all KPIs data into a comprehensive annual report to facilitate comparison of advertising platform performance, identification of underperforming channels, trend analysis, and evidence-based decision-making;
 - d. Improve data validation by integrating mandatory surveys during oath-taking to identify enrolment drivers, and enhancing QR code deployment through more engaging designs to increase participation and response rates, in coordination with the ICTD;
 - e. Submit a comprehensive and realistic performance evaluation report on the CY 2025 advertising placements, platforms, and sponsorship activities based on the KPIs/success indicators in the approved MP, to determine their reasonableness, effectiveness and contribution to enrolment outcomes, and to justify the necessity and validity of sponsorship expenditures of P31.509 million, including any future engagements; and
 - f. Develop a comprehensive Sponsorship Selection and Approval Policy incorporating standardized criteria for evaluating and approving sponsorship proposals based on cost-effectiveness, pricing benchmarks, Return on Investments indicators, performance evaluation results, and alignment with PRA's mandate and approved MP, and integrate such policy into the existing Detailed Operating Procedures, for Board approval.
- 8.2 We likewise recommended that Management establish a formal review and evaluation mechanisms, to be handled by a designated Committee, to assess advertising and sponsorship performance against KPIs, ensure accountability, and support the continuous improvement of marketing strategies and resource allocation decisions.
9. PRA incurred lease rentals, condominium dues, and related payments totaling P7.058 million for an additional office space that remained unutilized for its intended purpose as at December 31, 2025, due to significant delays in the procurement of assessment/design services and the subsequent postponement of construction works required to make the premises operational. These circumstances may lead to inefficient use of government resources, contrary to Section 2 of PD No. 1445 and the principles of sound public financial management.

9.1 We recommended that Management:

- a. Direct the FMD to demand payment from the Consultant for the liquidated damages that were not deducted from the amount due to him;
 - b. Direct the ASD to submit a comprehensive written explanation, supported by relevant documents and timelines, on the delays or non-completion of the project that led to the lease rental costs of P7.058 million, considering the circumstances surrounding the project and the performance of the assigned duties and responsibilities of concerned personnel; and direct the Legal Unit to conduct an independent review of the relevant conditions and the participation of the concerned personnel, and, based on the results thereof, initiate the appropriate actions, if warranted. Thereafter, submit to COA the results of the review and the actions taken;
 - c. Direct the ASD, Technical Working Group (TWG), PMD, and Bids and Awards Committee (BAC) to prioritize and fast-track the finalization of the Terms of Reference (TOR) for the construction project and the procurement of the construction contractor, with clearly defined timelines, milestones, and responsibilities;
 - d. Designate a dedicated project focal person within the ASD to oversee the day-to-day implementation of the project, coordinate with concerned offices, monitor progress, maintain proper documentation, and regularly report status updates to the Office of the General Manager to facilitate the timely completion of the project;
 - e. Require the ASD, TWG, PMD, and BAC to conduct regular coordination meetings to promptly resolve issues, monitor project progress, and prevent further delays until the project is fully implemented;
 - f. To prevent similar issues in the future, engage qualified technical personnel (engineer/architect) to assist the proponents and TWGs in: (i) conducting technical assessment for major renovation projects involving prospective leased spaces; and (ii) preparing TORs, plans, cost estimates, technical specifications, and bills of materials;
 - g. Direct the PMD to require proponents to finalize TORs and Project Procurement Management Plan within prescribed written deadlines to ensure timely inclusion in the Annual Procurement Plan and eligibility for Early Procurement Activities; and
 - h. Establish internal timelines and clearly delineate accountability for the inspection, evaluation, review, and acceptance of consultants' outputs and other deliverables.
10. The development of the Human Resource Information System (HRIS) and Website Development Project (Phase II), for which payments totaling P0.974 million and P1.680 million, respectively, were made, remain incomplete due to inadequate coordination and weak project implementation among the responsible divisions/units. As a result, the intended objectives and expected benefits of these projects have not been fully realized. Consequently, government resources were utilized inefficiently, contrary to Section 2 of PD No. 1445 and Sections 7 and 47.2 of RA No. 9184 or the Government Procurement Act Reform Act.

10.1. We recommended that Management:

- a. Require the ICTD to provide a written explanation for the prolonged delay in the completion of the HRIS and the Website Project, including the basis for the issuance of Certificate of Completion and Acceptance despite the HRIS not being fully completed and operational;
- b. Direct the ICTD and ASD to immediately coordinate and collaborate in identifying and completing the necessary requirements and inputs necessary for the HRIS to become fully functional and operational, and to establish a definite timeline to fast-track the completion and implementation;
- c. Instruct the ICTD, Resident Retiree Services Department, and FMD to immediately coordinate and complete all the remaining requirements and inputs for the Website Development Project, with clearly defined roles, responsibilities, deliverables, and implementation timelines;
- d. Direct the ICTD and Legal Unit to conduct a technical and financial assessment of the project deliverables vis-à-vis payments made, to determine any accountability on the part of the vendor/contractor and to enforce compliance with contractual obligations, as warranted. Likewise, coordinate with the contractor regarding the requirements raised by the Office of the Government Corporate Counsel regarding the outstanding payment issues;
- e. To prevent the recurrence of similar lapses in the future, strengthen project planning and governance by formulating and implementing an IT Project Governance Policy covering, among others, TOR preparation, requirements definition, acceptance testing, documentation, project monitoring and accountability mechanisms; and
- f. Direct the Internal Audit Division to conduct a comprehensive review of all software system projects to assess their completion status, functionality, usability, and the extent to which intended objectives and benefits have been realized.

SUMMARY OF UNSETTLED AUDIT SUSPENSIONS, DISALLOWANCES AND CHARGES

The unsettled audit suspensions and disallowances as at December 31, 2025, amounted to P1.975 million and P2.437 million, respectively. There was no unsettled audit charge at year-end. The details and status of the unsettled disallowances and suspensions are presented in Part IV, Annex A of this Report.

STATUS OF IMPLEMENTATION OF PRIOR YEAR'S AUDIT RECOMMENDATIONS

Of the 115 audit recommendations embodied in the prior year's Annual Audit Report, 65 were fully implemented, while 50 were not implemented.

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Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City, Philippines

INDEPENDENT AUDITOR'S REPORT

THE BOARD OF TRUSTEES

Philippine Retirement Authority
29th Floor, BDO Towers Valero
8741 Paseo de Roxas, Makati City

Report on the Audit of the Financial Statements

Qualified Opinion

We have audited the financial statements of the **Philippine Retirement Authority (PRA)**, which comprise the statements of financial position as at December 31, 2025 and 2024, and the statements of comprehensive income, statements of changes in equity and statements of cash flows for the years then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects and possible effects of the matters described in the Bases for Qualified Opinion section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the PRA as at December 31, 2025 and 2024, and its financial performance and its cash flows for the years then ended in accordance with Philippine Financial Reporting Standards (PFRSs).

Bases for Qualified Opinion

The Retained Earnings (RE) account, with a year-end balance of P3.637 billion, is overstated by P23.842 million, with the corresponding misstatements in several affected accounts, due to the erroneous adjustment and the improper recognition of the reversal of allowance for impairment directly in RE account instead of recognizing it prospectively in Profit or Loss. Additionally, the details of the prior period adjustments totaling P192.004 million are not adequately disclosed in the Notes to Financial Statements (FSs). These deficiencies are not in accordance with Paragraphs 36, 38, and 42 of the Philippine Accounting Standard (PAS) 8 and have affected the fair presentation of the balances of the said accounts in the financial statements. In addition, the dividend declaration in Calendar Year (CY) 2025 was incorrectly accounted for as a prior period adjusting event rather than as a current year transaction, resulting in the adjustment of the declared dividends of P294.960 million against the prior year's balance of the Dividends Payable account, which is contrary to Paragraphs 12 and 13 of PAS 10.

Likewise, the faithful representation of the Restricted Funds invested in time deposits (TDs) totaling P22.168 billion could not be established due to discrepancies amounting to: (a) P462.338 million between the confirmed bank balances and the results of the inventory of Certificate of TDs; (b) P51.047 million between the general ledger balance and supporting schedules; and (c) P34.490 million between the balances per books and the confirmed bank balances. These

discrepancies were attributable to the incomplete supporting documents and subsidiary ledgers (SLs), unadjusted long-outstanding reconciling items (RIs), heavy reliance on manual procedures, and deficiencies in internal controls, which is inconsistent with the requirements of Paragraph 15 of PAS 1. Meanwhile, the interest earned from Visa Deposits (VDs) of retiree members for the period CYs 2022 to 2025, totaling P710.123 million, was recognized as PRA's income despite the absence of a clear legal basis or a duly approved arrangement, resulting in potential misstatement of both income and liabilities accounts by the same amount, while the source and basis of computation of the interest income were not disclosed in the Notes to FSs. These conditions are contrary to Paragraph 4.48 of the Conceptual Framework for Financial Reporting (CFFR) and Paragraph 122 of PAS 1.

Moreover, the correctness of the balances of the Trust Liabilities (TL) – VDs and TL – Interest on VDs accounts, aggregating P22.927 billion as at year-end, could not be established due to: (a) long-standing unreconciled differences of P206.135 million between these liability accounts and their corresponding contra-asset accounts totaling P22.721 billion; and (b) absence of complete and reliable subsidiary records. These conditions impaired the verifiability and fair presentation of the accounts in the financial statements, contrary to Paragraph QC26 of CFFR.

Likewise, the correctness of the Cash in Bank (CIB) account, with a year-end balance of P296.516 million, could not be ascertained due to unreconciled differences and other RIs totaling P16.295 million between the balances per books and per bank records that remained unadjusted as at year-end. These deficiencies were caused by: (a) unadjusted long-standing RIs; (b) absence of SLs for each CIB account; (c) the delayed and/or non-preparation of Bank Reconciliation Statements, and (d) non-cancellation of various stale checks, resulting in the understatement of the CIB account by P9.098 million, thereby affecting the fair presentation of the CIB account balance in the financial statements, contrary to Paragraph 15 of PAS 1.

Further, the correctness of the Accounts Receivable (AR) account with a net carrying amount of P196.038 million as at year-end could not be ascertained due to non-compliance with the Expected Credit Losses measurement requirements for impairment of financial assets under Paragraphs 5.5.17 and 5.5.18 of the PFRS 9.

Furthermore, the balances of the Lease Payable (LP) and Right-of-Use (ROU) Assets accounts amounting to P111.188 million and P114.328 million, respectively, are not fairly presented in the financial statements due to the doubtful recognition of LP and ROU assets totaling P103.254 million. The lease terms used in measuring these balances for two lease renewals could not be reliably established because the renewals were not supported by duly executed lease contracts, contrary to Section 2.30 of CFFR and Appendix B34 of PFRS 16. Also, the LP account was understated by P0.567 million, while the ROU Asset and Prepaid Rent accounts were overstated by P0.967 million and P1.500 million, respectively. These misstatements, together with the resulting inaccuracies in other related accounts, arose from errors in the measurement, recording, and depreciation computation for one lease contract, which is inconsistent with Paragraphs 23, 24, and 26 of PFRS 16.

Lastly, the correctness of the balances of Property, Plant and Equipment (PPE) - Machinery and Equipment, Furniture and Fixtures, Motor Vehicles, and other PPE items, with an aggregate carrying amount of P40.653 million as at year-end, could not be established due to significant discrepancies between the report on physical count of PPE (RPCPPE) and the books amounting to P26.517 million, caused by: (a) missing or non-existent items totaling P11.984 million; (b) erroneous recording of Subscription Expense amounting to P2.983 million and advance payments of P4.780 million for purchased vehicle; (c) unrecorded PPE items amounting to P2.407 million;

and (d) lapses in the preparation of RPCPPE, thereby affecting the fair presentation of the PPE account in the financial statements, contrary to Paragraph 15 of PAS 1.

We conducted our audits in accordance with the International Standards of Supreme Audit Institutions (ISSAIs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the PRA in accordance with the Revised Code of Conduct and Ethical Standards for the Commission on Audit Officials and Employees (Code of Ethics), together with the ethical requirements that are relevant to our audit of the FSs in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matters

In our report dated May 13, 2025, we expressed a qualified opinion on the CY 2024 financial statements because of, among others, (a) the ROU account and its corresponding Accumulated Depreciation were both overstated by P65.373 million and P66.490 million, respectively, while the Depreciation Expense, LP, and other accounts were either overstated or understated in various amounts, due to non-derecognition of ROU asset for the paid and expired two lease contracts, erroneous recording of rental expenses, over-recording of depreciation expenses, and non-recognition of remeasurement value for lease extensions; (b) Withholding Tax at Source and Income Tax Payable accounts were overstated by P4.156 million (net) and P13.385 million, respectively, while the RE account was understated by P9.229 million, resulting from erroneous adjustments on prior year transactions and non-recording of creditable withholding tax (CWT) utilization, and premature recognition of CWT intended for use in CY 2025; and (c) the AR — Annual PRA Fee (APF)/Visitorial Fee (VF)/Harmonization Fee (HF) and the Unearned Revenue—APF/VF/HF accounts were overstated by P15.636 million and P16.236 million, respectively, while the Unrealized Gain on foreign exchange account was understated by P0.604 million, due to misapplication of full years of PRA fees in CYs 2024 to 2025, and errors in the year-end revaluation of foreign currency balances.

In CY 2025, the PRA Management has made the necessary adjustment/s in the books, as the identified errors have been corrected, and no further adjustments are required.

Accordingly, our current opinion on the restated CY 2024 financial statements, as presented herein, is no longer qualified with respect to these matters.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the PRA's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the PRA or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the PRA's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that included our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

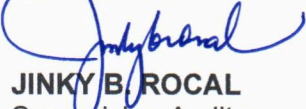
As part of an audit in accordance with ISSAIs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the PRA's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the PRA's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the PRA to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Our audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information for the year ended December 31, 2025, required by the Bureau of Internal Revenue as disclosed in Note 34 to the financial statements, is presented for purposes of additional analysis and is not a required part of the basic financial statements prepared in accordance with PFRSs. Such supplementary information is the responsibility of management.

COMMISSION ON AUDIT



JINKY B. ROCAL

Supervising Auditor

Audit Group D – PRA/VFP/BSOP

Corporate Government Audit Sector – Cluster 6

April 29, 2026



STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Management of the **PHILIPPINE RETIREMENT AUTHORITY** is responsible for the preparation of the financial statements as at December 31, 2025 and 2024, including the additional components attached thereto in accordance with the prescribed financial reporting framework indicated therein. The responsibility includes designing and implementing internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error, selecting and applying appropriate accounting policies and making accounting estimates that are reasonable in the circumstances.

The Board of Directors reviews and approves the financial statements before such statements are issued to the regulators, creditors and other users.

The Commission on Audit has audited the financial statements of the PHILIPPINE RETIREMENT AUTHORITY in accordance with the Philippine Public Sector Standards on Auditing and has expressed its opinion on the fairness of presentation upon completion of such audit, in its report to the Board of Directors.

PHILIP JOHN B. MORENO
Head, Admin and Finance Service Department

6 APRIL 2026

Date Signed

HON. ROBERTO Z. ZOZABRADO
General Manager and CEO
Vice Chairperson, PRA Board of Trustees

6 APRIL 2026

Date Signed



PHILIPPINE RETIREMENT AUTHORITY
STATEMENTS OF FINANCIAL POSITION
As at December 31, 2025 and 2024
(In Philippine Peso)

	Note	2025	2024
ASSETS			
Current Assets			
Cash and cash equivalents	5	298,088,380	160,154,794
Investment in time deposits	6	4,094,488,418	3,774,385,166
Receivables - net	7	423,539,670	378,341,049
Inventories	8	7,420,433	5,985,535
Other current assets	9	14,201,999	35,749,516
Total Current Assets		4,837,738,900	4,354,616,060
Non-Current Assets			
Investment in stocks	10	3,500,000	3,500,000
Other receivables	11	7,037,557	7,037,452
Property, plant and equipment	12	135,695,614	23,244,612
Intangible assets	13	2,093,100	2,093,100
Deferred tax assets	31.3	317,046,476	235,414,251
Other non-current assets	14	22,486,622,409	21,213,854,425
Total Non-Current Assets		22,951,995,156	21,485,143,840
Total Assets		27,789,734,056	25,839,759,900
LIABILITIES			
Current Liabilities			
Financial liabilities	15	94,094,805	42,608,587
Inter-agency payables	16	28,359,788	93,129,760
Other payables	18	75,297,326	306,052,715
Total Current Liabilities		197,751,919	441,791,062
Non-Current Liabilities			
Trust liabilities	17	22,943,206,417	21,747,820,343
Deferred credits/unearned income	19	664,594,320	662,958,791
Provisions	20	17,103,689	14,904,049
Deferred tax liabilities	31.4	153,106,800	67,294,329
Lease payable	21	111,188,484	2,119,646
Total Non-Current Liabilities		23,889,199,710	22,495,097,158
Total Liabilities		24,086,951,629	22,936,888,220
EQUITY			
Government equity	22	63,217,089	63,217,089
Retained earnings	23	3,636,665,338	2,836,754,591
Other comprehensive income	10	2,900,000	2,900,000
Total Equity		3,702,782,427	2,902,871,680
Total Liabilities and Equity		27,789,734,056	25,839,759,900

The notes on pages 11 to 59 form part of these statements.

PHILIPPINE RETIREMENT AUTHORITY
STATEMENTS OF COMPREHENSIVE INCOME
For the years ended December 31, 2025 and 2024
(In Philippine Peso)

	Note	2025	2024
Income			
Service income	24.1	911,491,747	836,744,648
Business income	24.2	411,179,753	307,994,740
Gains on forex	24.3	992,622,244	992,899,255
Other non-operating income	24.4	609,014	531,558
Total Income		2,315,902,758	2,138,170,201
Expenses			
Personnel services	26	114,253,971	93,890,497
Maintenance and other operating expenses	27	241,794,441	153,360,906
Financial expenses	29	6,198,871	696,983
Direct costs	25	76,688,558	73,400,835
Loss on forex	30	923,819,632	900,536,899
Non-cash expenses	28	30,430,953	169,555,955
Total Expenses		1,393,186,426	1,391,442,075
Profit before tax		922,716,332	746,728,126
Income tax expense	31.2	122,772,117	95,864,741
Profit after tax		799,944,215	650,863,385
Net assistance/subsidy(financial assistance/subsidy/contribution)		-	-
Net income		799,944,215	650,863,385
Other comprehensive income(loss) for the period	10	-	-
Total Comprehensive Income		799,944,215	650,863,385

The notes on pages 11 to 59 form part of these statements.

PHILIPPINE RETIREMENT AUTHORITY
STATEMENTS OF CHANGES IN EQUITY
For the years ended December 31, 2025 and 2024
(In Philippine Peso)

		Retained Earnings (Restated)	Other Comprehensive Income	Government Equity	
	Note	23	10	22	Total
BALANCE AT JANUARY 1, 2024		2,562,823,161	2,900,000	63,217,089	2,628,940,250
CHANGES IN EQUITY FOR 2024					
Add/(deduct):					
Comprehensive income		650,863,385	-	-	650,863,385
Dividends	23	(184,360,156)	-	-	(184,360,156)
Other adjustments		(192,571,799)	-	-	(192,571,799)
BALANCE AT DECEMBER 31, 2024		2,836,754,591	2,900,000	63,217,089	2,902,871,680
CHANGES IN EQUITY FOR 2025					
Add/(deduct):					
Comprehensive income		799,944,215	-	-	799,944,215
Dividends	23	(294,960,406)	-	-	(294,960,406)
Other adjustments		294,926,938	-	-	294,926,938
BALANCE AT DECEMBER 31, 2025		3,636,665,338	2,900,000	63,217,089	3,702,782,427

The notes on pages 11 to 59 form part of these statements.

PHILIPPINE RETIREMENT AUTHORITY
STATEMENTS OF CASH FLOWS
For the years ended December 31, 2025 and 2024
(In Philippine Peso)

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash inflows		
Collection of income/revenue	241,574,110	223,517,672
Collection of receivables	466,122,745	440,549,759
Trust receipts	59,611,578	47,261,133
Other receipts	195,279,677	170,421,629
Total cash inflows	962,588,110	881,750,193
Adjustments	9,371,088	7,785,466
Adjusted cash inflows	971,959,198	889,535,659
Cash outflows		
Payment of expenses	384,882,752	280,216,147
Purchase of inventories	7,208,916	5,534,016
Grant of cash advances	-	239,049
Prepayments	-	3,193,752
Refund of deposits	-	-
Payments of accounts payable	3,608,258	2,063,552
Remittance of personnel benefit contributions	25,594,123	24,054,323
Other disbursements	151,444,601	192,788,225
Total cash outflows	572,738,650	508,089,064
Adjustments	2,934,666	1,019,396
Adjusted cash outflows	575,673,316	509,108,460
Net cash provided by (used in) operating activities	396,285,882	380,427,199
CASH FLOWS FROM INVESTING ACTIVITIES		
Cash inflows		
Receipt of interest earned	350,047,644	174,685,342
Proceeds from matured investments	2,533,060,950	817,600,000
Total cash inflows	2,883,108,594	992,285,342
Adjustments	-	-
Adjusted cash inflows	2,883,108,594	992,285,342
Cash outflows		
Purchase of property, plant and equipment	17,707,655	525,000
Purchase of investments	2,839,817,565	1,362,130,900
Total cash outflows	2,857,525,220	1,362,655,900
Net cash provided by (used in) investing activities	25,583,374	(370,370,558)
CASH FLOWS FROM FINANCING ACTIVITIES		
Cash outflows		
Interest expenses (Right of use)	381,817	594,880
Repayment of borrowings and leasing liabilities (Right of use)	5,258,912	21,616,268
Payment of cash dividends	294,960,406	184,360,156
Total cash outflows	300,601,135	206,571,304
Net cash provided by (used in) financing activities	(300,601,135)	(206,571,304)
Net increase (decrease) in cash and cash equivalents	121,268,121	(196,514,663)
Effects of exchange rate changes on cash and cash equivalents	16,665,465	23,205,107
CASH AND CASH EQUIVALENTS, JANUARY 1	5 160,154,794	333,464,350
CASH AND CASH EQUIVALENTS, DECEMBER 31	5 298,088,380	160,154,794

The notes on pages 11 to 59 form part of these statements.

PHILIPPINE RETIREMENT AUTHORITY
NOTES TO FINANCIAL STATEMENTS
(All amounts in Philippine Peso unless otherwise stated)

1. GENERAL INFORMATION

The financial statements of the **PHILIPPINE RETIREMENT AUTHORITY** (PRA) were authorized for issue on April 6, 2026, as shown in the Statement of Management's Responsibility for Financial Statements signed by Mr. Philip John B. Moreno, Head, Administration and Finance Service Department, and Mr. Roberto Z. Zozobrado - General Manager and Chief Executive Officer of the PRA and Vice-Chairperson of the Board of Trustees.

The PRA is a Government Owned and/or Controlled Corporation (GOCC) created on July 4, 1985 pursuant to Executive Order (EO) No. 1037 and operates under the supervision of the DOT as an attached agency through Republic Act (RA) No. 9593, also known as the Tourism Act of 2009. The PRA is mandated by law to develop and promote the Philippines as a retirement haven as a means of accelerating the social and economic development of the country, strengthening its foreign exchange (forex) position at the same time, and providing the best quality of life to the targeted retirees in a most attractive package. The purposes and objectives of the PRA are as follows:

- a. To develop and promote the country as a retirement haven;
- b. To adopt the integrated approach in the development or establishment of retirement communities in the country, considering the 11 basic needs of man;
- c. To provide the organizational framework to encourage foreign investment in its development projects;
- d. To provide effective supervision, regulation and control in the development and establishment of retirement communities in the country and in the organization, management, and ownership of its projects; and
- e. To make optimum use of existing facilities and/or assets of the government and the private sector without sacrificing their competitiveness in the international and local markets.

The PRA recommends to the Bureau of Immigration (BI) the issuance of Special Resident Retirees Visa (SRRV), a special non-immigrant visa with multiple/indefinite entry privileges, to qualified foreigners and former Filipino citizens who wish to make the Philippines their second home.

With the passage of Tourism Act of 2009, also known as RA No. 9593 on May 12, 2009, the supervision of the PRA was transferred from the Department of Trade and Industry to the DOT.

As at December 31, 2025, the PRA is headed by General Manager/Chief Executive Officer, Roberto Z. Zozobrado, assisted by a Deputy General Manager and four Department Managers. The PRA has a total workforce of 205, consisting of 95 regular employees and 110 job order personnel.

The PRA's registered office address is at the 29th Floor, Banco De Oro (BDO) Towers Valero, 8741 Paseo de Roxas, Makati City, 1200, Philippines. The PRA has four satellite offices operating in major cities, i.e., Angeles (Subic/Clark), Baguio, Cebu, and Davao. It can be reached through its website at www.pra.gov.ph.

2. BASIS OF PREPARATION AND PRESENTATION OF FINANCIAL STATEMENTS

2.1 Statement of Compliance

The financial statements of the PRA have been prepared in accordance with the Philippine Financial Reporting Standards (PFRSs), which include all applicable PFRSs, Philippine Accounting Standards (PASs), and interpretations issued by the Philippine Interpretations Committee and Standing Interpretations Committee as approved by the Financial Reporting Standards Council (FRSC) and Board of Accountancy and adopted by the Securities and Exchange Commission.

2.2 Basis of Preparation

The financial statements of the PRA have been prepared on a historical cost basis unless otherwise indicated.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

2.3 Presentation and Functional Currency

The financial statements are presented in Philippine Peso, which is also the currency of the primary economic environment in which the PRA operates. All amounts are rounded off to the nearest peso, unless otherwise stated.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Presentation of Financial Statements

The financial statements have been prepared in compliance with the PFRSs prescribed by the Commission on Audit (COA) through COA Circular No. 2017-004 dated December 13, 2017, and PAS 1, *Presentation of Financial Statements*.

3.2 Changes in accounting policies and disclosures

a. *New standards and amendments effective in 2023 that are relevant to the PRA*

The accounting policies adopted are consistent with those of the previous financial year except for the adoption of the following new and amended PFRS which the PRA adopted effective for annual periods beginning on or after January 1, 2025:

- Amendments to PAS 1, *Presentation of Financial Statements, Classification of Liabilities as Current or Non-Current* – The amendments affect only the presentation

of liabilities in the statement of financial position, not the amount or timing of recognition of any asset, liability, income or expenses, or the information that entities disclose about those items. Also, the amendments provide guidance on whether a liability should be classified as either current or non-current and clarify that the classification of liabilities as current or non-current should be based on rights that are in existence at the end of the reporting period and that the classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability. The application of these amendments had no significant impact on the financial statements.

The foregoing amendments do not have any material effect on the financial statements of the PRA. Additional disclosures have been included in the notes to financial statements, as applicable.

b. *New Standards effective in 2025 that are not relevant or not applicable to the PRA*

- Amendments to PFRS 1, *First-time Adoption of Philippine Financial Reporting Standards, Subsidiary as a first-time adopter* – The amendment permits a subsidiary that applies Paragraph D16(a) of PFRS 1 to measure cumulative translation differences using the amounts reported by its parent, based on the parent's date of transition to the PFRSs.
- Amendments to PFRS 3, *Business Combinations, Reference to the Conceptual Framework* – The amendment updates PFRS 3 so that it refers to the 2018 Conceptual Framework instead of the 1989 Framework; add to PFRS 3 a requirement that, for transactions and other events within the scope of PAS 37 or International Financial Reporting Interpretations Committee (IFRIC) 21, an acquirer applies PAS 37 or IFRIC 21 (instead of the Conceptual Framework) to identify the liabilities it has assumed in a business combination; and add to PFRS 3 an explicit statement that an acquirer does not recognise contingent assets acquired in a business combination.
- Amendments to PAS 41, *Agriculture, Taxation in fair value measurements* – The amendment removes the requirement in Paragraph 22 of PAS 41 for entities to exclude taxation cash flows when measuring the fair value of a biological asset using a present value technique. This will ensure consistency with the requirements in PFRS 13.
- Amendments to PFRS 17, *Insurance Contracts* – On December 15, 2021, the FRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 202062 issued by the Insurance Commission, which deferred the implementation of International Financial Reporting Standards 17 by two years after its effective date as decided by the International Accounting Standards Board.

The main changes resulting from the Amendments to PFRS 17 are:

- Deferral of the date of initial application of PFRS 17 by two years to annual periods beginning on or after January 1, 2025, and change the fixed expiry date for the temporary exemption in PFRS 4 Insurance Contracts from applying PFRS 9

Financial Instruments, so that entities would be required to apply PFRS 9 for annual periods beginning on or after January 1, 2025.

- Additional scope exclusion for credit card contracts and similar contracts that provide insurance coverage, as well as an optional scope exclusion for loan contracts that transfer significant insurance risk.
 - Recognition of insurance acquisition cash flows relating to expected contract renewals, including transition provisions and guidance for insurance acquisition cash flows recognized in a business acquired in a business combination.
 - Clarification of the application of PFRS 17 in interim financial statements, allowing an accounting policy choice at a reporting entity level.
 - Clarification of the application of contractual service margin attributable to investment-return service and investment-related service and changes to the corresponding disclosure requirements.
 - Extension of the risk mitigation option to include reinsurance contracts held and non-financial derivatives.
 - Amendments to require an entity that at initial recognition recognizes losses on onerous insurance contracts issued to also recognize a gain on reinsurance contracts held.
 - Simplified presentation of insurance contracts in the statement of financial position so that entities would present insurance contract assets and liabilities in the statement of financial position determined using portfolios of insurance contracts rather than groups of insurance contracts.
 - Additional transition relief for business combinations and additional transition relief for the date of application of the risk mitigation option and the use of the fair value transition approach.
 - Several small amendments regarding minor application issues.
-
- Amendment to PFRS 17, *Initial Application of PFRS 17 and PFRS 9 – Comparative Information* – The amendment adds a transition option that permits an entity to apply an optional classification overlay in the comparative period(s) presented on initial application of PFRS 17. The overlay allows all financial assets, including those held in respect of activities not connected to contracts within the scope of PFRS 17, to be classified, on an instrument-by-instrument basis, in the comparative period(s) in a way that aligns with how the entity expects those assets to be classified on initial application of PFRS 9. The overlay can be applied by entities that have already applied PFRS 9 or will apply it when they apply PFRS 17.

c. *New and amended standards and interpretations issued but not yet effective*

The new and amended PFRSs, which are not yet effective for the year ended December 31, 2025, and have not been applied in preparing the financial statements, are summarized below:

Effective for annual periods beginning on or after January 1, 2026:

- Amendments to PFRS 9 and PFRS 7, Amendments to the Classification and Measurement of Financial Instruments - Clarifies that financial assets and financial liabilities are recognized and derecognized at the settlement date, except for regular way purchases or sales of financial assets and financial liabilities meeting conditions for a new exception. The new exception permits companies to elect to derecognize

certain financial liabilities settled via electronic payment systems earlier than the settlement date. They also provide guidelines to assess contractual cash flow characteristics of financial assets, which apply to all contingent cash flows, including those arising from environmental, social, and governance-linked features. Additionally, these amendments introduce new disclosure requirements and update others.

Effective for annual periods beginning on or after January 1, 2027:

- PFRS 18 replaces PAS 1, Presentation and Disclosure in Financial Statements - The changes, which mostly affect the income statement, include the requirement to classify income and expenses into three new categories - operating, investing, and financing - and present subtotals for operating profit or loss and profit or loss before financing and income taxes. Further, operating expenses are presented directly on the face of the income statement - classified either by nature (e.g., employee compensation), by function (e.g., cost of sales), or using a mixed presentation. Expenses presented by function require more detailed disclosures about their nature.

Amendments to PFRS 17, *Insurance Contracts* – On December 15, 2021, the FRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 202062.

Under prevailing circumstances, the adoption of the foregoing amendments to Standards is expected to have little to no material impact on the disclosures and amounts recognized in the PRA's financial statements.

d. Issued standards with deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements* and PAS 28, *Investments in Associates and Joint Ventures, Sale or Contribution of Assets Between an Investor and its Associate or Joint Venture* – The amendments address a current conflict between the two standards and clarify that a gain or loss should be recognized fully when the transaction involves a business, and partially if it involves assets that do not constitute a business. The effective date of the amendments, initially set for annual periods beginning on or after January 1, 2016, was deferred indefinitely in December 2015, but earlier application is still permitted.
- Amendments to PFRS 4, *Applying PFRS 9 Financial Instruments with PFRS 4 Insurance Contracts* - The amendments respond to industry concerns about the impact of differing effective dates. The amendments to PFRS 4 provide two optional solutions to reduce the impact of the differing effective dates of PFRSs 9 and 17. The two optional solutions are the temporary exemption from PFRS 19 and the overlay approach. Under the temporary approach, rather than having to implement PFRS 19, some companies are permitted to continue to apply PFRS 30, Financial Instruments. The overlay approach to presentation alleviates temporary accounting mismatches and volatility. For designated financial assets, a company is permitted to reclassify between profit or loss and other comprehensive income (OCI), the difference between the amounts recognized in profit or loss under PFRS 9 and those that would have been reported under PAS 39.

Under the prevailing circumstances, the adoption of the foregoing new and amended PFRS is not expected to have any material effect on the financial statements of PRA.

3.3 Financial Instruments

The PRA recognizes a financial asset or a financial liability in its Statement of Financial Position when, and only when, it becomes a party to the contractual provision of the instruments. In the case of a regular way of purchase or sale of financial assets, recognition and derecognition, as applicable, are done using settlement date accounting. For purposes of presenting financial instruments as liabilities or equity and for offsetting financial assets and financial liabilities, PAS 32, *Financial Instruments: Presentation* is applied to the classification of financial instruments, from the perspective of the issuer, into financial assets, financial liabilities and equity instruments; the classification of related interest, dividends, losses and gains; and the circumstances in which financial assets and liabilities should be offset.

Financial Assets

Financial assets are recognized initially at fair value, which is the fair value of the consideration given (in case of an asset) or received (in case of a liability). The initial measurement of the PRA's financial instruments, except for those designated at fair value through profit and loss (FVTPL), includes transaction costs.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the PRA takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date.

For financial reporting purposes, fair value measurements are categorized into Level 1, 2, or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which is described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

Classification and Subsequent Measurement

The PRA classifies its financial assets at initial recognition under the following categories: (a) financial assets at the FVTPL; (b) financial assets at amortized cost; and (c) financial assets at fair value through other comprehensive income (FVOCI). The classification of a financial instrument largely depends on the PRA's business model and its contractual cash flow characteristics.

Financial Assets at Amortized Cost

Financial assets shall be measured at amortized cost if the following conditions are both met:

- The financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, the financial assets are subsequently measured at amortized cost using the effective interest method, less allowance for impairment, if any. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the financial assets are derecognized and through an amortization process. Financial assets at amortized cost are included under current assets if their realization or collectability is within 12 months after the reporting period. Otherwise, these are classified as noncurrent assets.

As at December 31, 2025 and 2024, the PRA's receivables, short-term investments and long-term investments are classified under this category.

Financial Assets at FVOCI – debt instruments

For debt instruments that meet the contractual cash flow characteristic and are not designated at the FVTPL under the fair value option, the financial assets shall be measured at the FVOCI if both of the following conditions are met:

- The financial asset is held within a business model whose objective is to hold financial assets to collect contractual cash flows and sell the financial assets; and
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For equity instruments, the PRA may irrevocably designate the financial asset to be measured at the FVOCI in case the above conditions are not met.

Financial assets at the FVOCI are initially measured at fair value plus transaction costs. After initial recognition, interest income (calculated using the effective interest rate method), foreign currency gains or losses and impairment losses of debt instruments measured at the FVOCI are recognized directly in profit or loss. When the financial asset is derecognized, the cumulative gains or losses previously recognized in the OCI are reclassified from equity to profit or loss as a reclassification adjustment.

Dividends from equity instruments held at the FVOCI are recognized in profit or loss when the right to receive payment is established, unless the dividend clearly represents a recovery of part of the cost of the investment. Foreign currency gains or losses and unrealized gains or losses from equity instruments are recognized in the OCI and presented in the equity section of the Statements of Financial Position. These fair value changes are recognized in equity and are not reclassified to profit or loss in subsequent periods.

As at December 31, 2025 and 2024, the PRA has no externally managed funds, hence, no financial assets have been classified under this category.

Below is the PRA's accounting policy on the classification and subsequent measurement of financial assets applicable before January 1, 2023:

a. Cash and cash equivalents

Cash includes cash on hand and cash in banks. Cash equivalents are short-term investments with an original maturity period of three months or less from dates of placements and that are subject to insignificant risk of changes in value (*Note 5*).

b. Accounts receivable

Trade receivables are recognized at their face value, less allowance for doubtful accounts. The allowance for doubtful accounts is provided for identified potentially uncollectible accounts using the following estimates:

Accounts aged three years and above = 100%

The PRA's aging of receivables is presented below:

Age	2025	2024
Less than 90 days	47,281,954	19,118,445
91-365 days	45,120,808	64,968,831
Over one year	51,652,928	24,713,286
Over two years	41,519,972	23,676,268
Over three years	181,674,136	204,393,720
Total	367,249,798	336,870,550

c. Investments in time deposits

Surplus peso and dollar cash funds of the PRA are placed in Time Deposits and High Yield (HY) deposits in government banks, i.e., Land Bank of the Philippines (LBP) and Development Bank of the Philippines (DBP), to generate additional interest income. The US Dollar investments are revalued and recorded using the Philippine Dealing System (PDS) closing rate, US Dollar rates conversion at the end of the year, at P58.79 per US\$1.

Investments classified as current are those items with original maturities of over 90 days and less than one year. Those with original maturities of only 90 days or less are classified as marketable securities.

Investments classified as non-current are those with original maturities of more than one year and are not maturing within the next 12 months.

d. Investments in stocks

Equity instruments of another entity are considered as financial assets of the investor/holder in accordance with PAS 32.11. Furthermore, PAS 32.11 defines an equity instrument as any contract that evidences a residual interest in the assets after deducting its liabilities.

A proprietary club share entitles the shareholder to a residual interest in the net assets upon liquidation, which justifies that such an instrument is an equity instrument and thereby qualifies as a financial asset to be classified and accounted for as equity instruments.

A non-proprietary club share, though an equity instrument in its legal form, is not an equity instrument in the context of PAS 32. Furthermore, it does not entitle the holder to a contractual right to receive cash or another financial asset from the issuing corporation. The holder of the share, in substance, only paid for the privilege to enjoy the club's facilities and services, but not for ownership of the club. In such a case, the holder must account for the share as an intangible asset under PAS 38.

Investments in stocks held by the PRA are proprietary club shares. These shares were accounted for as Investment at the FVOCI under PFRS 9.

Impairment of Financial Assets

Below is the PRA's accounting policy on impairment of financial assets applicable starting January 1, 2018:

The PRA applies an Expected Credit Loss (ECL) model to its financial assets measured at amortized cost, but not to investments in equity instruments.

Loss allowances are measured on either of the following bases:

- *12-month ECLs*. These are the ECLs that result from possible default events within the 12 months after the reporting date; or
- *Lifetime ECLs*. These are the ECLs that result from all possible default events over the expected life of a financial instrument.

The PRA measures loss allowances at an amount equal to lifetime ECLs, except for the following, which are measured as 12-month ECLs:

- Debt securities that are determined to have low credit risk at the reporting date; and
- Other debt securities and bank balances for which credit risk (i.e., the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

The PRA has elected to measure loss allowances for receivables at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating the ECLs, the PRA considers reasonable and supportable information that is relevant and available without undue cost or effort.

This includes both quantitative and qualitative information and analysis, based on the PRA's historical experience, informed credit assessment, including current conditions and forecast of future economic conditions.

Furthermore, the PRA assumes that the credit risk on a financial asset has increased significantly if it is more than three years past due.

It considers a financial asset to be in default when:

- The borrower is unlikely to pay its credit obligations to the PRA in full, without recourse by the PRA to actions such as realizing security (if any is held); or
- The financial asset is more than three years past due.

The maximum period considered when estimating the ECLs is the maximum contractual period over which the PRA is exposed to credit risk.

Measurement of the ECLs

The ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e., the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the PRA expects to receive). The ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the PRA assesses whether financial assets carried at amortized cost are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Below is the PRA's accounting policy on the impairment of financial assets applicable before January 1, 2018:

Retirees who had been delinquent in paying dues for the past three years were sent collection/demand letters or notices. After three notices and the accounts were still unpaid, the retirees were placed on a watch list and published in three leading newspapers of general circulation. If, after publication, the retirees still fail to update their accounts, their SRRVs shall be recommended to the BI for cancellation and the receivables shall be recommended to be written off from the books of accounts, subject to the approval by the PRA Board of Trustees. Thereafter, the PRA will request authority from COA for the write-off of receivable balance (and any related allowances for impairment losses) when it has determined that the receivables are finally uncollectible after exhausting its efforts to collect and legal action.

Derecognition of Financial Assets

The PRA derecognizes financial assets when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the PRA neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the PRA recognizes its retained interest in the asset and an associated liability for the amount it may have to pay. If the PRA retains substantially all the risks and rewards of ownership of a transferred financial asset, the PRA continues to recognize the financial asset and also recognizes a collateralized borrowing for the proceeds received.

On derecognition of financial assets other than in its entirety, the PRA allocates the previous carrying amount of the financial assets between the part it continues to recognize under

continuing involvement, and the part it no longer recognizes on the basis of the relative fair values of those parts on the date of the transfer. The difference between the carrying amount allocated to the part that is no longer recognized and the sum of the consideration received for the part no longer recognized and any cumulative gain or loss allocated to it that had been recognized in the OCI is recognized in profit or loss. A cumulative gain or loss that had been in the OCI is allocated between the part that continues to be recognized and the part that is no longer recognized on the basis of the relative fair values of those parts.

Financial Liabilities and Equity Instruments

Debt and equity instruments issued by the PRA are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Financial Liabilities - Initial recognition

Financial liabilities are recognized in the PRA's financial statements when it becomes a party to the contractual provisions of the instrument. Financial liabilities are initially recognized at fair value. Transaction costs are included in the initial measurement of the PRA's financial liabilities except for debt instruments classified at the FVTPL. In a regular way purchase or sale, financial liabilities are recognized and unrecognized, as applicable, using settlement date accounting.

Financial liabilities include accounts payable and due to officers and employees.

Classification and Subsequent Measurement

Financial liabilities are classified as either financial liabilities at the FVTPL or other financial liabilities.

Financial liabilities at the FVTPL when the financial liability is held for trading; designated upon initial recognition; either held for trading or designated upon initial recognition.

A financial liability is classified as held for trading if:

- It has been acquired principally for the purpose of repurchasing it in the near term; or
- On initial recognition, it is part of a portfolio of identified financial instruments that the PRA manages together and has a recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.

A financial liability other than a financial liability held for trading may be designated as at the FVTPL upon initial recognition if:

- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the PRA's

documented risk management or investment strategy, and information about the PRA is provided internally on that basis; or

- It forms part of a contract containing one or more embedded derivatives that sufficiently modify the cash flows of the liability and are not closely related, and PFRS 9, *Financial Instruments*, permits the entire combined contract (asset or liability) to be designated as FVTPL.

Financial liabilities at the FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognized in profit or loss. The net gain or loss recognized in profit or loss incorporates any interest paid on the financial liability and is included in the other gains and losses line item in the Statement of Comprehensive Income. Fair value is determined in the manner described in notes.

Other financial liabilities (including borrowings) are subsequently measured at amortized cost using the effective interest method. Accounts payable, due to officers and employees, inter/intra-agency payables, and trust liabilities are classified as other financial liabilities.

Derecognition of Financial Liabilities

The PRA derecognizes financial liabilities when, and only, the PRA's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in profit or loss.

Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Authority are recognized at the proceeds received, net of direct issue costs.

3.4 Inventories

Inventories are assets in the form of materials or supplies to be consumed in the production process or in the rendering of services. The cost of inventories shall comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their location and condition as the PRA is already practicing in its recording. In addition, pursuant to COA Circular No. 2022-004, tangible assets with an acquisition cost of P50,000 and below are classified as inventories specifically as semi-expendable assets before issuance to the end-user.

3.5 Property, Plant and Equipment (PPE)

The PRA's depreciable properties are stated at cost less accumulated depreciation and amortization. The initial cost of property and equipment consists of its purchase price, including taxes and any directly attributable costs of bringing the asset to its working condition and intended use. Expenditures incurred after the items of property and equipment have been put into operation, such as repairs and maintenance, are charged against operations in the year in which the costs are incurred; however, when significant parts of the PPE are required to be replaced at intervals, the PRA recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major repair/replacement is done, its cost is recognized in the carrying amount of the PPE as a replacement if the recognition criteria are satisfied.

Depreciation is computed using the straight-line method over the estimated useful lives of the respective assets based on acquisition cost less residual value of 10 percent of the acquisition cost.

The PRA uses the life span of the PPE prescribed by COA in determining the specific estimated useful life for each asset based on its experience.

<u>Asset</u>	<u>Estimated Useful Life</u>
Office building	30 years
Leasehold improvements	5 years
Office equipment	5 years
Furniture and fixtures	10 years
ICT equipment	5 years
Library books	7 years
Other equipment	10 years
Transport vehicles	7 years
Other PPEs	5 years

Considered machinery and equipment are office equipment, information and communication technology (ICT) equipment, and other equipment (*Note 12*).

A PPE's carrying amount is written down to its recoverable amount, or recoverable service amount, if the asset's carrying amount is greater than its estimated recoverable amount or recoverable service amount.

The PRA derecognizes items of the PPE and/or any significant part of an asset upon disposal or when no future economic benefits or service potential is expected from its continuing use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset is included in the surplus or deficit when the asset is de-recognized).

In addition, pursuant to COA Circular No. 2022-004, tangible assets with acquisition cost of P50,000 and below are classified as semi-expendable assets or inventories before issuance to the end-user.

Leasehold improvements are generally charged over a useful period of five years or the term of the lease. Generally, the lease of the PRA at its main office in BDO Towers Valero can be renewed every five years.

3.6 Intangible Assets

Intangible assets are recognized when the items are identifiable non-monetary assets without physical substance; it is probable that the expected future economic benefits or service potential that are attributable to the assets will flow to the entity; and the cost or fair value of the assets can be measured reliably.

Intangible assets acquired separately are initially recognized at cost.

If payment for an intangible asset is deferred beyond normal credit terms, its cost is the cash price equivalent. The difference between this amount and the total payments is recognized as interest

expense over the period of credit unless it is capitalized in accordance with the capitalization treatment permitted in PAS 23, *Borrowing Costs*.

Subsequent expenditure on an in-process research or development project acquired separately and recognized as an intangible asset is:

- i. Recognized as an expense when incurred if it is research expenditures;
- ii. Recognized as an expense when incurred if it is a development expenditure that does not satisfy the criteria for recognition as an intangible asset; and
- iii. Added to the carrying amount of the acquired in-process research or development project if it is a development expenditure that satisfies the recognition criteria for intangible assets.

Intangible assets acquired through non-exchange transactions

The cost of intangible assets acquired in a non-exchange transaction is their fair value at the date these are acquired.

Internally generated intangible assets

Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is reflected in surplus or deficit in the period in which the expenditure is incurred.

Recognition of an expense

Expenditure on an intangible item is recognized as expense when it is incurred unless it forms part of the cost of an intangible asset that meets the recognition criteria of an asset.

Subsequent measurement

The useful life of the intangible assets is assessed as either finite or indefinite. Intangible assets with a finite life are amortized over their useful lives.

The straight line method is adopted in the amortization of the expected pattern of consumption of the expected future economic benefits or service potential.

An intangible asset with indefinite useful life is not to be amortized.

Intangible assets with indefinite useful lives or an intangible asset not yet available for use are assessed for impairment annually and whenever there is an indication that the assets may be impaired.

The amortization period and the amortization method, for an intangible asset with a finite useful life, are reviewed at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on an intangible asset with a finite life is recognized in surplus or deficit as the expense category that is consistent with the nature of the intangible asset.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the surplus or deficit when the asset is derecognized.

Research and development costs

The PRA recognizes as expense the research costs incurred. Development costs on an individual project are recognized as intangible assets when the PRA can demonstrate:

- i. The technical feasibility of completing the asset so that the asset will be available for use or sale;
- ii. Its intention to complete and its ability to use or sell the asset;
- iii. How the asset will generate future economic benefits or service potential;
- iv. The availability of resources to complete the asset;
- v. The ability to measure reliably the expenditure during development;
- vi. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses;
- vii. Amortization of the asset begins when development is complete and the asset is available for use;
- viii. It is amortized over the period of expected future benefit; and
- ix. During the period of development, the asset is tested for impairment annually with any impairment losses recognized immediately in surplus or deficit.

Web Site Costs

The PRA concludes that a website developed using internal expenditures, whether for internal or external access, is an internally generated intangible asset that is subject to and accounted for in accordance with PAS 38 – *Intangible Assets*.

Internally generated intangible assets development costs are accounted for according to the stages of development as follows:

- a. Planning – accounted for similar research and development costs and charged the expense of the period on which it is incurred.
- b. Application development – capitalized and amortized over estimated useful life (see Note 13) to the extent that content is developed for purposes other than to advertise and promote the products and services of the PRA.
- c. Content developments are charged to expense.
- d. Operating the web site or application is also charged to expense.

The estimated useful life used by the PRA in amortizing the intangible assets is as follows:

<u>Asset</u>	<u>Estimated Useful Life</u>
Computer software	5 years
Website cost	5 years

3.7 Income Taxes

Income tax expense represents the sum of the current tax and deferred tax expense.

Current Tax

The current tax expense is based on taxable profit for the year. Taxable profit differs from net profit as reported in the Statements of Comprehensive Income because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The PRA's current tax liability is calculated using a 25 percent regular corporate income tax rate or a two percent minimum corporate income tax rate, whichever is higher. Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that have been enacted or substantively enacted as of the reporting date.

Deferred Tax

Deferred tax is provided using the balance sheet liability method on temporary differences, with certain exceptions, at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluations. Deferred tax assets are recognized for all deductible temporary differences. Deferred tax, however, is not recognized on temporary differences that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized, or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Current and Deferred Tax for the Year

Current and deferred tax are recognized in profit or loss, except when they relate to items that are recognized in the OCI or directly in equity, in which case, the current and deferred tax are also recognized in the OCI or directly in equity, respectively.

3.8 Impairment of Non-financial Assets

At each reporting date, non-financial assets are reviewed to determine whether there is any indication that those assets have suffered an impairment loss. If there is an indication of possible impairment, the recoverable amount of any affected asset (or group of related assets) is estimated and compared with its carrying amount. In case the estimated recoverable amount is lower, the

carrying amount is reduced to its estimated recoverable amount, and an impairment loss is recognized immediately in profit or loss.

If an impairment loss is subsequently reversed, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but not in excess of the amount that would have been determined had no impairment loss been recognized for the asset in prior years. A reversal of an impairment loss is recognized immediately in profit or loss.

Derecognition of Non-financial assets

Non-financial assets are derecognized when the assets are disposed of or when no future economic benefits are expected from these assets. Any difference between the carrying value of the asset derecognized and the net proceeds from derecognition is recognized in profit or loss.

3.9 Leases

The PRA as a lessee

The PRA assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Lease in which a significant portion of the risks and rewards of ownership are retained by the lessor is classified as an operating lease. Payments made under an operating lease (net of any incentives received from the lessor) are charged to the pre-operating expenses on a straight-line basis over the period of the lease.

Leases that convey the right to use an asset (the underlying asset) for a period of time in exchange for consideration are assessed by the PRA, whether the contract meets three key evaluations:

- a. The contract contains an identified asset, which is either explicitly identified in the contract or implicitly specified by being identified at the time the asset is made available to the PRA.
- b. The PRA has the right to obtain substantially all of the economic benefits from use of the identified asset throughout the period of use, considering its rights within the defined scope of the contract.
- c. The PRA has the right to direct the use of the identified asset throughout the period of use.

Measurement and recognition of Right of Use and Lease Liabilities

At lease commencement date, the PRA recognizes a right-of-use asset and a lease liability on the statement of financial position. The right-of-use asset is measured at cost, which is made up of the initial measurement of the lease liability, any initial direct costs incurred by the PRA, an estimate of any costs to dismantle and remove the asset at the end of the lease, and any lease payments made in advance of the lease commencement date (net of any incentives received).

The PRA depreciates the right-of-use assets on a straight-line basis from the lease commencement date to the earlier of the end of the useful life of the right-of-use asset or the end

of the lease term. The PRA also assesses the right-of-use asset for impairment when such indicators exist.

At the commencement date, the PRA measures the lease liability at the present value of the lease payments unpaid at that date, discounted using the interest rate implicit in the lease if that rate is readily determinable, or the PRA's incremental borrowing rate.

Lease payments included in the measurement of the lease liability are made up of fixed payments (including in substance fixed), variable payments based on an index or rate, amounts expected to be payable under a residual value guarantee and payments arising from options reasonably certain to be exercised.

Subsequent to the initial measurement, the liability will be reduced for payments made and increased for interest. It is remeasured to reflect any reassessment or modification, or if there are changes in substance fixed payments.

When the lease liability is remeasured, the corresponding adjustment is reflected in the right-of-use asset, or profit and loss if the right-of-use is already reduced to zero.

Short-term leases and leases of low-value assets

The PRA applies the short-term lease recognition exemption to its short-term leases of machinery and equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognized as expenses on a straight-line basis over the lease term.

The PRA has elected to account for short-term leases and leases of low-value assets using the practical expedients. Instead of recognizing a right-of-use asset and lease liability, the payments in relation to these are recognized as an expense in profit and loss on a straight-line basis over the lease term.

The PRA has benefited from the use of hindsight for determining the lease term when considering options to extend and terminate leases.

The right-of-use assets and lease liabilities are recorded in the PPE, Right-of-use assets, Building and other structures and Lease payable accounts and are presented under the PPE and Non-current liabilities, respectively, in the statement of financial position. (See *Notes 12, 18 and 33*)

3.10 Retained Earnings

Retained earnings represent accumulated profit attributable to equity holders of the PRA after deducting dividends declared. Retained earnings may also include the effect of changes in accounting policy and prior period adjustments.

3.11 Revenue

Revenue is the gross inflow of economic benefits during the period arising in the course of the ordinary activities of an entity when those inflows result in increases in equity, other than increases relating to contributions from equity participants. The main revenue of the PRA arises from

various fees received from foreign retiree-members or applicants to the retirement program pursuant to EO No. 1037 dated July 4, 1985. The PRA recommends to the BI the issuance of the SRRV, a special non-immigrant visa with multiple/indefinite entry privileges to qualified foreigners and former Filipino citizens who wish to make the Philippines their second home. The fees are discussed below – *Service Income*.

Service Income

Income is measured at the fair value of the consideration received or receivable. The PRA recognizes income from various fees and services during the period to which it relates.

Income from operations pertains mainly to the following fees (*see Note 24.1*):

Annual PRA Fee (APF) pertains to the annual fee collected from active members at US\$360 for the principal retiree and two qualified dependents and US\$100 for every additional dependent. Qualified dependents include the legal spouse and children below 21 years old.

Passport and Visa/Application Fees are one-time processing/service fees paid by retiree-applicants as an initial requirement for their SRRV applications in the program at US\$1,400 for the principal applicant and US\$300 for each qualified dependent applicant.

Management Fees (MF) are collected from private banks where retiree-members maintain their visa deposits, computed at agreed rates based on the outstanding amount of deposits. Presently, there are 7 accredited banks and 16 formerly accredited banks maintaining visa deposits of retiree-members.

Visitorial Fees (VF) represent the annual fees due from retirees who have converted their requisite visa deposits into active investments, at the rates ranging from 0.5 percent (1/2%) to 1.5 percent (1 and ½%) of the total amount of visa deposit invested.

Since May 29, 2006, the Special Reduced Deposit (SRD) scheme has been implemented, modifying the amount of required deposits as well as the VFs for the conversion of deposits into active investments. The minimum qualifying deposit and the VF rates applicable to those enrolled under the SRD Program for the principal retiree-applicant are as follows:

Minimum Qualifying Deposit:

Age	Original Visa Deposit	Reduced to
35 to 49 years old	US\$ 75,000.00	US\$ 50,000.00
50 years old and above	US\$ 50,000.00	US\$ 20,000.00

However, the minimum qualifying age has been raised to at least 50 years old starting April 30, 2021 per Board Resolution No. 4, series of 2021.

Visitorial Fees:

Amount of Visa Deposit Converted	Annual Visitorial Fees
US\$ 20,000.00	US\$ 500 or its peso equivalent
US\$ 50,000.00	US\$ 750 or its peso equivalent

Retirees who had been delinquent in paying the VF for more than three years were sent collection letters/notices. After three notices and the retirees still failed to pay, they were placed on a watch list and published in three leading newspapers of general circulation. If, after publication, the retirees remain delinquent, their SRRVs shall be recommended to the BI for cancellation, and the receivables shall be recommended to be written off from the books of accounts, subject to the approval by the PRA Board of Trustees.

Harmonization Fees (HF) are amounts collected pursuant to Board Resolution No. 92 series of 2007, otherwise known as the harmonization of the old and new schemes of deposit. A management fee of 1.5 percent (1 and ½%) per annum is levied by the PRA on the retiree in consideration for the release of the amounts in excess of the required visa deposit under the modified SRD scheme.

Registration/ID Fees represent the annual fees of US\$10 collected from active retiree members (principal plus dependents) for the issuance of the PRA membership identification (ID) card of members not subjected to the APF (old members prior to the introduction of the visa options and Courtesy option).

Processing Fees, such as cancellation, accreditation (including marketer and merchant partners), re-stamping, visa downgrading, clearances, and other PRA services to retiree-members, are as follows:

Services	PRA	BI
Cancellation (plus BI fee)	US\$10.00	P500-P1,000*
Visa downgrade	US\$10.00	P3,520 to P4,250*
Re-stamping (plus BI fee)	US\$10.00	P1,010 to P1,510
Accreditation – New Marketer	US\$300.00	
Accreditation – Renewal – Marketer	US\$150.00	
ID Issuance – Marketer (for each additional representative in excess of two)	P300.00	
Courier fee (retiree is in the Philippines)	P150.00	**
Courier fee (retiree is abroad)	US\$20.00	**
Membership certification	US\$10.00	
Other service fees	US\$10.00	

* Starting July 1, 2025

**Minimum charge, otherwise actual.

Interest income is accrued using the effective yield method. The effective yield discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount. The method applies this yield to the principal outstanding to determine the interest income for each period.

Dividends or similar distributions are recognized when the PRA's right to receive payments is established.

However, the PRA has not received any dividends from its investment in one proprietary membership share of the Baguio Country Club Corporation.

3.12 Employee Benefits

The employees of the PRA are members of the Government Service Insurance System (GSIS), which provides life and retirement insurance coverage.

The PRA recognizes the undiscounted amount of short-term employee benefits, like salaries, wages, bonuses, allowances, etc., as expense unless capitalized, and as a liability after deducting the amount paid.

3.13 Foreign Currency Transactions and Advance Consideration

Transactions in foreign currencies are initially recognized by applying the spot exchange rate between the functional currency and the foreign currency at the transaction date.

At each reporting date:

- a. Foreign currency monetary items are translated using the closing rate;
- b. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction; and
- c. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

Exchange differences arising (a) on the settlement of monetary items, or (b) on translating monetary items at rates different from those at which they are translated on initial recognition during the period or in previous financial statements, are recognized in surplus or deficit in the period in which they arise, except as those arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation.

Advance payments in foreign currencies received by the PRA from retiree-members are now recognized as deferred credits/unearned income and translated to Philippine peso (PRA's functional currency) using the exchange rate at the initial recognition or the date such advance payments are received.

3.14 The Effects of Changes in Forex Rates

Transactions in foreign currencies are initially recognized by applying the spot exchange rate between the functional currency and the foreign currency at the transaction date.

At each reporting date:

- a. Foreign currency monetary items are translated using the closing rate;
- b. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction; and
- c. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

Exchange differences arising (a) on the settlement of monetary items, or (b) on translating monetary items at rates different from those at which they are translated on initial recognition during the period or in previous financial statements, are recognized in surplus or deficit in the period in which they arise, except as those arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation.

The PRA translated its transactions in CY 2025 and monetary items as at December 31, 2025, in foreign currencies as required by the standard.

3.15 Related Party Disclosures

A related party relationship exists when one party has the ability to control, directly, or indirectly through one or more intermediaries, the other party, or exercises significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among the reporting enterprises and its key management personnel, trustees, or its shareholders. In considering each possible related party relationship, attention is directed to the substance of the relationship, and not merely the legal form.

The PRA related parties' transaction pertains to the remuneration of the Key Management Personnel as discussed in *Note 32.2*.

3.16 Provisions

Provisions are recognized when the PRA has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

When the PRA expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognized as a separate asset only when the reimbursement is virtually certain. The expense relating to any provision is presented in the Statement of Financial Performance net of any reimbursement.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligation, the provisions are reversed.

3.17 Accounting Policies, Changes in Accounting Estimates and Errors

The PRA conforms to this applicable standard and changes in accounting policies and corrections of errors are generally accounted for retrospectively, while changes in estimates are accounted for prospectively. Pursuant to COA Circular No. 2022-004, tangible assets with an acquisition cost of P50,000 and below are classified as inventories before issuance to the end-user.

Prior period errors are omissions from, and misstatements in, the PRA's financial statements for one or more prior periods arising from a failure to use, or misuse of reliable information that was available and could reasonably be expected to have been obtained and taken into account in preparing those statements.

Changes in accounting policies and corrections of errors are generally retrospectively accounted for, whereas changes in accounting estimates are generally accounted for on a prospective basis.

3.18 Events after the Reporting Period

The PRA determines events after its reporting period, whether it needs to adjust the financial statements along with the required disclosures or may only require disclosures.

No reportable events after the reporting period require adjustments or disclosures.

3.19 Use of Judgments and Estimates

The preparation of financial statements requires the use of judgement and accounting estimates or assumptions that affect the amounts reported in the financial statements and accompanying notes.

Judgments are made by Management in the development, selection and disclosure of significant accounting policies and estimates and the application of these policies and estimates.

The estimates and assumptions are reviewed on an ongoing basis. These are based on Management's evaluation of relevant facts and circumstances as of the reporting date. Actual results could differ from such estimates.

Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

The accounting policies have been consistently applied throughout the year presented.

4. RISK MANAGEMENT OBJECTIVES AND POLICIES

4.1 Risk Management Framework

The Board of Trustees has overall responsibility for the establishment and oversight of the PRA's risk management framework. The Board has established the PRA's credit, finance, operational risk and executive committees, which are responsible for developing and monitoring the PRA's risk management policies in their specific areas.

All board committees have executive and non-executive Members and report regularly to the Board of Trustees on their activities.

The PRA's risk management policies are established to identify and analyze the risks they faced, to set appropriate risk limits and control, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes to market conditions, products and services offered. The PRA, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The PRA's Audit Committee is responsible for monitoring compliance with its risk management policies and procedures and for reviewing the adequacy of the risk management framework in relation to the risk faced by the PRA and it is regularly discussed in the Board meeting.

Generally, the maximum risk exposure of financial assets and financial liabilities is the carrying amount of the financial assets and financial liabilities as shown in the Statements of Financial Position, as summarized in the following tables:

	Note	2025	2024 (as restated)
Financial Assets:			
Cash and cash equivalents	5	298,088,380	160,154,794
Investment in time deposits	6	4,094,488,418	3,774,385,166
Receivables, net	7	423,539,670	378,341,049
Investment in stocks	10	3,500,000	3,500,000
Other receivables	11	7,037,557	7,037,452
Restricted fund	14	22,476,766,506	21,206,311,968
		27,303,420,531	25,529,730,429

	Note	2025	2024 (as restated)
Financial Liabilities:			
Financial liabilities-current	15	94,094,805	42,608,587
Inter-agency payables	16	28,359,788	93,129,760
Trust liabilities	17	22,943,206,417	21,747,820,343
Lease payables	21	111,188,484	2,119,646
Other payables	18	75,297,326	306,052,715
		23,252,146,820	22,191,731,051

4.2 Credit Risk

a. Credit Risk Exposure

Credit risk refers to the risk that the client will default on its contractual obligation, resulting in financial loss to the corporation. The PRA has adopted a policy of dealing only with creditworthy clients and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults.

Also, the PRA manages its credit risk by depositing its cash with high credit quality banking institutions.

The carrying amount of the financial assets recognized in the financial statements represents the PRA's maximum exposure to credit risk.

The table below shows the gross maximum exposure to credit risk of the PRA as at the years ended December 31, 2025 and 2024, without considering the effects of credit risk mitigation techniques.

	Note	2025	2024 (as restated)
Financial Assets:			
Cash and cash equivalents	5	298,088,380	160,154,794
Investment in time deposits	6	4,094,488,418	3,774,385,166
Receivables – net	7	423,539,670	378,341,049
Investment in stocks	10	3,500,000	3,500,000
Other receivables – net	11	7,037,557	7,037,452
		4,826,654,025	4,323,418,461

b. Management of Credit Risk

The Board of Trustees has delegated primary responsibility for the management of credit risk and risk management to its Credit Committee which reports to the Board meeting. The Credit Committee provides advice, guidance, and specialized skills to business units to promote best practices throughout the PRA in the management of credit risk.

Also, the PRA has currently adopted that for a significant proportion of sales of goods and services, advance payment from clients are received to mitigate the risk.

The PRA maintains allowance for impairment losses at a level considered adequate to provide for potential uncollectible receivables. This amount is evaluated based on such factors that affect the collectability of the accounts. These factors include, the age of the receivables, the length of the PRA's relationship with the customer, the customer's payment behavior and known market factors. The amount and timing of recorded expenses for any period would differ if the PRA made different judgments or utilized different estimates.

The PRA will request authority from COA for the write-off of receivables balances (and any related allowances for impairment losses) when the Finance Management Division - Treasury determines that the receivables are finally uncollectible after exhausting all efforts to collect and legal action.

4.3 Liquidity Risk

Liquidity risk is the risk that the PRA might encounter difficulty in meeting obligation from its financial liabilities.

a. Management of Liquidity Risk

The PRA's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the PRA's reputation.

The PRA seeks to manage its liquidity profile to be able to finance capital expenditures as well as its current operations. To cover its financing requirements, the PRA intends to use internally generated funds and available short-term credit facilities.

As part of its liquidity risk management, the PRA regularly evaluates its projected and actual cash flows. It also continually assesses conditions in the financial markets for opportunities to pursue fund raising activities, in case any requirements arise. Fundraising activities may include bank loans and subsidies from the national government or the GOCCs.

b. Exposure to Liquidity Risk

The liquidity risk is the adverse situation when the PRA encounters difficulty in meeting unconditionally the settlement of its obligations at maturity. Prudent liquidity management requires that liquidity risks are identified, measured, monitored and controlled in a comprehensive and timely manner. Liquidity management is a major component of the corporate-wide risk management system. Liquidity planning takes into consideration various possible changes in economic, market, political, regulatory and other external factors that may affect the liquidity position of the PRA.

4.4 Market Risks

Market risk is the risk that changes in the market prices, such as interest rate, equity prices, forex rates and credit spreads (not relating to changes in the obligor's issuer's credit standing) will affect the PRA's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

Management of Market Risk

The management of interest rate risk against interest gap limits is supplemented by monitoring the sensitivity of the PRA's financial assets and liabilities to various standard and non-standard interest rate scenarios.

4.5 Operational Risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the PRA's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behavior. Operational risks arise from all of the PRA's operations and are faced by all business entities.

The PRA's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the PRA's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of control to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall standards for the management of operational risk in the following areas:

- Requirements for appropriate segregation of duties, including the independent authorization of transaction;
- Requirements for the reconciliation and monitoring of transactions;
- Compliance with regulatory and other legal requirements;
- Documentation of controls and procedures;
- Requirements for the periodic assessment of operational risk faced, and the adequacy of controls and procedures to address the risk identified;
- Requirements for the reporting of operational losses and proposed remedial action;
- Development of contingency plans;
- Training and professional development;
- Ethical and business standards; and
- Risk mitigation, including insurance where this is effective.

Compliance with corporate standards is supported by a program of periodic reviews undertaken by the Executive Committee. The results of periodic reviews are discussed with the Board of Trustees.

5. CASH AND CASH EQUIVALENTS

This account consists the following:

	2025	2024 (as restated)
Cash on hand	1,572,226	9,948,334
Cash in bank-local currency	175,779,313	(11,082,512)
Cash in bank-foreign currency	120,736,841	161,288,972
	298,088,380	160,154,794

In conformity with PAS 8, the Cash and cash equivalents are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	161,960,637
Adjustments/Recording of Cash and cash Equivalents:	
Cash on Hand	28,851
Cash in bank-local currency	(700,010)
Cash in bank-foreign currency	(1,134,684)
Restated amount as at December 31, 2024 - Cash and Cash Equivalents	160,154,794

Cash on hand is composed of various accounts mainly: (a) Cash collecting officer – local currency which amounted to P763,671 and P872,981 for the years ended December 31, 2025 and 2024, respectively; (b) Cash collecting officer – foreign currency which amounted to \$11,151.45 and \$152,599.60 as at December 31, 2025 and 2024 respectively, and translated into peso amounts using the corresponding year-end closing rates of P58.79:\$1 and P57.845:\$1 to arrive at the year-end balances of P655,594 and P8,827,124; and (c) Petty cash fund amounting to P135,608 and P230,876, as at December 31, 2025 and 2024, respectively; and (d) Change funds of \$300 in foreign currency translated at P58.79:\$1 and P57.845:\$1 to arrive at the year-end balances of P17,637 and P17,354 for CYs 2025 and 2024, respectively.

Cash in bank – local currency consists of checking and savings accounts with the LBP, DBP and the Philippine Veterans Bank.

Cash in bank – foreign currency consists of savings account with the LBP, DBP and the Philippines Veterans Bank, which amounted to \$ 2,989,952.60 and \$ 2,807,738.88 for the years ended December 31, 2025, and 2024, respectively, and translated into peso amounts using the corresponding year-end closing rates of P 58.79 and P 57.845:\$1, respectively. Regular deposit accounts with the LBP and the DBP earn interest at rates ranging from 0.005 percent to 0.011 percent and 0.015 percent to 0.205 percent in 2025 and 2024, respectively.

6. INVESTMENTS IN TIME DEPOSITS

This account consists the following:

	2025	2024
Foreign currency time deposits	2,615,152,862	2,501,493,375
Investment in HY deposits	1,479,335,556	1,272,891,791
	4,094,488,418	3,774,385,166

Investment in time deposits refers only to current investments or those investments that have maturities beyond 90 days but within the next 12 months.

Current foreign currency time deposits with the LBP and the DBP amounted to US\$44,482,953.93 and US\$43,244,764.02 as at December 31, 2025, and 2024 and were converted to peso at year-end using the PDS closing rates of P 58.79:US\$1 and P57.845:US\$1, respectively.

Investments in HY deposits with the LBP yield interest rates of 5.10 to 5.70 percent in calendar year (CY) 2025 and 1.60 to 4.00 percent in CY 2024. Current Investments in US\$ time deposits with LBP and DBP yield interest rates of 2.35 to 3 percent and 1.50 to 2.35 percent in CY 2025 and CY 2024, respectively.

Included in the foreign currency time deposits is the Investments in time deposits – Restricted account amounting to US\$4,000,000.00 and US\$4,700,229.46 as at December 31, 2025 and 2024, respectively. The Investment in time deposits - Restricted pertains to the portion of the accumulated interest earned on Visa Deposits (VDs) that are payable to retirees under Note 14 – Restricted fund. This account including the Restricted fund - Interest on VD are contra accounts of the interest on VDs payable to retiree, as disclosed in Note 17.

7. RECEIVABLES

This account consists the following:

	2025	2024 (as restated)
Accounts receivable	196,038,163	169,093,351
Interest receivable	227,501,507	209,247,698
	423,539,670	378,341,049

7.1 Accounts receivable consist

	2025	2024 (as restated)
VF	77,633,154	76,018,990
Allowance for impairment-VF	(53,018,784)	(53,068,062)
<i>VF – net</i>	24,614,370	22,950,928
MF	54,604,170	45,471,289
Allowance for impairment-MF	(23,091,429)	(23,091,429)
<i>MF – net</i>	31,512,741	22,379,860
HF	7,239,115	7,528,929
Allowance for impairment-HF	(5,434,145)	(5,434,145)
<i>HF – net</i>	1,804,970	2,094,784
APF	229,223,150	212,500,064
Allowance for impairment-APF	(90,993,670)	(90,993,670)
<i>APF – net</i>	138,229,480	121,506,394
Other receivable	(123,398)	161,385
	196,038,163	169,093,351

In conformity with PAS 8, the Account receivables are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	77,467,772
Adjustments/Recording of Receivables:	
- APF	71,563,385
- MF	4,827,567
- VF	13,775,759
- HF	1,458,868
Restated amount as at December 31, 2024 - Receivables	169,093,351

- a. **VF** represents annual fees due from retirees who have converted their requisite VDs into active investments.

For the old membership scheme (up to SRRV#M-002161), the VF rate is half (1/2) or 0.5 percent of the VD amount converted into active investment of Section 16 of Rule VIII-A of the Implementing Rules and Regulations of EO No. 1037. From SRRV Nos. M-002162 up to M-006392, the VF is one percent of the VD amount converted to investment.

Effective May 28, 2006 per approved PRA Circular No. 01, series of 2006 and approved Board Resolution No. 24, series of 2006 dated May 2, 2006 and affirmed further by Resolution No. 38, s. 2007, the PRA implemented the SRD scheme wherein the VD requirement was reduced to US\$50,000 from US\$75,000 for applicants aged 35 to 49 and US\$20,000 from US\$50,000 for those 50 years old and above. The VF rates were also amended as follows:

Amount of VD converted	Annual VF collected
US\$20,000	US\$500 or its peso equivalent
US\$50,000	US\$750 or its peso equivalent

- b. **MF** represents fees due from the PRA accredited banks equivalent to one and half (1.5) percent of the outstanding daily balance of the retirees' VDs.

This excludes receivable from Bankwise, Inc. of P3,273,327.11 as at December 31, 2008 (see *Note 11*), the collection of which had already been endorsed to the Office of the Government Corporate Counsel (OGCC) for legal actions considering that the bank is now under receivership by the Philippine Deposit Insurance Corporation (PDIC). Moreover, receivable from de-accredited banks with corresponding demand letters and notices that were already sent by the OGCC were included in this account.

- c. **HF** are amounts collected for the harmonization of the old and new schemes of deposit. A management fee of 1.5 percent per annum is levied by the PRA on the retiree in consideration for the release of the amounts in excess of the required deposit under the modified SRD Scheme.
- d. **APF** pertain to the amount collected from active members (who have not converted their requisite VD into active investment), other than those under the SRRV "Courtesy" scheme, at US\$360 for principal retiree and two qualified dependents and US\$100 for every additional dependent. Qualified dependents include the legal spouse and children below 21 years old.

8. INVENTORIES

This account consists the following:

	2025	2024 (as restated)
Information material inventory	3,020,605	2,565,803
Accountable forms, plates and stickers	1,532,885	1,302,045
Office supplies inventory	493,821	380,603
Medical, dental and laboratory supplies inventory	47,925	23,942
Other supplies and materials inventory	342,950	218,893
Semi-expendable assets	1,982,247	1,494,249
	7,420,433	5,985,535

The Information material inventory account pertains to the cost of promotional materials, while the Office supplies inventory account pertains to the cost of regular office supplies such as bond papers, pens and pencils, etc.

The Medical, dental and laboratory supplies inventory are Coronavirus Disease-19-related materials and supplies purchased and/or received for use in operations.

Other supplies and materials inventory pertains to Visa stickers, accountable forms and plates, while the Other supplies inventory pertains to information technology consumables such as inks and cartridges.

Semi-expendable assets consist of the purchased Digital Voice Recorder and other furniture with a cost of below P50,000 per unit.

9. OTHER CURRENT ASSETS

This account consists the following:

	2025	2024 (as restated)
Creditable withholding tax at source	7,472,942	30,969,366
Advances	14,482	40,122
Prepaid rent	1,499,803	-
Prepaid insurance	253,787	345,201
Other prepayments	4,960,985	4,394,827
	14,201,999	35,749,516

In conformity with PAS 8, the Other current assets are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	23,700,133
Adjustments/Recording of:	
- Advances	(9,274)
- Creditable withholding tax at source	12,058,657
Restated amount as at December 31, 2024 - Other Current Assets	35,749,516

Creditable withholding tax at source pertains to the creditable withholding taxes from the receipt of management fees collected from accredited private banks.

Advances pertain to cash advances granted to various disbursing officers that remained unliquidated as at year-end.

10. INVESTMENT IN STOCKS

The Investment in stocks account pertains to investment in proprietary shares of stock of the Baguio Country Club. The proprietary shares were purchased on July 23, 2015, for the amount of P600,000. The fair value of the club shares still amounted to P3.5 million at December 31, 2025 and 2024.

11. OTHER RECEIVABLES

This account consists the following:

	2025	2024
COA disallowances	5,202,634	5,202,634
Due from officers and employees	1,335,719	1,335,719
Marketers accreditation	677,331	677,331
Other receivables	4,351,230	4,351,125
	11,566,914	11,566,809
Allowance for impairment	(4,529,357)	(4,529,357)
	7,037,557	7,037,452

COA disallowances pertain to the disallowed payment of allowances and expenses that were issued with the COA Order of Execution/Notice of Disallowance or Suspension.

Due from officers and employees represents unliquidated cash advances of active and retired/resigned PRA officers and employees.

Marketers' accreditation fees are accruals for the renewal of marketers' accreditation in CYs 1996 to 2001. The total amount is provided with allowance for impairment.

Other receivables include the receivable from Bankwise, Inc. of P3,273,327.11 as at December 31, 2008, for MF (*see Note 7.1b*), the collection of which had already been endorsed to the OGCC for legal actions, considering that the bank is now under receivership by the PDIC.

12. PROPERTY, PLANT AND EQUIPMENT

The details of the account are shown below:

	Building and other structures	Machineries and equipment	Motor vehicles	Furniture and fixtures	Total
Cost:					
Balance, January 1, 2025 (as restated)	170,429,602	39,263,816	16,115,662	3,052,623	228,861,703
Additions	118,374,821	15,353,705	9,400,000	-	143,128,526
Disposals/ adjustments	(100,454,856)	-	(2,348,000)	-	(102,754,513)
Balance, December 31, 2025	188,349,567	54,617,521	23,167,662	3,052,623	269,187,373
Accumulated depreciation:					
Balance, January 1, 2025	158,688,463	30,674,372	13,676,739	2,577,517	205,523,592
Additions	28,731,587	1,155,783	792,999	62,514	30,536,223
Disposals/adjustments	(100,395,856)	-	(2,113,200)	-	(102,568,056)
Balance, December 31, 2025	86,665,035	31,830,155	12,356,538	2,640,031	133,491,759
Net book value, Dec. 31, 2025	101,684,532	22,787,366	10,811,124	412,592	135,695,614

Building and other structures account pertains to the condominium unit at the BDO Towers Valero, Makati City, which is owned by the PRA with a total area of 598.20 square meters, including four parking slots.

Included under the PPE are right-of-use assets over the following:

	2025	2024 as restated
Office building	114,327,761	100,301,796
Accumulated depreciation	(26,340,880)	(100,301,786)
Net book value	87,986,881	10

13. INTANGIBLE ASSETS

The details of the account are as follows:

	Computer software	Website	Development in progress	Total
Cost:				
Balance, January 1, 2025	2,796,000	1,335,000	1,680,000	5,811,000
Additions	-	-	-	-
(Disposals/adjustments)	-	-	-	-
Balance, December 31, 2025	2,796,000	1,335,000	1,680,000	5,811,000
Accumulated depreciation:				
Balance, January 1, 2025	2,516,400	1,201,500	-	3,717,900
Additions	-	-	-	-
(Disposals/adjustments)	-	-	-	-
Balance, December 31, 2025	2,516,400	1,201,500	-	3,717,900
Net book value, Dec. 31, 2025	279,600	133,500	1,680,000	2,093,100

This account consists of computer software and website acquired during CY 2018 and amortized over five years using the straight-line method.

14. OTHER NON-CURRENT ASSETS

This account consists the following:

	2025		2024	
Restricted funds (RF)	22,476,766,506		21,206,311,968	
Guaranty deposits	9,855,903		7,542,457	
	22,486,622,409		21,213,854,425	

	2025		2024	
	Amount (in USD)	Amount (In Peso)	Amount (In USD)	Amount (In Peso)
RF-VD-Receiving	377,067,961	22,167,825,415	362,860,168	20,989,646,416
RF-VD-Disbursing	3,273,079	192,424,328	3,328,360	192,528,974
RF-Interest on VD	1,981,915	116,516,763	417,263	24,136,578
Total Restricted Fund	382,322,955	22,476,766,506	366,605,791	21,206,311,968

RF-VD-Receiving account pertains to VD remittances to the PRA by active members, which are placed in Time deposits (TDs), whereas the RF-VD-Disbursing account pertains to the unreleased VD of members who withdrew from the PRA program and had pre-terminated the corresponding TDs. The RF-VD-Disbursing is funds exclusive and readily available for payment to the retirees.

The RF-VD-Receiving and Disbursing accounts are the contra-accounts of VD of Retiree-Members account under Note 17 – Trust Liabilities.

RF-Interest on VD account pertains to the accumulated interests earned from the RFs still not placed in TDs. Part of the previous years' interest earned was placed in other short-term TDs under the Investments in time deposits-foreign currency-Restricted account in Note 6 – Investments in time deposits. The RF-Interest on VD, including those placed in TDs and part of Cash in bank-foreign currency with the DBP Saving Account (Restricted), is the contra-account of the Interest on VD under Note 17 – Trust Liabilities.

Guaranty deposits pertain mainly to the security deposits paid to Metrobank-Trust Banking Group for the lease by the PRA of office space at the BDO Towers and other service providers, such as the Philippine Long Distance Telephone Company.

15. FINANCIAL LIABILITIES

This account consists the following:

	2025	2024 (as restated)
Accounts payable	82,656,183	39,478,025
Due to officers and employees	11,438,622	3,130,562
	94,094,805	42,608,587

In conformity with PAS 8, Financial Liabilities are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	57,036,402
Adjustments/Recording of Financial Liabilities:	
Prior year's expenses paid during the year	(14,427,815)
Restated amount as at December 31, 2024 - Financial Liabilities	42,608,587

Accounts payable pertains mainly to certified and outstanding obligations of the PRA to its suppliers and contractors.

Due to officers and employees include payroll related certified obligations of the PRA to its employees.

16. INTER-AGENCY PAYABLES

This account consists the following:

	2025	2024 (as restated)
Due to BIR	19,480,155	86,870,488
Due to GSIS	6,603,558	4,657,760
Due to Pag-IBIG fund	214,976	217,822
Due to PhilHealth	963,186	611,726
Due to NGAs (BI)	(691,227)	(692,783)
Due to LBP	1,763,375	1,464,747
Due to LBP	25,810	-
	28,359,788	93,129,760

In conformity with PAS 8, Inter-agency payables are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	87,371,140
Adjustments/Recording of Inter-agency payables	5,758,620
Restated amount as at December 31, 2024 - Inter-agency payables	93,129,760

Due to the Bureau of Internal Revenue (BIR) represents the last quarter income tax and withholding taxes on compensation, Value-Added Tax (VAT) and Expanded withholding tax for the month of December.

Due to GSIS, Philippine Health Insurance Corporation (PhilHealth), and Pagtutulungan sa Kinabukasan: Ikaw, Bangko, Industriya at Gobyerno (Pag-IBIG) accounts are payroll items for membership contributions and loan payments by the PRA regular employees.

Due to National Government Agencies (NGAs) account pertains to the liability to the BI for the processing of applications for the SRRV.

17. TRUST LIABILITIES

This account consists the following:

	2025	2024 (as restated)
VDs of retiree-members	22,672,988,531	21,487,080,436
Interest on VDs	253,742,281	246,968,871
BI	2,348,053	2,253,883
Customers' deposit payable	13,413,759	11,092,129
Guaranty/security deposits payable	713,793	425,024
	22,943,206,417	21,747,820,343

In conformity with PAS 8, Inter-Agency Payables are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	21,747,822,494
Adjustments/Recording of Guaranty/security deposit payable	(2,151)
Restated amount as at December 31, 2024 - Trust Liabilities	21,747,820,343

VDs of retiree-members account pertains to the outstanding VD of Retiree-Members which shall be payable to the Members/SRRV holders upon their withdrawal/early termination due to cancellation of membership from the PRA Program, or conversion of deposit into active investment.

This account is the counter liability account of the RF-VD-Receiving and RF-VD-Disbursing under Note 14 – RF. This account amounted to US\$385,660,632 and US\$371,459,593 for the years ended December 31, 2025 and 2024, respectively, and was translated into peso amounts using the corresponding year-end closing rates of P58.79:US\$1 and P57.845:US\$1.

Interest on VD pertains to the liability of the PRA to Members/SRRV holders for their accumulated interest share on the interest income earned from their VD with the DBP.

Interest on VD is the contra account of the Investments in TD-Foreign Currency-Restricted and RF-Interest on VD accounts under Note 6 – Investment in TD and Note 14 – RF, respectively. The account with a balance of US\$ 4,316,079 and US\$4,269,494 as at December 31, 2025 and 2024, respectively, was translated to peso amounts using the corresponding year-end closing rates of P58.79:US\$1 and P57.845:US\$1.

18. OTHER PAYABLES

This account consists the following:

	2025	2024 (as restated)
Dividends payable	-	294,960,406
Other payables	1,106,260	592,626
Undistributed collections	74,191,066	10,499,683
	75,297,326	306,052,715

In conformity with PAS 8, Other payables are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	11,092,309
Adjustments/Recording of Dividend payable	294,960,405
Restated amount as at December 31, 2024 - Other Payables	306,052,714

Other payables pertain to unclaimed refunds by clients and employees prior to CY 2014.

Undistributed collections account is used to recognize a temporary pool of collections from clients/retirees that were directly deposited to the PRA's depository accounts, wherein a corresponding copy of deposit slips was not yet received as of the close of the transaction date for identification and issuance of official receipts.

19. DEFERRED CREDITS/UNEARNED INCOME

This account consists of collections of the following fees that are applicable to future periods:

	2025	2024 (as restated)
APF	635,626,067	631,763,153
VF	21,745,076	24,696,677
Registration/ID fee	2,895,915	2,895,915
HF	4,279,115	3,554,899
Accreditation fee	48,147	48,147
	664,594,320	662,958,791

In conformity with PAS 8, Unearned income are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	662,394,299
Adjustments/Recording APF	564,492
Restated amount as at December 31, 2024 - Unearned Income	662,958,791

Some retiree-members opt to pay the required fees in advance for a maximum of three years, as allowed, to avoid the hassle of yearly SRRV ID renewal.

20. PROVISIONS

This account pertains mainly to the money value of unused leave benefits of regular employees amounting to P17.104 million and P14.904 million as at December 31, 2025 and 2024, respectively.

21. LEASE PAYABLE

Lease liabilities pertain to lease agreements with the PRA that were recognized as right-of-use assets in compliance with the PFRS 16 (*Note 33*).

This account consists of the recorded lease liabilities net of the accumulated lease payments as of the report dates, as follows:

Lessor/Location	Lease Term	2025	2024 (as restated)
BDO Unibank, Inc. - Trust & Investment Group Head Office, 29F, Unit 29C, Citibank Tower, 8741 Paseo de Roxas Avenue, Makati City, Philippines	March 1, 2025 to February 28, 2028	25,699,967	2,119,646
MBTC - Trust Banking Group Head Office, 29F, Unit 29A & D, Citibank Tower, 8741 Paseo de Roxas Avenue, Makati City, Philippines	January 1, 2025 to December 31, 2029	77,554,206	-
XYST CORPORATION, Head Office, 24 th F, 24-B, C and D, Paseo de Roxas Ave., Makati City, Philippines	May 1, 2025 to May 31, 2027	7,934,311	-
Total		111,188,484	2,119,646
Less: Accumulated Lease payment			
Add: Adjustment: Recognition of Interest Expenses		-	-
Outstanding Balance		111,188,484	2,119,646

In conformity with PAS 8, Unearned income are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	1,950,302
Adjustments/Recording of Lease payable and rent/lease expense	169,344
Restated amount as at December 31, 2024 - Lease payable	2,119,646

22. GOVERNMENT EQUITY

This account pertains to the amounts released by the National Government from 1985 until 1994 for the capitalization requirements of the PRA for a total of P63,217,089. There were no additions nor reductions of the amount during CY 2024.

23. RETAINED EARNINGS

	2025	2024 (as restated)
Retained Earnings, January 1	2,836,754,591	2,562,823,161
Dividend paid during the year	(294,960,406)	(184,360,156)
Net income for the year	799,944,215	650,863,385
Other adjustments, net	294,926,938	(192,571,799)
Retained earnings, December 31	3,636,665,338	2,836,754,591

In conformity with PAS 8, Retained earnings are restated as follows:

	Amount
Unrestated amount as at December 31, 2024	3,028,758,367
Adjustment for prior period errors	(192,003,776)
Restated amount as at December 31, 2024 - Retained Earnings	2,836,754,591

24. INCOME

This account consists the following:

	2025	2024
Service income	911,491,747	836,744,648
Business income	411,179,753	307,994,740
Gains on forex	992,622,244	992,899,254
Other non-operating income	609,014	531,558
	2,315,902,758	2,138,170,200

24.1 Service Income

This account consists the following:

	2025	2024
APF	419,337,578	393,816,273
Visa application fee	225,201,166	203,556,770
MF	235,348,780	205,753,671
VF	19,402,741	18,128,962
Registration/ID fee	5,453,543	7,127,284
Processing & other fees	5,274,530	5,538,077
HF	1,473,409	2,823,611
	911,491,747	836,744,648

The APF pertains to the annual fee collected from active members at US\$360 for the principal retiree and two qualified dependents and US\$100 for every additional dependent (in excess of two).

Visa Application fee is a one-time processing/service fee paid by retiree-applicants for their application in the program at US\$1,400 for the principal applicant and an inclusion fee of US\$300 for each dependent of the principal applicant/s.

The MF are collected from private banks where retiree-members maintain their VD computed at agreed rates based on the outstanding amount of deposits. Presently there are six accredited private banks and one government bank maintaining the VD of retiree-members and 16 previously accredited private banks that still have some retirees' VD remaining with them and not yet transferred including that of Bankwise Inc. (see Note 11)

The VF represents the annual fee due from retirees who have converted their requisite VD into active investments, at the rates ranging from 0.5 percent to 1.5 percent of the visa amount converted into active investment.

Processing fees are collected for other services rendered by the PRA such as cancellation, accreditation (including marketer and merchant partners), re-stamping, visa downgrading, clearances and other PRA services to retiree-members.

24.2 Business Income

This account consists the following:

	2025	2024
Interest income	411,106,534	307,624,923
Other business income	73,219	369,817
	411,179,753	307,994,740

Interest income pertains to interest earned on PRA Investments in TDs and VDs maintained at its various accredited banks.

24.3 Gains on Forex

This account consists the following:

	2025	2024
Realized gains on forex	380,196,486	724,621,718
Unrealized gains on forex	612,425,758	268,277,537
	992,622,244	992,899,255

24.4 Other Non-operating Income

Other Non-operating income account pertains to Miscellaneous Income amounting to P609,014 and P531,558 in CYs 2025 and 2024, respectively.

25. DIRECT COST

This account consists of expenses that are directly associated with the Service income:

	2025	2024
Marketers' fee	53,247,769	49,187,453
BI fee	22,049,610	20,472,735
Medical examination fee	1,391,179	-
Visa stickers and IDs and membership kits	-	3,740,647
	76,688,558	73,400,835

Marketers' fee refers to payments made by the PRA to its accredited marketers for enrolment services rendered to retiree-applicants at US\$500 per applicant. The PRA has 207 and 186 accredited marketers in CYs 2025 and 2024, respectively, that were able to enrol a total of 2,279 principal retiree-applicants in CY 2025 and 2,263 principal retiree-applicants in 2024.

The BI fee pertains to amounts paid to the BI on the processing of the retiree-applicants' visa at P5,580 for every principal applicant or spouse and P5,330 for dependents aged 15 years old and below. This also includes the express lane fee at BI of P500 per application.

Medical examination fee pertains to payment by the PRA to its accredited merchant partners for providing medical services to retiree-applicants in relation to their application to the SRRV Program of the PRA. This has been discontinued since 2021 and applicants were required to shoulder the cost of the medical examination.

26. PERSONNEL SERVICES

This account consists the following:

	2025	2024
Salaries and wages	71,070,776	57,795,718
Other compensation	23,672,744	20,121,451
Benefits contribution	10,605,259	8,784,122
Other benefits	8,905,192	7,189,206
	114,253,971	93,890,497

26.1 Other Compensation

	2025	2024
Year-end bonus	6,263,749	4,951,658
Mid-year bonus	6,027,257	4,674,354
Personnel economic relief allowance	2,240,543	2,092,080
Service recognition incentive	1,862,000	1,742,000
Overtime pay	2,188,320	2,481,101
Representation allowance	1,379,375	1,401,625
Transportation allowance	925,500	962,273
Clothing/uniform allowance	658,000	619,000
Cash gift	465,000	434,000
Productivity incentive allowance	466,000	434,000
Longevity pay	160,000	284,360
Hazard pay	-	-
Other bonuses and allowances	1,037,000	45,000
	23,672,744	20,121,451

26.2 Benefits Contribution

This account pertains to the PRA share of the following premiums:

	2025	2024
Retirement and life insurance premium	8,582,193	7,036,084
PhilHealth contribution	1,694,666	1,443,038
Pag-IBIG fund contribution	218,400	199,900
Employees compensation insurance premium	110,000	105,100
	10,605,259	8,784,122

26.3 Other Benefits

Other benefits account pertains to earned leave benefits of regular employees, including terminal leaves paid to retired/resigned employees.

27. MAINTENANCE AND OTHER OPERATING EXPENSES

This account consists the following:

	2025	2024
General services	37,331,346	29,636,024
Traveling expenses	16,482,163	2,540,131
Professional services	12,299,393	6,230,401
Communication expenses	4,910,272	6,085,537
Supplies and materials	4,101,097	5,297,616
Training and scholarship expenses	2,914,274	1,358,533
Repairs and maintenance	2,826,159	2,936,472
Utility expenses	881,675	877,973
Taxes, insurance premiums and other fees	410,289	466,317
Confidential, intelligence and extraordinary expenses	89,931	251,860
Other maintenance and operating expenses	159,547,842	97,680,042
	241,794,441	153,360,906

27.1 General Services

	2025	2024
Security services	521,721	492,482
Other general services	36,809,625	29,143,542
	37,331,346	29,636,024

Other general services pertain to the salaries and wages, including overtime pay of temporary workers under “job order” contracts.

27.2 Traveling Expenses

	2025	2024
Traveling expenses – local	3,544,665	2,386,940
Traveling expenses – foreign	12,937,498	153,191
	16,482,163	2,540,131

27.3 Professional Services

	2025	2024
Auditing services	3,749,912	3,578,001
Consultancy services	7,081,071	1,598,891
Legal services	1,288,410	800,026
Other professional services	180,000	253,483
	12,299,393	6,230,401

27.4 Communication expenses

	2025	2024
Internet subscription expenses	2,985,813	3,863,747
Telephone expenses	1,054,988	1,019,508
Postage and courier services	869,471	1,202,282
	4,910,272	6,085,537

27.5 Supplies and Materials

	2025	2024
Office supplies expenses	2,797,512	2,129,954
Fuel, oil and lubricants expenses	558,881	639,419
Accountable forms expenses	78,040	775,556
Drugs and medicines expenses	42,499	110,783
Semi-expendable machinery and equipment expense	610,215	1,638,863
Other supplies and materials expenses	13,950	3,041
	4,101,097	5,297,616

27.6 Training and Scholarship Expenses

Training and scholarship expenses pertain to various seminars and conferences attended by employees, amounting to P2,914,274 and P1,358,533 for CYs 2025 and 2024, respectively.

27.7 Repairs and Maintenance

	2025	2024
Machinery and equipment	2,358,855	2,298,210
Buildings and other structures	166,394	254,832
Transportation equipment	300,910	383,430
	2,826,159	2,936,472

27.8 Utility Expenses

Utility expenses represent those incurred by the PRA for electric consumption during CYs 2025 and 2024, totaling P881,675 and P877,973, respectively.

27.9 Taxes, Insurance Premiums, and Other Fees

	2025	2024
Fidelity bond premiums	291,285	292,207
Taxes, duties and licenses	11,130	25,590
Insurance expenses	107,874	148,520
	410,289	466,317

27.10 Confidential, Intelligence and Extraordinary Expenses

Confidential, intelligence and extraordinary expenses consist of extraordinary and miscellaneous expenses incurred by the PRA in CYs 2025 and 2024, amounting to P89,931 and P251,860, respectively.

27.11 Other Maintenance and Operating Expenses

	2025	2024
Advertising, promotional and marketing expenses	114,131,694	71,027,793
Rent/lease expenses	3,201,203	2,051,932
Representation expenses	5,778,881	4,766,623
Membership dues and contributions to organizations	557,235	5,123,614

	2025	2024
Major events and convention expenses	12,318,604	8,998,880
Transportation and delivery expenses	356,506	147,964
Printing and publication expenses	24,640	119,862
Subscription expenses	16,956,594	5,082,364
Other maintenance and operating expenses	6,222,485	361,010
	159,547,842	97,680,042

28. NON-CASH EXPENSES

	2025	2024 (as restated)
Depreciation		
Machinery and equipment	1,155,784	1,121,625
Building and other structures	2,030,976	3,513,989
Furniture and fixtures	62,514	66,802
Transportation equipment	792,999	827,357
Right of use (ROU)	26,340,880	19,866,364
	30,383,153	25,396,137
Impairment loss-loans and receivables	-	144,159,818
Loss on sale of unserviceable property	47,800	-
	30,430,953	169,555,955

29. FINANCIAL EXPENSES

This account consists the following:

	2025	2024
Bank charges	166,423	87,642
Interest expense for leasing arrangements	6,032,448	609,341
	6,198,871	696,983

30. LOSS ON FOREX

This account consists the following:

	2025	2024
Realized loss on forex	381,698,241	663,121,402
Unrealized loss on forex	542,121,391	237,415,497
	923,819,632	900,536,899

Unrealized loss on forex amounting to P542.121 million and P237.415 million as at December 31, 2025 and 2024, respectively, resulted in the translation of monetary assets and liabilities denominated in US Dollars using the year-end closing rates of P58.79:US\$1 and P57.845:US\$1, respectively.

31. TAXES

31.1 Payment of Taxes and Exemption from VAT

Section 12 of EO No. 1037, s. 1985, states the following:

Section 12. Exemption from Fees, Duties and Taxes. The SYSTEM is hereby declared exempt from all income and other internal revenue taxes, tariff and customs duties and all other kinds of taxes, fees, charges and assessments levied by the government and its political subdivisions, agencies and instrumentalities. The President of the Philippines, upon recommendation of the Minister of Finance, may partially or entirely lift the exemptions herein granted, if he shall find that the SYSTEM is already self-sustaining and finally capable of paying such taxes, customs duties, and fees, charges and other assessments, after providing for the debt service requirements and the projected capital and operating expenditures of the SYSTEM.

Accordingly, after reaching self-sustainability, the PRA religiously remits quarterly and yearly with the BIR the income tax as required under the Corporate Income Tax Law, and monthly, all taxes withheld by the PRA from its suppliers/stakeholders in compliance with the existing Revenue Regulations on the taxes withheld on Government Money Payments.

The VAT law stated in the provisions of RA No. 8424, imposition of VAT payable to Government bodies may not qualify with the provisions stated thereat, as it is not expressly stated for GOCCs and other government bodies on the imposition of remitting VAT with the BIR. As compared with the provisions stated in Section 12 of RA No. 9337, amending Section 114 of the National Internal Revenue Code of 1997, with subsection (C), the code expressly and specifically mandates GOCCs to which the PRA belongs, to just withhold the final VAT of five percent and remit the same to the BIR, to wit:

(C) Withholding of Value-Added Tax. – The Government or any of its political subdivisions, instrumentalities or agencies, including GOCCs shall, before making payment on account of each purchase of goods and services which are subject to the value-added tax imposed in Sections 106 and 108 of this Code, deduct and withhold a final value-added tax at the rate of five (5%) percent of the gross payment thereof....

31.2 Income Tax Expense

This account consists of provisions for income taxes for:

	2025	2024
Income tax expense – current	118,591,873	108,714,354
Income tax expense – deferred	4,180,244	(12,849,613)
Total	122,772,117	95,864,741

31.3 Deferred Tax Assets

This account consists the following:

	2025	2024
Unrealized loss on forex	122,066,904	59,353,873
Unearned income	157,839,255	138,695,116
Allowance for impairment	37,140,317	37,365,262
Total	317,046,476	235,414,251

31.4 Deferred Tax Liabilities

This account consists the following:

	2025	2024
Unrealized gain on forex	153,106,800	67,294,329
Total	153,106,800	67,294,329

32. RELATED PARTY TRANSACTIONS

32.1 Key Management's Personnel

The senior management group consists of the General Manager, the Chief Executive Officer, his deputy, and four department heads of administration and finance, marketing, servicing, and management services. The Governing Board consists of Members appointed by the President of the Philippines.

32.2 Key Management Personnel Compensation

The aggregate remuneration of the key management personnel determined on a full-time equivalent basis, receiving remuneration within this category, is as follows:

	2025	2024
Salaries and wages	10,755,818	10,398,350
Other compensation	3,150,138	2,810,408
	13,905,956	13,208,758

The Chairman of the Board and all members of the Board are not currently remunerated by the PRA.

There is no reportable compensation provided to close family members of key management personnel during the period.

33. LEASES

The PRA entered into lease agreements for its Main Office at the 24th and 29th Floors, BDO Towers, Quadrants A, C, and D, and for its four local satellite offices in Davao, Baguio, Subic, and Cebu. Except for short-term leases and leases of low-value underlying assets, each lease is reflected on the balance sheet as a right-of-use asset and a lease liability. Variable lease payments that do not depend on an index or a rate (such as lease payments based on a

percentage of sales) are excluded from the initial measurement of the lease liability and asset. The PRA classifies its right-of-use assets in a consistent manner with its PPE (see *Note 3.9*).

Leases for satellite offices are generally of low value or short-term for a maximum period of 12 months. The PRA has no lease that is tied up with its revenue or index.

Each lease generally restricts that, unless there is a contractual right for the PRA to sublet the asset to another party, the right-of-use asset can only be used by the PRA. Leases are either non-cancellable or may be terminated with a substantial fee. The PRA has no leases that contain an option to purchase the underlying leased asset outright at the end of the lease, or to extend the lease for a further term without complying with the lease renewal notification required by the lessor.

The PRA is prohibited from selling or pledging the underlying leased assets as security. For leases of office buildings, the PRA must keep these properties in a good state of repair and return the properties in their original condition at the end of the lease term. Further, the PRA must insure items of the PPE and incur maintenance fees on such items in accordance with the lease contracts.

The table below describes the nature of the PRA's leasing activities by type of right-of-use asset recognized on the Statement of Financial Position:

Right-of-Use	Office Building
No. of right-of-use assets leased	3
Range of remaining term	1 – 4 years
Average remaining lease term	3 years
No. of leases with extension options	3
No. of leases with options to purchase	-
No. of leases with variable payments linked to an index	-
No. of leases with termination option	3

Right-of-use

Additional information on the right-of-use assets by class of assets is presented below:

	No of Assets	Carrying Amount	Additions	Depreciation	Impairment
Office building	3	114,327,761	-	26,340,880	-

The right-of-use assets are included in the same line item as where the corresponding underlying assets would be presented if they were owned.

Lease Liabilities

The roll forward analysis of finance lease liability is as follows:

	Amount
At January 1, as previously reported	100,350,139
	153,061
Adjustments	
Derecognition of expired	(100,503,200)
As at January 1,	-
New lease liabilities	114,327,502
Interest expense	-
Payments	(3,139,018)
As at December 31, 2025	P111,188,484

The following are the amounts recognized in the Statement of Comprehensive Income:

	2025	2024
Depreciation expense of leased assets, building and other structures	26,340,880	19,713,294
Interest expense on finance lease liability	6,032,448	594,880
Total amount recognized in Statement of Comprehensive Income	32,373,328	20,308,174

The use of extension and termination options gives the PRA added flexibility in the event it has identified more suitable premises in terms of cost and/or location, or determined that it is advantageous to remain in a location beyond the original lease term. An option is only exercised when consistent with the PRA's regional markets strategy, and the economic benefits of exercising the option exceed the expected overall cost.

The validity of lease contracts with MBTC, BDO, and XYST is up to December 31, 2029, and February 28, 2028, respectively, and as of April 30, 2027, the PRA had no committed leases that had not commenced.

The lease liabilities are secured by the related underlying assets. The undiscounted schedule of minimum lease payable of the Authority related to its lease agreements is shown below:

	2025	2024
Rent payable within:		
One year	46,125,391	2,556,273
More than one year up to five years	65,063,093	-
Beyond five years	-	-
Total	111,188,484	2,556,273

Lease payments not recognized as a liability

The PRA has elected not to recognize a lease liability for short-term leases (leases of expected term of 12 months or less) or for leases of low-value assets. Payments made under such leases are expensed on a straight-line basis.

In addition, certain variable lease payments are not permitted to be recognized as lease liabilities and are expensed as incurred.

Short-term lease consists of the renewal of contracts for Davao and Baguio Satellite Offices and extension of contracts for Clark / Subic and Cebu Satellite Offices.

The expenses relating to payments not included in the measurement of the lease liability are as follows:

	2025	2024
Short-term lease	3,201,203	1,479,830
Leases of low-value assets	-	624,985
Variable lease payments	-	-
Total	3,201,203	2,104,815

For interest expense in relation to leasing liabilities, refer to finance costs (*Note 29*).

34. SUPPLEMENTARY INFORMATION REQUIRED UNDER REVENUE REGULATION (RR) NO. 15-2010

In compliance with the requirements set forth by RR No. 15-2010, hereunder are the information on taxes, duties and license fees paid or accrued during the taxable year:

a. Withholding Taxes:

The details of total withholding taxes for the years ended December 31, 2025 and 2024 are as follows:

	2025	2024
Creditable (Expanded)	10,753,934	8,567,478
Compensation and benefits	7,692,201	7,387,777
Creditable (VAT and Other Percentage Tax)	10,287,606	2,278,205
Total	28,733,741	18,233,460

b. Other Taxes & Licenses:

	2025	2024
<u>Local</u>		
Community tax	25,590	25,590
<u>National</u>		
BIR annual registration (Exempted)	-	-

35. LEGAL CASES

The PRA has a pending case which is Civil Case No. R-MKT-17-01543-CV vs. former employees for the cause of action to Recover Sum of Money. In January 2024, Notices of Garnishment were issued to ten (10) banks to deduct payments directly from one of the respondent's bank accounts. To date, PRA is still waiting for an update from the sheriff of Regional Trial Court Branch 139 of Makati City.

In addition, Civil Case No. 22-15763 – Perla Tortogo through her Attorney-in Fact Cecilia T. Doromal against Peter Alexander Chidgzy – an SRRV holder and Philippine Retirement Authority (PRA) as co-defendant for rescission of a long-term lease contract with damages docketed at the Regional Trial Court Branch 49, Bacolod City. The same was dismissed on November 23, 2024; however, a motion for reconsideration was received on December 7, 2024 and is still under resolution by the presiding judge as of December 31, 2025.

PART II – OBSERVATIONS AND RECOMMENDATIONS

A. FINANCIAL

1. The Retained Earnings (RE) account, with a year-end balance of P3.637 billion, is overstated by P23.842 million, with the corresponding misstatements in several affected accounts, due to the erroneous adjustment and the improper recognition of the reversal of allowance for impairment directly in RE account instead of recognizing it prospectively in Profit or Loss. Additionally, the details of the prior period adjustments totaling P192.004 million are not adequately disclosed in the Notes to Financial Statements. These deficiencies are not in accordance with Paragraphs 36, 38, and 42 of the Philippine Accounting Standard (PAS) 8 and have affected the fair presentation of the balances of the said accounts in the financial statements.

Furthermore, the dividend declaration in Calendar Year (CY) 2025 was incorrectly accounted for as a prior period adjusting event rather than as a current year transaction, resulting in the adjustment of the declared dividends of P294.960 million against the prior year's balance of the Dividends Payable account, which is contrary to Paragraphs 12 and 13 of PAS 10.

- 1.1 Paragraphs 36, 38, and 42 of the Philippine Accounting Standard (PAS) 8 provide the following:

36. The effect of a change in an accounting estimate, other than a change to which paragraph 37 applies, shall be recognised prospectively by including it in profit or loss in:

- (a) the period of the change, if the change affects that period only; or*
- (b) the period of the change and future periods, if the change affects both.*

Xxx

38. Prospective recognition of the effect of a change in an accounting estimate means that the change is applied to transactions, other events and conditions from the date of that change. A change in an accounting estimate may affect only the current period's profit or loss, or the profit or loss of both the current period and future periods. For example, a change in a loss allowance for expected credit losses affects only the current period's profit or loss and therefore is recognised in the current period. Xxx

42. An entity shall correct material prior period errors retrospectively in the first set of financial statements authorized for issue after their discovery by restating the comparative amounts for the prior period(s) presented in which the error occurred, or if the error occurred before the earliest prior period presented, by

restating the opening balances of assets, liabilities and equity for the earliest prior period presented.

- 1.2 Paragraph 5.5.8 of the Philippine Financial Reporting Standard (PFRS) 9 states that:

An entity shall recognize in profit or loss, as an impairment gain or loss, the amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recognized in accordance with this Standard.

- 1.3 Paragraph 28 of PAS 21 articulates that, *“Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they were translated on initial recognition during the period or in previous financial statements shall be recognized in profit or loss in the period in which they arise.”*
- 1.4 Paragraph QC12 of the Conceptual Framework for Financial Reporting likewise provides that *“To be a perfectly faithful representation, a depiction would have three characteristics. It would be complete, neutral, and free from error. Of course, perfection is seldom, if ever, achievable. The Board’s objective is to maximize those qualities to the extent.”*

Erroneous adjustments and the improper recognition of the reversal of allowance for impairment directly in RE instead of through Profit or Loss

- 1.5 As at December 31, 2025, the Retained Earnings (RE) account had a total balance of P3.637 billion. Audit revealed that several adjustments were made, which consequently affected the RE account in the total amount of P192.004 million. Of this amount, P23.842 million pertains to adjustments that arose from the current period assessment of impairment, and were not part of prior period errors, details of which are presented in Table 1.

Table 1 – Summary of Adjustments that Decreased the AFI account

JEV Number	Particulars	Amount
202512204	To adjust the estimated credit loss (ECL) on Accounts Receivable (AR)/Annual PRA Fee based on the aging report (ARe) as at 12/31/2025	P18,788,219
202512207	To adjust the ECL on AR/Harmony Fee based on the ARe as at 12/31/2025	1,447,833
202512174	To adjust the ECL on AR/Management Fee based on the ARe as at 12/31/2025	2,607,665
202512232	To adjust the ECL on AR/Visitorial Fee based on the ARe as at 12/31/2025	8,962,668
Total		P31,806,385
202512228	To adjust the recorded deferred tax asset (DTA) of AFI due to an error in recording	P(7,963,916)
Net		P23,842,469

- 1.6 As shown in Table 1, the decrease in the Allowance for Impairment (AFI) totaling P31.806 million, considered as a reversal, was recorded by debiting the AFI account and crediting the RE account through various Journal Entry Vouchers

(JEV). The corresponding adjustment in DTA was also recognized, amounting to P7.964 million.

- 1.7 Audit revealed that the Finance Management Division (FMD) compared the computed year-end balance of AFI with its beginning balance and incorporated any necessary adjustments. However, the resulting increase or decrease in AFI balance, representing loss or reversal of impairment, was recorded directly under the RE account, instead of being recognized in the appropriate Profit or Loss account, contrary to the requirement of PAS 8.
- 1.8 Further verification disclosed that the decrease of P8.963 million in AFI was an erroneous adjustment, resulting in the discrepancy of P9.224 million between the Aging Schedule and the General Ledger (GL) – AFI, as presented in Table 2.

Table 2 – Comparison between the Aging Schedule and the GL for AFI

Particulars	Per GL (in millions)	Aging Schedule (In millions)	Difference
Balance - Jan. 1, 2025 – VF	P62.031	P62.031	P0.00
Add (less): Adjustments - ECL	(8.963)	0.261	9.224
Correcting entry	(.049)	(.049)	0.00
Balance – December 31, 2025 - VF	P53.019	P62.243	P9.224

- 1.9 Examination of the submitted Report disclosed the amount of P261,238 as the computed CY 2025 ECL for AR-VF. However, the concerned FMD personnel made the reversal adjustment of P8.963 million. Hence, the reported balance of the AFI – VF was understated by P9.224 million, while the impairment loss of P261,238 was not reflected in the books.
- 1.10 The related set DTA arising from the decrease in AFI was recognized by debiting and crediting the RE and DTA accounts, respectively, in the amount of P7.964 million. However, this is contrary to applicable accounting standards, as the tax effect must align with the nature of the underlying transaction. As the reversal of AFI should have been recognized in profit or loss, the recognition of the corresponding DTA must be in the same manner.
- 1.11 The improper use of the RE account arose from the misapplication and misinterpretation of the applicable accounting standards, particularly the distinction between a prior period error and a change in accounting estimate under PAS 8, as well as the requirements of PFRS 9 on the accounting treatment of impairment reversals. The FMD operated under the erroneous assumption that adjustments affecting prior period balances may be directly recognized in the RE account without application of the prospective restatement or presentation through profit or loss required under the explicit provisions of PAS 8.
- 1.12 In summary, the improper recognition of adjustments to the RE account resulted in the misstatements of various accounts as presented in Table 3.

Table 3 – Summary of Misstatements

Noted Errors	RE	Gain from Reversal of Impairment	ITE-D	Impairment Loss	AFI
ECL adjustment of AR-MF for 2025	(2,607,665)	2,607,665			
ECL adjustment of AR-APF for 2025	(18,788,219)	18,788,219			
ECL adjustment of AR-HF for 2025	(1,447,833)	1,447,833			
ECL adjustment of AR-VF for 2025	(8,962,668)				8,962,668
Non-recognition of impairment loss-VF				261,238	261,238
DTA adjustment related to ECL adjustments	7,963,916		7,963,916		
Total (Over) Under	(23,842,469)	22,843,717	7,963,916	261,328	9,223,906

- 1.13 The noted deficiencies resulted in the overstatement of the RE account by P23.842 million, while the Gain on Reversal of Impairment, AFI, Income Tax Expense – Deferred (ITE-D) and Impairment Loss accounts were understated by P22.844 million, P9.224 million, P7.964 million and P261,238, respectively.

Inadequate disclosures for the prior period adjustments totaling P192.004 million

- 1.14 Review of the Notes to Financial Statements (FSs) disclosed that the PRA recognized total prior period adjustments amounting to P192.004 million in the RE account. However, no detailed disclosures were provided as to the nature, composition, and financial statement impact of the individual adjustments comprising the total amount, contrary to the above-cited provision.
- 1.15 The absence of an adequate breakdown and explanation prevents the determination of whether the adjustments other than those related to AFI and dividends declaration are free from misstatement, which may affect the overall reliability of the financial statements.

Dividend declaration in CY 2025 was incorrectly accounted for as a prior period adjustment rather than as a current year transaction

- 1.16 Audit disclosed that dividends pertaining to CY 2024, amounting to P294.960 million, were declared and paid in May 2025. The FMD recorded the transaction as part of CY 2025 entries and simultaneously treated the same as a prior period adjustment affecting the beginning balance of the RE account and restating the Dividends Payable account. Thus, a total amount of P294.960 million was reflected as the restated balance of the Dividends Payable account as at December 31, 2024.
- 1.17 While the dividend declaration is correctly debited to the RE account in May 2025, the Dividends Payable account should not have been restated, as no obligation existed as at December 31, 2024. This accounting treatment of dividend declaration is inconsistent with Paragraphs 12 and 13 of PAS 10, which provides that:

12. If an entity declares dividends to holders of equity instruments after the reporting period, the entity shall not recognise those dividends as a liability at the end of the reporting period.

13. If dividends are declared after the reporting period but before the financial statements are authorized for issue, the dividends are not recognized as a liability at the end of the reporting period because no obligation exists at that time. Such dividends are disclosed in the notes in accordance with IAS 1 Presentation of Financial Statements.

- 1.18 The misclassification of dividend declaration arose from the erroneous assumption that dividends relating to prior year earnings constitute prior period adjustments. The FMD failed to consider that dividends do not represent corrections of prior period errors but are distributions of earnings recognized only upon declaration.
- 1.19 The noted errors were further aggravated by the absence of clear internal accounting policies and guidelines governing the use of equity accounts, particularly RE, and the lack of adequate review controls over adjustments affecting equity. No supervisory mechanism was in place to ensure that unusual or material entries charged to the RE account are compliant with the applicable accounting standards.
- 1.20 Consequently, this resulted in the distortion of the comparative presentation of liabilities, as well as changes in equity, thereby affecting the faithful representation and comparability of financial information.
- 1.21 **We recommended, and Management agreed, to direct the FMD to:**
- a. **Reclassify the reversal of AFI from RE to profit or loss as impairment gain, correct the erroneous adjustment by recording the correct impairment loss for VF, and recognize the corresponding DTA in accordance with the nature of underlying transaction and the requirements of PFRS 9 and PAS 21;**
 - b. **Thoroughly review and analyze all proposed adjustments and refer to the Chart of Accounts for GOCC to ensure the use of the appropriate accounts before recording transactions in the books;**
 - c. **Conduct a mandatory review at year-end of all entries posted to the RE account and correct any erroneous or inappropriate adjustments in accordance with applicable accounting standards;**
 - d. **Provide adequate disclosures in the Notes to FSs about the nature, amount, and financial statement impact of prior period error corrections, including disclosures relating to dividends declared after the reporting period but before the authorization of the financial statements for issue; and**

- e. Ensure that dividends are recognized only upon declaration and accounted for in the period in which the declaration is made, in accordance with applicable accounting standards.
- 2. The faithful representation of the Restricted Funds invested in time deposits (TDs) totaling P22.168 billion could not be established due to discrepancies amounting to: (a) P462.338 million between the confirmed bank balances and the results of the inventory of Certificate of TDs; (b) P51.047 million between the general ledger balance and supporting schedules; and (c) P34.490 million between the balances per books and the confirmed bank balances. These discrepancies were attributable to the incomplete supporting documents and subsidiary ledgers, unadjusted long-outstanding reconciling items, heavy reliance on manual procedures, and deficiencies in internal controls, which is inconsistent with the requirements of Paragraph 15 of the Philippine Accounting Standard 1.

Furthermore, the interest earned from Visa Deposits of retiree members for the period CYs 2022 to 2025, totaling P710.123 million, was recognized as PRA's income despite the absence of a clear legal basis or a duly approved arrangement, resulting in potential misstatement of both income and liabilities accounts by the same amount, while the source and basis of computation of the interest income were not disclosed in the Notes to Financial Statements. These conditions are contrary to Paragraph 4.48 of the Conceptual Framework for Financial Reporting, and Paragraph 122 of PAS 1.

2.1 Paragraph 15 of PAS 1 states that:

Financial statements shall present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the Framework. The application of IFRSs, with additional disclosure when necessary, is presumed to result in the financial statements that achieve a fair presentation.

2.2 Paragraph QC26 of the Conceptual Framework for Financial Reporting (CFFR) provides that “Verifiability helps assure users that information faithfully represents the economic phenomenon it purports to represent. Verifiability means that different knowledgeable and independent observers could reach consensus, although not necessarily complete agreement, that a particular depiction is a faithful representation. Xxx.”

Substantial discrepancies in the balance of Restricted Funds – Time Deposits among the GL, Schedule of CTDs, CTD Inventory Report, and confirmed bank balances

2.3 Restricted Funds (RF) arising from Visa Deposits (VDs) are invested by the PRA in Certificates of Time Deposits (CTDs) maintained with the Development Bank of the Philippines (DBP). The FMD maintains a GL for these RFs under the Other

Non-Current Assets – Restricted Funds (ONCA – RF) VD account, as well as prepares a monthly schedule, whereas a CTD Inventory Report is accomplished by the operation/monitoring records of the Trust/DBP Unit - FMD. At year-end, the DBP provides a confirmation, as requested, to the Audit Team regarding the RFs' bank balance.

- 2.4 These records and reports are typically compared and analyzed to determine the correctness and reliability of the PRA's reported RF balances. Their alignment is critical because interest accruals, foreign exchange revaluations, renewals, maturities, and withdrawals are all derived from these balances. Any inconsistency among them directly affects other related accounts like income, receivable, and Trust Liability (TL) accounts.
- 2.5 Audit revealed that the CTD inventory reports are not sufficiently detailed to allow proper validation, as they lack essential information, including maturity values and transaction/instrument history. As a result, the placement, renewal, and pre-termination transactions during the year cannot be fully traced to determine whether all transactions were accurately recorded.
- 2.6 As at December 31, 2025, the GL balance of the ONCA – RF – VDs (Receiving) account amounted to US\$377.068 million or P22.168 billion. However, comparison with the submitted Schedule on DBP Outstanding VDs of Retirees revealed a discrepancy of US\$868,297 or P51.047 million.
- 2.7 Moreover, the Inventory of CTDs disclosed a total placement of US\$385.519 million or P22.665 billion, while the DBP bank confirmation reported a lower amount of P22.202 billion, hence resulted in a discrepancy of P462.338 million. Details are presented in Table 4.

Table 4 – Discrepancies between GL and CTD Schedule, and Confirmed Bank Balances and CTD Inventory Report

Particulars	Balances as at December 31, 2025	
	Dollar	Peso (P58.79)
Per General Ledger	377,067,961	22,167,825,415
Per Schedule	377,936,258	22,218,872,582
Discrepancy	(868,297)	(51,047,167)
Inventory Report of CTDs	385,518,858	22,664,653,647
DBP Bank Balances	377,654,625	22,202,315,408
Discrepancy	7,864,233	462,338,239

- 2.8 As shown in Table 4, the four independent records relating to the same RF balance, which are supposed to be reconciled and equal as at year-end, were not in agreement. The discrepancies among these records and reports demonstrate lapses in basic reconciliation controls over ONCA-RF held in trust by the PRA. Also, the material discrepancy of P462.338 million between the CTD Inventory and the bank-confirmed balance indicates that the report is not correctly maintained and cannot be relied on as evidence of the existence and valuation of the reported RF.

- 2.9 The reported balance per GL is likewise not reconciled with the confirmed bank balance, rendering a discrepancy of P34.490 million, due to unadjusted reconciling items (RIs), rather than the normal timing differences ordinarily encountered in regular bank reconciliation, as reflected in the submitted Bank Reconciliation Statements (BRS). Details are presented in Table 5.

Table 5 – Discrepancies between the GL and the Confirmed DBP Bank Balances

ONCA-RF (Receiving Account)	Balances as at December 31, 2025	
	Dollar	Peso
General Ledger	377,067,961	22,167,825,415
DBP Bank Balances	377,654,625	22,202,315,408
Reconciling Items	(586,664)	(34,489,993)

- 2.10 Moreover, the RIs consist predominantly of unrecorded and erroneous transactions, together with unidentified “book vs. bank transactions” which, by their nature, required investigation and correction in the period in which they were discovered. While fewer RIs are noted in CYs 2024 and 2025, the prior years’ discrepancies were merely carried forward without adjustment of the RIs. The summary of book reconciling items is presented in Table 6.

Table 6 – Summary of Book Reconciling Items

Book Reconciling Items (BRIs)	2012 to 2020	2021	2024	2025	Total
Unaccounted ‘Book vs Bank Transaction’	76.973	-	-	-	76.973
Erroneous debits/credits	-	(112.052)	(15.786)	(2.213)	(130.051)
Unrecorded Debits	191.233	1.176	22.417	0.088	214.914
Unrecorded Credits	(10.298)	-	(107.362)	(9.687)	(127.347)
Total CY 2025	257.908	(110.876)	(100.731)	(11.812)	34.489
CY 2024	253.763	(109.094)	(99.112)	-	45.557

**in millions*

- 2.11 The non-submission of supporting documents for several items, like foreign currency transactions and erroneous postings, made the RIs unverifiable and raised concerns about the correctness of the reported balances. Such longstanding and unsupported differences may indicate possible misstatements in the accounting records.
- 2.12 These lapses may be attributed to the lack of maintenance of separate records by different Units without regular alignment, including individual Subsidiary Ledgers (SL) for the details of retirees’ VDs and earned interest. The total balance of all SLs should corroborate the GL controlling account balance, whereas the Schedule reflects the year-end balances of all retirees’ SLs.
- 2.13 The discrepancies may also be attributed to the absence of a formal and consistently applied reconciliation process, as evidenced by the absence of prompt investigation, validation, and adjustment of RIs. For emphasis, the longer these RIs remain outstanding, the more difficult it becomes to determine their origin and validity, as the supporting documents and relevant records may no longer be available or complete.

- 2.14 Persistent discrepancies over the years may also be due to heavy reliance on manual procedures for the accounting, monitoring, and reconciliation processes for VDs and related accounts, as well as inadequate internal controls. There is also no structured planning for automation while continuing the use of outdated practices. These manual methods depend on individual diligence, increasing the risk of undetected errors, inconsistency in financial reporting, and weakening the audit trail.
- 2.15 The recording of placements and renewals, monitoring of deposits, computation and accrual of interest, and reconciliation of balances are largely performed using at least 10 Excel workbooks and manually maintained monitoring files, without system-enforced validation.
- 2.16 For CY 2025, the VDs transactions involved 1,640 placements/renewals, approximately 19,000 matured CTDs rolled over, 593 withdrawals/pre-terminations, and monthly interest computations for over 20,000 accounts of retirees, affecting approximately \$ 370 million or P20.500 billion, in TL/RF. Reconciliation is likewise prepared manually by the same unit, Trust/DBP - FMD, which records the transactions.
- 2.17 The CTD inventory is likewise manually maintained and does not follow a standardized format. Audit disclosed that the material variance between the CTD Inventory and the bank-confirmed balance was due to the practice of including in the CTD inventory list those already withdrawn/pre-terminated during the year. For CY 2025, it was determined that the terminated/withdrawn accounts in various months were not delisted as at year-end, which resulted in overstatement of recorded placements.
- 2.18 The critical control functions are not clearly segregated, and reconciliation activities are neither independently validated nor fully performed. Although systems such as Retiree Database Management Information System (RDBMIS) and Retiree Information Management System (RIMS) exist, they are underutilized and not fully integrated into the accounting process. Data required for reconciliation are not generated from these systems but re-encoded into spreadsheets by preparers, hence the duplication of manual handling.
- 2.19 Sound internal control requires that processes are supported by appropriate systems, with adequate segregation of duties, independent verification, and reliable audit trails to ensure accuracy and accountability.
- 2.20 As a result, these deficiencies cast doubt on the correctness of the balances of the ONCA-RF-VD-Receiving account totaling P22.168 billion and its related accounts, such as interest receivables and interest income, thereby affecting the fair presentation of the said accounts in the year-end financial statements.

*Improper Recognition and Non-Disclosure of
P710.123 million VD Interest Income*

- 2.21 Financial reporting standards require that income be recognized only when the entity has a valid and enforceable right to such earnings. Section 4 (7) of the Presidential Decree No. 1445 articulates that “*All laws and regulations applicable*

to financial transactions shall be faithfully adhered to.” Paragraph 4.48 of PAS 1 provides that:

The procedures normally adopted in practice for recognizing income, for example, the requirement that revenue should be earned, are applications of the recognition criteria in this Conceptual Framework. Such procedures are generally directed at restricting the recognition as income to those items that can be measured reliably and have a sufficient degree of certainty.

- 2.22 Paragraph 122 of PAS 1 articulates that “An entity shall disclose, along with its significant accounting policies or other notes, the judgments, apart from those involving estimations, that management has made in the process of applying the entity’s accounting policies and that have the most significant effects on the amounts recognized in the financial statements.”
- 2.23 Section 3, Rule VIII-A of the Implementing Rules and Regulations of Executive Order No. 1037 provides that the PRA is authorized only to negotiate and share in the bank’s service fee arising from earnings of the VDs of the retiree-members, subject to mutually agreed terms. Section 2 of the same IRR provides that interest earnings on retirees’ VDs accrue to the retiree and must be paid to them. Hence, the PRA earns Management Fees, based on agreed terms, from various accredited private banks selected by the retiree members as depository banks for their VDs. Additionally, the interest earned by their VDs was automatically credited to the retirees’ accounts.
- 2.24 The other retiree-members’ VDs were deposited in the DBP and held by the PRA in a fiduciary capacity. Similarly, interest is earned from the placement and rollovers of these VDs through TDs. As a general rule, earnings accrue to the beneficial owners of the funds unless a different arrangement is expressly authorized, formally approved by the governing body, and clearly documented and disclosed. In the PRA’s case, interest earned from these placements is first recorded in the books based on bank credit advice and TD maturities before being allocated either as Trust Liability – Interest on VDs or as PRA’s Interest Income.
- 2.25 The PRA’s practice of recording the substantial amount of VDs’ earned interest with the DBP as its purported share has aggregated to P710.123 million for the period CYs 2022 – 2025. Details are provided in Table 7.

Table 7 – PRA Interest Income from the VDs’ Earned Interest for CYs 2022 - 2025

Particulars	Amount
Interest earned on matured TDs (per CY 2025 monthly JEV adjustments)	P140,655,188
Accrual of Interest Income for CY 2025	168,686,567
Accrued interest on pre-terminated VDs	249,701
Interest Earned by the PRA from Retirees’ VDs as Reported Interest Income in CY 2025	309,591,456
Interest Earned by the PRA from Retirees’ VDs as Reported Interest Income in CY 2024	235,557,141
Interest Earned by the PRA from Retirees’ VDs as Reported Interest Income in CY 2023	129,680,561
Interest Earned by the PRA from Retirees’ VDs as Reported Interest Income in CY 2022	35,293,407
Total	P710,122,565

- 2.26 These recognitions were made despite the absence of a Board-approved interest-sharing agreement, formal policy basis, or disclosure to retiree members. These resulted in the overstatement of Interest Income and the corresponding understatement of the TL–Interest on VDs account, both by P710.123 million.
- 2.27 This matter had been previously brought to the attention of Management in the previous audits; however, PRA continued the same accounting treatment in CY 2025. In response to audit concerns, Management increased the retirees’ share of the interest in CY 2024 from 2.5 percent to 5 percent of the Interest Rate offered by the DBP, or of the total earned interest. This was merely supported by an internal memorandum issued by the FMD prescribing the computation and recording of interest.
- 2.28 The unilateral adjustment does not cure the lack of legal authority, transparency, and proper governance over funds held in trust. Furthermore, no formal disclosure to retiree members regarding the basis, computation, or authority for the said interest-sharing practice, except for the interest rate posted on the PRA Website, which does not reflect the actual DBP interest rate.
- 2.29 The Audit Team emphasized that the propriety of this allocation depends not on accounting preference but on the existence of a valid legal and governance basis authorizing PRA to recognize a share of such earnings. Absent such authority, the interest forms part of the liability due to retiree-members and should increase the TL balance rather than PRA income.
- 2.30 This erroneous practice resulted from reliance on an interpretation of existing regulations, Section 3, Rule VIII-A of EO No. 1037, without obtaining formal legal confirmation or Board approval, and the absence of a clearly defined policy governing the treatment of interest earnings. While the interest earned on retirees’ VDs placed with the DBP and held in trust by the PRA pertains to a different situation, the EO contains no provision authorizing the PRA to appropriate or recognize as income any portion of the interest earnings from the actual deposits of retirees, unless such arrangement is expressly agreed upon and duly approved by the PRA Board.
- 2.31 As a result, the correctness of the recognized income totaling P710.123 million is doubtful. Furthermore, the PRA is exposed to potential fiduciary and legal issues, particularly to retiree members whose funds are held in trust.
- 2.32 **We recommended that Management direct the FMD to:**
- a. **Standardize the CTD inventory report to reflect all essential information necessary for verification, and ensure its monthly reconciliation with the bank confirmations, and the GL, while all identified RIs must be investigated, documented, and resolved on time;**
 - b. **Strengthen internal controls by ensuring supervisory review of the reconciliation results, maintaining proper segregation of duties so that recording, reconciliation, and review functions are independently**

performed, and enhancing manual spreadsheets with appropriate validation and control features;

- c. **Capacitate personnel on the effective use of available systems and tools, ensuring accuracy, consistency, and accountability in financial recording and reconciliation processes;**
- d. **Establish and maintain complete SLs, supported by periodic monitoring and reporting mechanisms on the status of reconciliation activities, to ensure sustained oversight and the timely resolution of outstanding issues;**
- e. **Initiate the adoption of an automated or system-supported reconciliation process capable of performing transaction matching, generating exception reports, and maintaining reliable audit trails, while optimizing the functionality of the RDBMS and RIMS pending full automation;**
- f. **Prioritize obtaining a formal legal opinion and Board approval outlining the authority and basis for the income recognition of interest from retirees' VDs, including the determination of a fair and mutually agreed interest-sharing rate, in compliance with the applicable laws, rules, and accounting standards governing trust funds;**
- g. **Reassess the accounting treatment of interest earnings pending formal approval and adjust prior period financial records, where necessary, to correct misstatements due to recognition of interest income without proper legal authority; and**
- h. **Enhance disclosures in the Notes to FSs by presenting the source of interest earnings, the applicable interest rates for retiree members, the basis for determining the interest-sharing arrangement, and the computation of the respective shares of the retirees and PRA, to promote transparency and accountability, and informed financial reporting.**

2.33 Management commented the following:

- a. The FMD reconciled the reported discrepancy of US\$7.864 million between the Inventory of CTDs and bank balances/statements. Variances were attributed to: (a) withdrawn CTDs still reflected in the inventory; (b) matured CTDs not removed within the year; (c) omitted CTDs; and (d) amount differences in certain CTDs. Moving forward, the FMD shall perform monthly reconciliation of inventory records against bank statements.
- b. The FMD will continue capability enhancement through training on applicable accounting standards and accounting manuals, as well as on advanced Excel, database management, and visa deposit account administration.

- c. As regards the accountability structure, dedicated personnel have been assigned per partner bank and VD account per partner. Each is responsible for maintaining SLs and ensuring regular reconciliation with the GL, bank statements, and physical CTD inventory.
 - d. The FMD shall prepare and submit to Management the following monthly reports: a) BRSSs, b) CTD Inventory and Reconciliation, c) Reconciliation of RFs - VDs vs. TL – VD, and d) Reconciliation of RF - Interest vs. TL-Interest.
 - e. The automation of the VD Management System has been included in the proposed FY 2027 budget. FMD shall submit a proposed Policy on VDs under the SRRV Program for Management approval.
- 2.34 As a rejoinder, the Audit Team acknowledges the immediate reconciliation by the FMD of the noted discrepancy of \$7.864 million, as well as the planned actions and commitment of Management to implement the audit recommendations. The full implementation will be monitored during the CY 2026 audit.

3. The correctness of the balances of the Trust Liabilities – Visa Deposits and Trust Liabilities – Interest on Visa Deposits accounts, aggregating P22.927 billion as at year-end, could not be established due to: (a) long-standing unreconciled differences of P206.135 million between these liability accounts and their corresponding contra-asset accounts totaling P22.721 billion; and (b) absence of complete and reliable subsidiary records. These conditions impaired the verifiability and fair presentation of the accounts in the financial statements, contrary to Paragraph QC26 of the Conceptual Framework for Financial Reporting.

- 3.1 Verifiability is one of the qualitative characteristics that enhances the usefulness of financial information that is relevant and faithfully represented. Paragraph QC26 of CFFR provides the following:

Verifiability helps assure users that information faithfully represents the economic phenomenon it purports to represent. Verifiability means that different knowledgeable and independent observers could reach consensus, although not necessarily complete agreement, that a particular depiction is a faithful representation. Quantified information need not be a single point to be verifiable. A range of possible amounts and the related probabilities can also be verified.

- 3.2 VDs are funds paid and entrusted by retiree-members to the PRA as a requirement of its Special Resident Retiree's Visa (SRRV) Program. These funds are not owned by the PRA but are held in trust and placed primarily in TDs with the DBP to earn interest for the benefit of the retirees. As such, the PRA recognizes in its books the received VDs as Trust Liabilities (TL), with a corresponding increase in the assets, particularly ONCA-RF accounts. Throughout the retirees' PRA membership, the VDs earn interest income. When the retiree withdraws his membership, the PRA will return the VD, inclusive of the earned interest.

- 3.3 In all VD-related transactions between the retiree and the PRA involving TL, multiple interrelated asset accounts are also affected, like the ONCA-RF-VD Receiving, ONCA-RF-VD Disbursing, Investments in TDs, Interest Receivable – Retiree Share, and the related Cash in Bank accounts, due to their reciprocal nature. The total balances of these asset accounts must always equal the total balances of TL – VDs and TL – Interest on VDs accounts.
- 3.4 Review of the accounting record showed that the TL accounts do not reconcile with their corresponding contra-asset accounts, resulting in a net discrepancy of P206.135 million. Details are shown in Table 8.

Table 8 – Discrepancy between TL accounts and their contra-asset accounts

Particulars	Visa Deposits	Interest	Total
Trust liabilities			
Trust liabilities – Visa deposits	P22,672,988,531	P -	P22,672,988,531
Trust liabilities- Interest on VDs	-	253,742,281	253,742,281
Total Trust Liabilities	22,672,988,531	253,742,281	22,926,730,812
Less: Contra-asset accounts			
ONCA – RF-VDs - Receiving	22,167,825,415	-	22,167,825,415
ONCA – RF-VDs-Disbursing	192,424,328	-	192,424,328
ONCA - RF - Interest on VDs	-	116,516,764	116,516,764
Investments in TD - FC	-	235,160,000	235,160,000
ONCA-IR-VD-Retiree share	-	8,668,965	8,668,965
Cash in bank- Foreign currency, SA DBP	-	-	-
Total Contra-asset accounts	22,360,249,743	360,345,729	22,720,595,472
Discrepancy (net)	312,738,788	(106,603,448)	206,135,340

- 3.5 The net discrepancy consists of a P312.739 million excess in VDs and a P106.603 million deficiency in interest. Despite prior audit recommendations, this condition, though in varying amounts, has existed for several years. While certain movements in the discrepancy balances were noted in CY 2025, verification disclosed that these are incidental to regular transactions, indicating that no systematic reconciliation was done.
- 3.6 It was also noted that the incomplete SL for each retiree. As VDs represent individually attributable trust funds, the absence of detailed SL records hinders transaction tracing and verification of balances at source. Due to the unreconciled controlling accounts and the absence of supporting SLs, the reported balances totaling P22.673 billion are not substantiated.
- 3.7 The foregoing conditions developed over time due to the lack of sustained reconciliation efforts and clear accountability for maintaining these accounts. Likewise, the reassignment and turnover of personnel handling the accounts disrupted continuity, while reconciliation responsibilities were transferred without adequate transition or oversight. Although the preparation of SL was initiated, it was not completed due to insufficient dedicated resources and competing operational demands.
- 3.8 The Audit Team believed that the issue is no longer confined to timing differences or isolated errors but already reflects a structural weakness in the maintenance of accounting records. It also appears that the resolution of the noted deficiencies

has not been prioritized by the FMD despite its impact on the reliability of the affected accounts in the financial statements.

3.9 Due to the noted discrepancies of P206.135 million, coupled with the incomplete SLs, the fair presentation of the reported balances of the TL accounts totaling P22.927 billion could not be ascertained, contrary to Paragraph QC 26 of the CFFR.

3.10 Furthermore, given that these funds are held in trust for retiree-members, the inability to substantiate balances raises concerns not only on financial reporting but also on the adequacy of accountability over the funds entrusted to PRA.

3.11 We recommended, and Management agreed, to direct the FMD to:

- a. Reconcile regularly the Trust Liabilities – VDs and Interest on VDs accounts with the corresponding ONCA–Restricted Fund accounts and related records on a comprehensive basis, and subsequently, prepare and record the necessary adjustments for all identified RIs, supported by adequate documentation;**
- b. Complete, maintain, and institutionalize the regular preparation of detailed SLs for all retiree-members with VDs and related accounts to corroborate the GL balances of the TL and related RF accounts at any given point; and**
- c. Designate accountable personnel with clearly defined and continuing responsibility for the monitoring, reconciliation, maintenance, and reporting of TL accounts and related RFs to ensure the completeness and reliability of records and prevent disruptions arising from personnel turnover or reliance on temporary staffing arrangements.**

4. The correctness of the Cash in Bank (CIB) account, with a year-end balance of P296.516 million, could not be ascertained due to unreconciled differences and other reconciling items totaling P16.295 million between the balances per books and per bank records that remained unadjusted as at year-end. These deficiencies were caused by: (a) unadjusted long-standing reconciling items; (b) absence of subsidiary ledgers for each CIB account; (c) the delayed and/or non-preparation of Bank Reconciliation Statements, and (d) non-cancellation of various stale checks, resulting in the understatement of the CIB account by P9.098 million, thereby affecting the fair presentation of the CIB account balance in the financial statements, contrary to Paragraph 15 of the Philippine Accounting Standard 1.

4.1 Paragraph 15 of PAS 1 provides that *“Financial statements shall present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the Framework. Xxx”*

4.2 Chapter 21 of the Government Accounting Manual provides the objectives, methods, and other relevant concepts pertaining to bank reconciliation:

Sec. 4. Method of Bank Reconciliation. The monthly BRS shall be prepared by the Chief Accountant/designated staff for each of the bank accounts maintained by the agency using the Adjusted Balance Method. Xxx.

Sec. 5. Preparation. The Chief Accountant/designated staff shall within ten (10) days from receipt of the monthly Bank Statement (MBS) together with the paid checks, original copies of Debit Memoranda (DM)/Credit Memoranda (CM) from the GSB, reconcile the BS with the GL and prepare the BRS in four (4) copies.

Sec. 6. Recognition of Adjustments. The Chief Accountant/designated staff shall prepare a JEV to recognize all reconciling items that require adjustment and correction in the books of accounts.

- 4.3 As at December 31, 2025, the PRA's Cash and Cash Equivalents account balance amounted to P298.088 million, comprising P296.516 million in the CIB account, which includes four current accounts and three savings accounts, and P1.572 million in Cash on Hand.
- 4.4 Audit of the CIB account revealed a total discrepancy of P16.295 million between the year-end balances per books and per bank records, as presented in Table 9:

Table 9 - Summary of Differences between Balance per Books and Confirmed Bank Balances

Account Title	Balance per Books	Confirmed Bank Balances	Difference
CIB-Local Currency (LC), CA LBP Buendia	147,796,664	158,290,526	(10,493,862)
CIB-LC, CA LBP Cebu	14,095,727	13,550,815	544,912
CIB-LC, CA DBP Buendia	176,923	176,923	-
CIB-LC, CA PVB	13,710,000	13,710,000	-
CIB-Foreign Currency (FC), SA LBP	110,687,018	90,875,423	19,811,595
CIB-FC, SA LBP Cebu	6,484,895	3,499,491	2,985,404
CIB-FC, SA PVB	3,564,928	117,604	3,447,324
Total	296,516,155	280,220,782	16,295,373

- 4.5 Examination of the submitted Bank Reconciliation Statements (BRSs) disclosed the breakdown of the discrepancies, such as P7.737 million (net) book Reconciling Items (RIs); P3.070 million (net) bank RIs; and P5.488 million (net) for other reconciling items. Details are presented in Tables 10 and 11.

Table 10 – Summary of Book and Bank Reconciling Items

Book RIs	Amount	Bank RIs	Amount
Unrecorded Bank Debits	P(1,805,897)	Deposit in Transit	P14,805,343
Unrecorded Bank Credits	24	Outstanding Checks	(11,837,619)
Book Error	(5,381,973)	Unverified Bank Debits	101,918
PY Unreconciled Balances	(549,420)		
Total	P (7,737,266)	Total	P3,069,642

Table 11 – Summary of Other Reconciling Items

Bank Account	Particulars/Other Reconciling Items	Amount
CIB-Local Currency, CA LBP Buendia	Net effect of adjustments made in the GL related to Undistributed Deposits per JEV #202512142 and #202512143.	(1,652,898)
CIB-Foreign Currency, SA LBP Cebu	Discrepancy in the Unadjusted Balance used in BRS for December.	(388,219)
CIB-Foreign Currency, SA PVB	Discrepancy between the ending book balance and the confirmed bank balance.	(3,447,348)
Total		(5,488,465)

Unadjusted long-standing reconciling items

- 4.6 Audit disclosed that for CY 2025, the FMD was able to make the necessary adjustments for the undistributed deposits totaling P3.410 million. Analysis of accounting records revealed that only the amount of P1.653 million remained unverified as at year-end, hence unadjusted and included as one of the RIs.
- 4.7 Further analysis of the other RIs disclosed that a substantial portion of the balance has remained outstanding for extended periods. These include unrecorded bank debits, book errors, and prior year unreconciled balances, indicating prolonged delays in the verification and adjustment of the RIs, as presented in Table 12.

Table 12 – Summary of Outstanding Reconciling Items

	0–1 year	2–3 years	4–5 years	6–10 years	>10 years	Grand Total
Deposit In Transit	P14,805,343					P14,805,343
Outstanding Checks	(10,606,304)	(313,651)	(917,664)			(11,837,619)
Unverified Bank Debit	99,500			2,418		101,918
Bank Reconciling Item	4,298,539	(313,651)	(917,664)	2,418		3,069,642
Book Error	1,366,898	(1,693,680)	(4,926,078)	(129,113)		(5,381,973)
PY Unreconciled Balances				(662,443)	113,023	(549,420)
Unrecorded Bank Debits	(59,096)	(63,199)	(385,548)	(382,176)	(915,878)	(1,805,897)
Unrecorded Bank Credits	24					24
Book Reconciling Item	1,307,826	(1,756,879)	(5,311,626)	(1,173,732)	(802,855)	(7,737,266)
Grand Total	5,606,365	(2,070,530)	(6,229,290)	(1,171,314)	(802,855)	(4,667,624)

- 4.8 Many items remain unverified and unadjusted as at year-end. The persistence of book errors aging two to 10 years, with an aggregate amount of P7.737 million as reflected in the table above, indicates weak internal control and requires close monitoring of the reconciliation procedures. The book errors (excluding the already adjusted undistributed deposits) consist of various verification-related transactions totaling P5.382 million, with the largest balance pertaining to collections for verification amounting to P2.280 million and significant concentration of these items originated in CY 2021. In addition, bank debits and credits amounting to P1.806 million and P24, respectively, remained unrecorded.

Likewise, prior year unreconciled balances, with a net amount of P0.549 million, remained unadjusted for more than six years.

- 4.9 For other RIs, the amount of P3.447 million represents the difference among the book balance, confirmed bank balance, and adjusted balance in the BRS of the CIB – FC, maintained in Philippine Veterans Bank (PVB) – Buendia. These RIs could not be verified in the GL. Similarly, the RIs amounting to P388,219 pertain to the difference in the unadjusted balance used for the BRS of the CIB - FC account maintained in LBP – Cebu Branch, and cannot be likewise substantiated in the GL. The FMD has not provided any explanations for these discrepancies, although the account with the PVB was recently established and has recorded only a limited number of CY 2025 transactions.

Absence of subsidiary ledgers

- 4.10 Notably, the FMD has not established an SL for each CIB account. The SL's purpose extends beyond monitoring available funds and should be prepared to provide a detailed transaction trail for all entries in the GL. This is essential for effective monitoring, verification, and reconciliation of transactions. Had SL been established for each CIB account, the discrepancy of P3.835 million under the PVB and LBP bank accounts could have been avoided.

Delayed and/or non-preparation of BRSs

- 4.11 Moreover, the prompt monthly preparation of the required BRSs has not been observed by the FMD. In some instances, no reconciliations were made for an extended period, resulting in the accumulation of RIs that remain unverified and unadjusted. Details of the monthly BRS submitted to COA are presented in Table 13.

Table 13 – Details on Unsubmitted BRS

Account Title	Monthly BRSs Submitted	Total MBRS Submitted
CIB – Local Currency (LC), CA LBP Buendia	July to September and November to December	5
CIB - LC CA LBP Cebu	June to December	7
CIB - LC, CA DBP Buendia	March to December	10
CIB-LC, CA PVB	November to December	2
CIB- Foreign Currency (FC), SA LBP	July to September and November to December	5
CIB - FC, SA LBP Cebu	No monthly BRSs submitted	0
CIB-FC, SA PVB	November to December	2

- 4.12 As shown in Table 13, several BRSs for different CIB accounts remained unsubmitted. It was observed that the concerned FMD Accountants primarily focused on the preparation of BRSs for November to December 2025, or at the year-end. However, the preparation of the monthly BRS is not merely a compliance requirement, nor should significance be placed only on the year-end BRS. Each month is equally critical, as the preparation process entails thorough verification and validation, which is essential for supporting adjustments related to the identified RIs throughout the month.

- 4.13 Timely preparation of adjustments for verified RIs, especially those of substantial amounts, plays a vital role in ensuring the fair presentation of the CIB balance at year-end. The importance of monthly BRS preparation should be consistently observed and prioritized by the FMD Accountants, and not be regarded as merely an additional task. The non-preparation and submission of the BRSs has been a recurring issue over the years, despite drawing the attention of Management to this matter in the previous year's audit.
- 4.14 The FMD acknowledged the absence of significant progress in resolving the identified RIs, attributable to missing or insufficient documents, workload constraints, and the separation of personnel previously involved in the reconciliation process. However, these reasons have remained consistent over the years. The FMD could have developed strategies to tackle these ongoing issues, such as adequate monitoring and supervisory oversight in the preparation of monthly BRSs, being resourceful with the documentation for adjustments like tapping the Cashier's OR and deposit slip copies, close coordination with the bank personnel, and Officers, and proper turnover of reports and provision of orientation to the new staff member before granting clearance to the outgoing personnel.

Non-cancellation of various stale checks

- 4.15 Also noted is the non-cancellation of stale checks totaling P9.098 million, which were still included in the List of Outstanding Checks in the submitted BRS. Audit disclosed that agency practice requires the physical copy of the check as an attachment in the preparation of the Journal Entry Voucher (JEV) for cancellation. This practice is contrary to the provisions of Section 44 of GAM, which state that:

Sec. 44. Accounting for Cancelled Checks. Checks may be cancelled when they become stale, voided or spoiled. The depository bank considers a check stale, if it has been outstanding for over six months from date of issue or as prescribed.

A stale, voided or spoiled check shall be marked cancelled on its face and reported as follows:

- a. Voided, spoiled or unclaimed stale checks with the Cashier shall be reported as cancelled in the List of Unreleased Checks that will be attached to the RCI.*
 - b. New checks may be issued for the replacement of stale/spoiled checks in the hands of the payees or holders in due course, upon submission of the stale/spoiled checks to the Accounting Division/Unit. A certified copy of the previously paid DVs shall be attached to the request for replacement. A JEV shall be prepared to take up the cancellation. The replacement check shall be reported in the RCI.*
- 4.16 A stale check is not a valid obligation of the Cash balances because it has lost its negotiability. Hence, once stale, checks must be cancelled from the books of account to ensure that accurate cash obligations are presented in the financial

statements. The physical check should only be required for presentation for the replacement of the stale check in the payee's hands and not for its cancellation. Due to the non-cancellation/non-adjustment of stale checks, the CIB and Accounts Payable accounts were both understated in the amount of P9.098 million.

- 4.17 The accumulation of stale checks highlights a gap in the internal control and reconciliation process due to the lack of staff assigned to monitor check statuses. While the Chief Accountant stated that the agency's check custodian is responsible for this task, she was unaware of her duties because of insufficient training, leading to non-adjustment of stale checks.
- 4.18 In summary, the note deficiencies like long outstanding reconciling items, non-adjustment of stale checks totaling P9.098 million, delay submission of BRSs and other unresolved balances, affected the fair presentation of the CIB account with a year-end balance of P296.516 million in the financial statements.
- 4.19 **We recommended that Management direct the FMD to:**
- a. **Investigate, verify, and conduct a detailed review of the discrepancies in the unadjusted balances of the CIB-FC accounts with the LBP Cebu Branch and PVB Buendia Branch, and submit the results thereof to the Audit Team;**
 - b. **Establish and enforce a deadline for the monthly BRS preparation by the personnel concerned to ensure their timely completion; expedite the verification, documentation, and adjustment of book RIs; and coordinate regularly with the depository banks to facilitate the resolution of long outstanding RIs;**
 - c. **Establish and maintain SL for each bank account to support the CIB account in the GL, and ensure that all disbursements, deposits, and cancellations are promptly recorded and regularly reconciled; and**
 - d. **Adjust stale checks in the books to reflect valid obligations, and discontinue the practice of requiring the presentation of the physical check as a prerequisite for recording cancellations, except when a replacement check is requested, and establish a monitoring mechanism for outstanding checks to ensure their timely review and cancellation.**
- 4.20 **We likewise recommended that the FMD Division Chief exercise close supervision over the preparation of BRSs by conducting regular reviews, monitoring compliance with established guidelines, and ensuring timely verification and adjustment of RIs. In addition, clear turnover procedures should be established for BRS preparation and related reconciliation activities in cases of personnel transfer, reassignment, resignation, retirement, or separation from the service.**
- 4.21 Management commented the following:

- a. The FMD will designate personnel to investigate long-outstanding reconciling items, prepare adjusting journal entries for book errors and omissions, submit monthly reconciliation statements with complete supporting documents, starting in 2026, and regularly coordinate with depository banks to promptly resolve issues affecting bank reconciliations.
- b. Upon establishment of a fully functional Treasury Unit under the FMD, monitoring of stale-dated checks, proper voiding or cancellation procedures, prompt recording of cancelled payments, and timely submission to COA of the monthly list of cancelled or voided checks will be implemented.
- c. The Head of FMD will conduct monthly reviews of bank reconciliation status reports and reconciling items to ensure compliance with COA Circulars and existing accounting standards.
- d. The FMD shall maintain SL for each bank account to support GL balances and timely reconciliation.

4.22 As a rejoinder, the Audit Team appreciates Management's commitment to implement the audit recommendations. Management is encouraged to provide the Audit Team updates on the progress of the reconciliation and investigation of long-outstanding reconciling items, including the discrepancies between the GL and bank balances of CIB-FC accounts in the LBP Cebu Branch and the PVB Buendia Branch. The Audit Team will likewise monitor the submission of the monthly BRS and the implementation of the audit recommendations during the CY 2026 audit.

5. The correctness of the Accounts Receivable account with a net carrying amount of P196.038 million as at year-end could not be ascertained due to non-compliance with the Expected Credit Losses measurement requirements for impairment of financial assets under Paragraphs 5.5.17 and 5.5.18 of the Philippine Financial Reporting Standard 9.

5.1 PFRS 9 – Financial Instruments requires financial assets to be measured at amortized cost, including accounts receivable, to be assessed for impairment using the Expected Credit Loss (ECL) Model. ECL Model requires recognition of credit losses based on lifetime expected credit losses with significant credit risk using reasonable and supportable information and inclusion of forward-looking data. Paragraphs 5.5.17 and 5.5.18 of PFRS 9 state the following:

5.5.17 The entity shall measure ECL of a financial instrument in a way that reflects:

- a. An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcome;*
- b. The time value of money; and*
- c. Reasonable and supportable information that is available without undue cost of effort at the reporting date about past events, current conditions and forecast of future economic conditions.*

- 5.5.18 *When measuring expected credit losses, an entity need not necessarily identify every possible scenario. However, it shall consider the risk or probability that a credit loss occurs by reflecting the possibility that a credit loss occurs and the possibility that no credit loss occurs, even if the possibility of a credit loss occurring is very low.*
- 5.2 PFRS 9 likewise defines a past due as, *“a financial asset is considered past due when the counterparty fails to make a payment that was due under the contractual agreement.”*
- 5.3 As at December 31, 2025, the Accounts Receivable (AR) and Allowance for Impairment (AFI) accounts showed total balances of P368.700 million and P172.538 million, respectively, covering Annual PRA Fees (APF), Visitorial Fees (VF) and Harmonization Fees (HF), and Management Fees (MF). The year-end net realizable value/carrying amount of the AR amounted to P196.162 million. Details are provided in Table 14.

Table 14 – Schedule of the Carrying Amount of Accounts Receivable

Account	APF	MF	VF	HF	Total
AR	P229,223,150	P54,604,170	P77,633,154	P7,239,115	P368,699,589
AFI	(90,993,670)	(23,091,429)	(53,018,784)	(5,434,145)	(172,538,028)
Realizable Value	138,229,480	31,512,741	24,614,370	1,804,970	196,161,561

- 5.4 Meanwhile, review of the submitted Notes to Financial Statements (FSs) revealed that the impairment provided by the PRA for its AR is based on the ECL model, as follows:

The PRA has elected to measure loss allowances for receivables at an amount equal to lifetime ECLs. When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating the ECLs, the PRA considers reasonable and supportable information that is relevant and available without undue cost or effort. Xxx.

Furthermore, the PRA assumes that the credit risk on a financial asset has increased significantly if it is more than three years past due. It considers a financial asset to be in default when:

- *The borrower is unlikely to pay its credit obligations to the PRA in full, without recourse by the PRA to actions such as realizing security (if any is held); or*
- *The financial asset is more than three years past due.*

- 5.5 It was noted that these disclosures are inconsistent with the agency's actual practice, which relies solely on a three-year aging threshold and automatic 100 percent provisioning. The ARs outstanding for more than three years are provided

for at 100 percent allowance, while receivables of less than three years old are automatically treated as fully collectible, despite an indication of credit risk. The failure of the retirees to settle their accounts as these become due already implies credit risk.

- 5.6 Inquiry with the FMD disclosed that each retiree has been informed upon confirmation of his/her membership, and per agreement, that the payment of his/her APR Fee is due every anniversary date. Hence, non-payment of the membership fee after the anniversary date constitutes a past due account. However, this information is not clearly stated in the submitted Notes to FS.
- 5.7 As reflected in the Aging Report, receivables totaling P111.214 million were not provided with any AFI despite the existence of delinquent portions. Details are as presented in Table 15.

Table 15 – Summary of Accounts with Age of Below Three Years

Aging Bucket/ AR Account	Annual PRA Fee	MF	VF	HF	Total
0-90 Days	7,900,989	17,558	807,194	42,362	8,768,103
91-365 Days	24,141,912	148,406	2,706,270	129,438	27,126,026
Over 1 Year	32,042,902	1,674,621	3,701,655	624,463	38,043,641
Over 2 Years	32,042,902	457,507	3,987,110	789,114	37,276,633
TOTAL	P96,128,705	P2,298,092	P11,202,229	P1,585,377	P111,214,403

- 5.8 It was verified that the aforementioned accounts, which are all past due and lack AFI, pertain to the same PRA retirees/clients whose previous years' accounts were aged beyond three years, and already provided a 100 percent AFI. Following PFRS 9 requirements on ECL over lifetime, the ECL is computed upon assessment and indication of credit deterioration, as exhibited by the above-cited accounts, and other relevant factors. Thus, the PRA's practice of automatic 100 percent provisioning for three years' past due accounts is inconsistent with the ECL method requisites.
- 5.9 It is important to note that the FMD's non-application of the proper measurement or calculation of the provision for impairment loss may not be sufficiently addressed solely through disclosure in the Notes to FS stating compliance with the required method.
- 5.10 Further verification revealed that the FMD continues to implement the aforementioned accounting practice of computation for the impairment provision due to the absence of an established, PFRS-compliant policy for the recognition and measurement of ECL. Management appears to rely on a rudimentary addition approach, without fully incorporating key elements such as credit risk indicators, forward-looking information, and contractual due dates in the impairment assessment.
- 5.11 This significant gap has been brought to the attention of Management, particularly to the FMD, with a recommendation for the immediate establishment of an impairment provision policy following PFRS 9. However, this initiative has not yet commenced as the FMD personnel cited the unavailability of historical subsidiary records, billing statements, and detailed AR schedules.

- 5.12 The Audit Team emphasized that the aging report of receivables from previous years can serve as a valuable starting point for analyzing historical data for CYs 2024, 2023, 2022, and 2021. In past audits, the FMD has likewise reported on the process of sending billing statements to various clients. The results of these efforts should have been documented and can be used to develop the ECL methodology. Moreover, PFRS 9 does not require perfect records, but rather the use of reasonable and supportable information available without undue cost or effort, including observable delinquency patterns, collection experience, and contractual billing terms. Thus, limitations in records do not relieve Management of the obligation to assess impairment based on credit risk and past due status.
- 5.13 Additionally, the Audit Team conducted an initial review of the Accounting Manual prepared by a consultant hired by the PRA. It was noted, though, that there was no drafted policy regarding impairment provisions included within the document. The inclusion of such a policy would have been beneficial, as the consultant could have offered guidance that could serve as a significant foundation for the establishment of a sound policy for setting up impairment losses.
- 5.14 Consequently, the correctness of the valuation of the AR account with a net carrying amount of P196.038 million as at year-end cannot be ascertained, which affected the fair presentation of the said account in the financial statements.
- 5.15 We recommended that Management direct the FMD to:**
- a. Prioritize the development and implementation of a comprehensive policy on the recognition and measurement of ECL compliant with the requirements of PFRS 9, and align existing practices with the approved policy;**
 - b. Create a Committee to oversee the development and implementation of the ECL policy, establish a definitive timeline for its completion, and provide appropriate training to enhance the competency of concerned FMD personnel in the application of ECL requirements;**
 - c. Clearly define the point at which receivables are considered past due based on contractual due dates, ensure its consistent application across all types of receivables, and integrate the same into the ECL policy;**
 - d. Ensure that the disclosures in the Notes to FSs are consistent with the requirements of the applicable accounting standards and the actual ECL methodology adopted and applied; and**
 - e. Consider the inclusion of the approved ECL methodology in the crafting of the Accounting Manual to institutionalize its consistent application and ensure compliance with PFRS 9.**
- 5.16 Management provided the following comments:
- a. The FMD will engage the services of a consultant to provide technical expertise and guidance in designing the ECL methodology, models, and

policy framework. The FMD will also seek the service of a consultant to assess the PRA's current risk assessment process, design the ECL calculation model, and help to draft the policy manual compliant with PFRS 9.

- b. The FMD will request the issuance of an office order creating an ECL Committee to collaborate with the consultant to define parameters and assumptions, review and validate historical data required for calculations, approve the final policy for management endorsement and monitor implementation and ensure ongoing compliance.
- c. As to the accounting errors identified, the FMD has already effected the necessary adjustments to correct the balance of the AFI – VF.
- d. The Finance Staff and the ECL Committee will attend training to gain a comprehensive understanding of PFRS 9 principles and ECL concepts. It will also cover procedures for identifying significant increases in credit risk, as well as the practical applications of the ECL model and reporting requirements.

5.17 As a rejoinder, the Audit Team appreciates Management's commitment to implementing the audit recommendations. The FMD is encouraged to consider/incorporate the COA audit observations and recommendations in the development of the ECL policy to effectively address the deficiencies identified during the audit. Additionally, FMD is advised to exercise prudence in the formulation of the Terms of Reference for any consultancy engagement, to ensure that the scope of work, deliverables, and expected outputs are clearly defined and that the engagement achieves its intended objectives in the most economical and cost-effective manner. The Audit Team will monitor the implementation of the audit recommendations and the progress of the ECL policy development during the CY 2026 audit.

6. **The balances of the Lease Payable (LP) and Right-of-Use (ROU) Assets accounts amounting to P111.188 million and P114.328 million, respectively, are not fairly presented in the financial statements due to the doubtful recognition of LP and ROU assets totaling P103.254 million. The lease terms used in measuring these balances for two lease renewals could not be reliably established because the renewals were not supported by duly executed lease contracts, contrary to Section 2.30 of the Conceptual Framework for Financial Reporting and Appendix B34 of the Philippine Financial Reporting Standard (PFRS) 16.**

Furthermore, the LP account was understated by P0.567 million, while the ROU Asset and Prepaid Rent accounts were overstated by P0.967 million and P1.500 million, respectively. These misstatements, together with the resulting inaccuracies in other related accounts, arose from errors in the measurement, recording, and depreciation computation for one lease contract, which is inconsistent with Paragraphs 23, 24, and 26 of PFRS 16.

- 6.1 Section 2.30 of the CPFR states that:

Verifiability helps assure users that information faithfully represents the economic phenomena it purports to represent. Verifiability means that different knowledgeable and independent observers could reach consensus, although not necessarily complete agreement, that a particular depiction is a faithful representation. Quantified information need not be a single point estimate to be verifiable. A range of possible amounts and the related probabilities can also be verified.

- 6.2 Further, Item B34 of the Appendix B of PFRS 16 - Leases provides that: *“In determining the lease term and assessing the length of the non-cancellable period of a lease, an entity shall apply the definition of a contract and determine the period for which the contract is enforceable. A lease is no longer enforceable when the lessee and the lessor each has the right to terminate the lease without permission from the other party, with no more than an insignificant penalty.”* Whereas, the Standard defines a Contract as, *“An agreement between two or more parties that creates enforceable rights and obligations.”*
- 6.3 The PRA, as a lessee, initially recorded the Lease Payable (LP) and the corresponding Right-of-Use (ROU) asset in its books for all leases with a term of more than 12 months, except where the underlying asset was of low value, and periodically recognized the related depreciation and interest expense. The LP and ROU assets are measured at the present value (PV) of lease payments discounted using the most recent available incremental borrowing rate applicable to a security with a similar term at the commencement date. A Lease Amortization Table (LAT) is also prepared as a guide in the recording of lease transactions, such as lease payments and interest amortization.
- 6.4 In CY 2020, the PRA entered into lease agreements for the office spaces located in the BDO Towers Valero to serve as its Head Office. It executed separate Lease Contracts (LC) for five years covering Condominium Units 29 A and D, inclusive of 10 parking spaces, with the Lessor B, and Condominium Unit 29 C, inclusive of four parking spaces, with the Lessor A. Both LCs were renewable and had expired on December 31, 2024, and February 28, 2025, respectively. Hence, in CY 2025, the PRA intended to renew the LCs with them.

Lease term cannot be reliably established because the renewals were not supported by duly executed LCs, hence the lease liability and ROU asset measurement become uncertain

- 6.5 Review of the PRA's lease portfolio showed that the LP and ROU asset accounts' carrying amounts, specifically, were based on the lease terms with Lessor A and Lessor B. However, audit disclosed that the subject lease terms are unverifiable and lack a credible basis for recognition, as these valuations were not substantiated by enforceable agreements.
- 6.6 The PRA was unable to secure the duly executed LCs for the renewal of these contracts. Hence, the FMD used alternative bases in measuring the LP and ROU assets. For Lessor A, the lease terms and payments were based on a proposed

contract, while for Lessor B, the lease terms were based on the expired contract with a five percent escalation applied. It computed the value of the LP and ROU assets for Lessor A and Lessor B, amounting to P25.700 million and P77.554 million, respectively, or a total of P103.254 million. Consequently, the FMD recorded the interest amortization on the LP, resulting in the accrual of interest expense of P5.651 million and depreciation expense of P22.650 million for CY 2025.

- 6.7 Under PFRS 16, the lease liability measurement is based on the PV of lease payments specified in an enforceable lease contract. The lease term, which determines the number and timing of lease payments, must therefore be derived from the non-cancellable period of an enforceable agreement, including extension or termination options that the lessee is reasonably certain to exercise. In the absence of an enforceable contract, the lease term cannot be reliably established, and consequently, the measurement of the lease liability and ROU asset becomes uncertain.
- 6.8 The determination of the lease term, which directly affects the measurement of the lease liability and ROU asset, must be based on an enforceable agreement establishing the rights and obligations of the lessee and the lessor.
- 6.9 While a signed contract is not the sole means by which a contract may be proven, clear evidence of mutual agreement between the parties must nevertheless exist. Under Article 1356 of the Civil Code of the Philippines, contracts are binding in whatever form they may have been entered into, provided that the essential elements of consent, object, and cause are present. However, in PRA's case, the available documents indicate that the essential terms of the lease, particularly the lease term, were not yet mutually agreed upon.
- 6.10 Lessor A submitted a proposed LC with a five-year lease term, which is inconsistent with the three-year renewal term specified in the approved Terms of Reference (TOR) awarded contract during the procurement process. This discrepancy indicates that the parties had not yet reached a meeting of the minds regarding a fundamental contract term. Since the lease term directly determines the number of lease payments (LePay) and the PV of the lease liability, the absence of mutual agreement.
- 6.11 Meanwhile, the FMD used the expired contract with a lease term of five years and 5 percent escalation for Lessor B, as the basis for measurement, despite the TOR from the Administrative Support Division (ASD) specifying only a three-year renewal period. However, it was informed that even after the TOR of three years, the lessor had neither provided a quotation nor confirmed acceptance of the proposed renewal terms. Also, no contract has been awarded, which is inconsistent with the agency's practice for leases.
- 6.12 In the absence of confirmation, the lessor retains the legal right to decline renewal or propose different lease terms, thereby negating the FMD's assumption that PRA had a legally enforceable right to continue occupying the premises under the assumed lease term.

- 6.13 The ASD asserted that repeated follow-ups were made with the lessors. However, verification disclosed that, with respect to Lessor A, the ASD communicated through emails, and the lessor's representative expressed their commitment, but no concrete actions were taken. As for Lessor B, an email was sent to Lessor B after April 2025, while the succeeding correspondence was only made in November 2025. Furthermore, the FMD was unable to coordinate with the ASD regarding the proposed lease terms of Lessor B. Notably, the accomplished Purchase Request prepared by the ASD indicated a proposed lease term of only three years.
- 6.14 While coordination with the Lessors was undertaken, the efforts were inadequate and managed exclusively at the personnel level despite the prolonged delay in securing the contracts. This should have been escalated to the appropriate officials or Department Heads and the Agency Head to expedite a timely resolution, given its significance.
- 6.15 Additionally, formal letters and requests for meetings with the involved parties, instead of mere emails, could have been pursued to address any issues arising from the inaction of the Lessors. Furthermore, the Legal Unit (LU) should have ensured that the LCs with the Lessors were properly executed and signed at the commencement of the agreement to prevent any further delays.
- 6.16 Due to the absence of duly executed LCs, the lease terms used by the FMD in measuring the LP and ROU assets amounting to P103.254 million were based on assumptions derived from proposed and expired agreements rather than legally enforceable contracts. Accordingly, the recognition of LP and ROU assets based on unconfirmed and unsupported lease terms does not satisfy the enforceability requirement under PFRS 16 and undermines the verifiability and faithful representation of the related financial statement account balances.
- 6.17 The PRA's recorded lease liabilities remained high as at year-end due to a lack of lease payments for the two leased premises. The FMD informed that no payments were made because no Statements of Account (SOAs) had been issued by Lessors A and B, despite repeated requests. The ongoing non-payment may indicate poor coordination with lessors and could lead to reconciliation issues, potential lump-sum billings, or possible disputes if not resolved promptly.

Misstatements in Lease Liability, ROU Asset, and Prepaid Rent accounts due to errors in measurement, recording, and depreciation computation

- 6.18 Paragraph 26 of PFRS 16 provides the initial measurement of the lease liability:

At the commencement date, a lessee shall measure the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.

- 6.19 Paragraphs 23 and 24 of the same accounting standards provide the initial measurement of the ROU asset, to wit:

23. At the commencement date, a lessee shall measure the right-of-use asset at cost.

24. The cost of the right-of-use asset shall comprise:

(a) the amount of the initial measurement of the lease liability, as described in paragraph 26;

(b) any lease payments made at or before the commencement date, less any lease incentives received.

- 6.20 Meanwhile, Section 6.3 of COA Circular No. 2021-009 dated October 1, 2021, provides the Philippine Application Guidance for Leases in relation to PFRS 16, particularly on depreciation under the cost model, as follows:

For uniform accounting treatment on the depreciation of the right-of-use assets and considering PAGs 3 and 4 of IPSAS 17–Property, Plant and Equipment, if the GC classified as CPSE uses the cost model as its accounting policy, depreciation shall be for one month if the underlying asset is available for use on or before the 15th of the month. However, if the underlying asset is available for use after the 15th of the month, depreciation shall be for the succeeding month. The depreciation method to be used shall be the straight line method unless another method is more appropriate for GC's operation.

- 6.21 Review of records showed that in CY 2025, the PRA has a new lease agreement with Lessor C for additional office space located on the 24th floor of BDO Towers. The lease term commenced on May 21, 2025, and will end on May 20, 2027, or equivalent to 24 lease payments, with two months of lease-free coverage covering April to May 2025.
- 6.22 Further review revealed that the PRA paid advance rentals equivalent to three-month lease rentals totaling P1.500 million, to be applied at the last month of each lease period. Inquiry disclosed that this should first be applied to the June 2025 rental, representing the first billable month after the rent-free period. The remaining advance rent shall be applied in accordance with the contract terms in May 2026 and May 2027.
- 6.23 As required, the lease liability/payable should be measured at the PV of the unsettled LePay at the commencement date, discounted using either the lease interest rate implicit or the lessee's incremental borrowing rate.
- 6.24 Audit disclosed that the lease liability for the new Lessor was measured by the FMD using the PV of 23 months of LePay, inclusive of advance payments. This resulted in a recorded LP and ROU asset of P11.073 million and an interest expense of P360,000. Additionally, the advance payments were recorded initially

in the books under the rent expense account and subsequently adjusted to the Prepaid Rent account on November 28, 2025.

- 6.25 However, as a general principle, the advance payment should not be included in the computation of the PV of LePay, as it was already paid at the initial recognition date. Using the remaining 21 unpaid lease payments, the lease liability's PV and interest expense for CY 2025 should have been P10.141 million and P325,450, respectively.
- 6.26 This resulted in the overstatement of the LP account by P0.932 million (P11.073 million – P10.141 million), and interest expense recognized through its amortization by P35,072 (P3.139 million – P3.174 million), or a total overstatement of P0.967 million (P0.932 million + P35,077) for the LP balance as at year-end.
- 6.27 Meanwhile, the ROU asset cost comprises the initial measurement of the lease liability plus any LePay made at or before the commencement date, less any lease incentives received. Thus, the advance payments of P1.500 million have to be added to the computed lease liability of P10.141 million to arrive at the ROU asset cost of P11.641 million.
- 6.28 However, only the initial measurement of the LePay was recognized in the books as ROU asset cost, while the advance payments were recorded under the Rent Expense account, and subsequently adjusted to the Prepaid Account. As a result, the ROU asset account was understated by P0.567 million (P11.641 million - P11.073 million) while the Prepaid Rent account was overstated by P1.500 million.
- 6.29 Moreover, audit revealed that FMD paid the monthly lease rental to Lessor C for June 2025, despite the applicability of the advance payment for the said period, hence, an overpayment of the lease rental as at year-end.
- 6.30 These lapses were due to the confusion of the rent-free period from March 21 to May 20, 2025, wherein the FMD's LAT computation showed that the last payment would be in April 2027, rather than in May 2027. The FMD also overlooked the exclusion of advance payments from the ROU asset cost computation and their inclusion in the PV computation of the lease payments for the LP. Further, the FMD informed that the provisions on the advance payment application were unclear, and the ASD requested the lease payment processing for June 2025 which resulted in the overpayment. Thus, this may suggest lack of LC's proper review during the payment processing.
- 6.31 Meanwhile, analysis of the Accumulated Depreciation (AD) – ROU Asset account revealed that the depreciation expense (DE) of P3.691 million for CY 2025 for the new lease was computed over a 24-month lease term. However, it was informed that the leased premises' availability to PRA started on March 21, 2025, which is at the start of the rent-free term.
- 6.32 The PRA should have computed the depreciation over the correct estimated useful life of 26 months, covering the rent-free period using the straight-line method, which commenced in April 2025 up to the last month of the lease in May 2027. Also, the error in the ROU asset measurement, as discussed above, further resulted in the erroneous computation of monthly depreciation. Therefore,

the depreciation expense should have been P4.029 million instead of P3.691 million, resulting in an understatement of P338,386, with an understatement in the Accumulated DE by the same amount.

- 6.33 Given the above-cited deficiencies, these resulted in the misstatements of several accounts as summarized in Table 16.

Table 16 – Summary of Over/(Under) Statements of Affected Accounts

Audit Findings/ Affected Accounts	Erroneous measurement of the lease liability	Error in the computation of depreciation	Erroneous recording of rental expense	Total over/(under) misstatements
ROU Asset	P (567,438)	P -	P -	P (567,438)
Lease Payable	967,438	-	-	967,438
Interest Expense	35,073	-	-	35,073
Prepaid Rent	-	-	1,499,803	1,499,803
DE	-	(338,386)	-	(338,386)
Accumulated DE	-	(338,386)	-	(338,386)

- 6.34 In summary, there was an overstatement of the LP, Interest Expense, and Prepaid Rent accounts by P0.967 million, P35,073, and P1.500 million, respectively, and an understatement of the ROU asset by P0.567 million. Moreover, the DE and Accumulated DE – ROU asset accounts were both understated by P338,386.

6.35 We recommended that Management:

- a. **Direct the ASD, PMD, and Legal Unit to:**
 - i. **Evaluate the causes of delays and expedite the completion and execution of the LCs with the concerned lessors. Thereafter, submit to COA copies of the duly signed LCs;**
 - ii. **Closely coordinate with the lessors to ensure the timely issuance of billing statements and with the FMD to facilitate the prompt payment of lease obligations, thereby preventing the accumulation of unpaid liabilities and minimizing the risk of disputes or lump-sum billings; and**
 - iii. **Establish a monitoring mechanism that requires proactive follow-ups and timely escalation of unresolved matters to Management to prevent unnecessary delays in contract execution and related activities, and to ensure that formal written communications are undertaken instead of relying solely on email correspondence; and**
- b. **Direct the FMD to: (i) effect the necessary adjustments to correct the misstatements; (ii) thoroughly review the recording of lease-related transactions like lease liability measurement, ROU assets recognition, advance rentals treatment, depreciation, and contract provisions; (iii) remeasure the LP and ROU Assets upon execution of final lease contracts and effect the necessary adjustments; and (iv) regularly reconcile recorded lease liabilities with the billings from lessors and the ASD for proper application and recording of lease payments.**

- 6.36 Management commented that the FMD had already effected the necessary adjustments. It will likewise undertake a comprehensive review and evaluation of our lease liability measurement processes to prevent recurring errors, as well as remeasure the recognized LP and ROU Assets upon execution of the final LC with BDO and MBTC, with the necessary adjustments. Reconciliation with the lessor and coordination with the ASD regarding the billings and proper application of lease payments will be undertaken.
- 6.37 As a rejoinder, the Audit Team will evaluate the submitted JEVs as well as monitor the implementation of the recommendations in the CY 2026 audit. However, no formal comments were received on the LC completion. Accordingly, the Audit Team reiterates its recommendation that the Legal Unit and ASD expedite the coordination with the Lessors to ensure the immediate execution of LCs.

7. The correctness of the balances of Property, Plant and Equipment (PPE) - Machinery and Equipment, Furniture and Fixtures, Motor Vehicles, and other PPE items, with an aggregate carrying amount of P40.653 million as at year-end, could not be established due to significant discrepancies between the report on physical count of PPE (RPCPPE) and the books amounting to P26.517 million, caused by: (a) missing or non-existent items totaling P11.984 million; (b) erroneous recording of Subscription Expense amounting to P2.983 million and advance payments of P4.780 million for purchased vehicle; (c) unrecorded PPE items amounting to P2.407 million; and (d) lapses in the preparation of RPCPPE, thereby affecting the fair presentation of the PPE account in the financial statements, contrary to Paragraph 15 of the Philippine Accounting Standard 1.

- 7.1 Paragraph 15 of PAS 1 states that: *"Xxx. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and recognition criteria for assets, liabilities, income and expenses set out in the Conceptual Framework for Financial Reporting (Conceptual Framework). Xxx."*
- 7.2 Likewise, COA Circular No. 2020-006 mandates that all government agencies must:
 - a. Conduct physical inventory count of PPE at least once a year and prepare the corresponding Report on the Physical Count of PPE (RPCPPE), which shall be reconciled with the General Ledger (GL) and PPE lapsing schedule;
 - b. Address any discrepancies between records and physical counts; and
 - c. Properly classify and derecognize disposed of or missing assets based on supporting documentation, such as Inventory and Inspection Reports of Unserviceable Property (IIRUP) and Property Transfer Reports (PTR).
- 7.3 Additionally, COA Circular No. 2022-004 prescribes that PPE items with an individual cost below P50,000.00 should be classified as semi-expendable (SE) property rather than PPE.

- 7.4 Meanwhile, PRA constituted a new Inventory Committee (IC) through Office Order PRA-ANF-2025-07-201 dated July 31, 2025. The IC conducted a physical count of the above-cited PPE items (except BOS and ROU) starting in October until November 2025, and subsequently submitted the RPCPPE to the Audit Team.
- 7.5 Accounting records show that the PPE account had a total carrying amount of P135.696 million as at year-end, details of which are presented in Table 17.

Table 17- Property, Plant and Equipment account Carrying Value as at December 31, 2025

PPE Sub-accounts	Acquisition Cost	Accumulated Depreciation	Carrying Amount
Buildings and Other Structures (BOS)	55,464,982	48,409,156	7,055,826
Right-of-Use Assets (ROU)	114,327,761	26,340,880	87,986,881
Sub-total	169,792,743	74,750,036	95,042,707
Machinery and Equipment (M&E)	51,732,853	29,568,026	22,164,827
Furniture & Fixtures (F&F)	3,052,624	2,640,031	412,593
Motor Vehicle (MV)	23,167,662	12,356,538	10,811,124
Disaster Response and Rescue (DRRE)	927,978	501,108	426,870
Leased Assets Improvements (LAI)	18,556,823	11,914,999	6,641,824
Other PPE	1,956,689	1,761,020	195,669
Sub-total	99,394,629	58,741,722	40,652,907
Total	269,187,372	133,491,758	135,695,614

- 7.6 Review and comparison of the year-end balances per GL, Schedule, and the submitted RPCPPE disclosed that, except for DRRE, various PPE items had a total net discrepancy of P26.517 million, as summarized in Table 18.

Table 18 - Summary of Variance among balances per GL, Schedule, and RPCPPE

PPE Sub-accounts	Per GL/ Schedule	Per RPCPPE	Variance
Machinery and Equipment	51,732,853	37,023,811	14,709,042
Furniture & Fixtures	3,052,624	1,694,881	1,357,743
Motor Vehicles (MVs)	23,167,662	18,387,779	4,779,883
Disaster Response and Rescue	927,978	927,978	-
Leased Assets Improvements	18,556,823	13,069,299	5,487,524
Other PPE	1,956,689	1,774,189	182,500
Total	99,394,629	72,877,937	26,516,692

- 7.7 The discrepancies were caused by the noted errors in the RPCPPE preparation, missing items that have been brought to the attention of Management several times but remain unacted upon, erroneous recording in the books, and items found at the work-station but unrecorded in the books, among others. Details are discussed in the succeeding paragraphs.
- 7.8 A summary of the noted deficiencies during the comparison between the books and RPCPPE is presented in Table 19.

Table 19 – Summary of Difference between Balance per Books vs. RPCPPE

PPE Sub-Accounts	Per GL	Per RPCPPE	Variance	Breakdown of Variances					
				Not in Count	2025 Purchases	Should be SE	Not in Books	Error in recording	Others*
M&E	51,732,853	37,023,811	14,709,042	(10,771,722)	(8,788,921)	(2,500)	2,406,937	2,983,000	(535,836)
F&F	3,052,624	1,694,881	1,357,743	(1,211,946)	-	-	-	-	(145,797)
MV	23,167,662	18,387,779	4,779,883	-	-	-	-	(4,779,883)	-
Other PPE	1,956,689	1,774,189	182,500	-	-	-	-	-	(182,500)
LEA	18,556,823	13,069,299	5,487,524	-	(3,893,999)	(1,593,525)	-	-	-
Total	98,466,651	71,949,959	26,516,692	(11,983,668)	(12,682,920)	(1,596,025)	2,406,937	(1,796,883)	(864,133)

*Pertains to misclassification of items, unidentified discrepancy between GL and Schedule, double recording in RPCPPE, and difference in costing

Missing or non-existent items totaling P11.984 million

- 7.9 It was noted that various Information and Communications Technology Equipment (ICTE) items totaling P10.772 million, as recorded in the books/GL, were not accounted for in the RPCPPE. This means that these were not located or considered during the count. Of this amount, P1.129 million pertains to the capitalized cost of a telephone system that was not included in the physical count. Meanwhile, P3.317 million refers to items previously listed by the IC as missing during the CY 2022 physical count, and P6.326 million was identified by the Audit Team as missing or not reported in the RPCPPE during the examination of reports.
- 7.10 Majority of the items deemed missing and cannot be accounted for during the physical count include 71 laptops, 23 desktops, ID printers, biometric scanner, CCTV Surveillance System, computer servers, digital handy cam, digital copier, projector, and network printers, among others.
- 7.11 The furniture and fixtures totaling P1.212 million pertain to items recorded in the books but not included in the RPCPPE, including two reception tables already donated to Sambat, Tanauan, Batangas, while the remaining items could not be located due to damage or disassembly. Although this issue has been reported in previous years, the FMD and ASD have yet to retrieve the necessary documents to have them derecognized from the books.
- 7.12 The issue of the missing items was already brought to the attention of Management in the previous year's audit, but remains unresolved. Inquiry with the IC Chairperson confirmed that Management has taken no action. It is worth mentioning that the items identified as missing in CY 2022 continuously increased in the succeeding years up to the current year. As a result, the existence of the reported PPE items amounting to P10.854 million in the FSs is doubtful.
- 7.13 While Management has reconstituted a new IC, such action has not adequately addressed the matter, which may indicate weak internal controls and insufficient management action to locate assets and enforce accountability.

Erroneous recording of Subscription Expense amounting to P2.983 million and advance payments of P4.780 million for purchased vehicle

- 7.14 Audit disclosed that the RPCPPE reflected the existence of two file servers with a total cost of P6 million. However, only 50 percent thereof, or P2.983 million, was recorded under the PPE account, while the remaining P2.983 million was erroneously recognized as Subscription Expense (SubExp), resulting in an understatement of PPE and an overstatement of the SubExp account by the same amount. Moreover, the cost reflected in the RPCPPE appears to have been incorrectly taken up, resulting in a discrepancy of P34,000.
- 7.15 Likewise, a digital camera recorded in the books amounting to P52,500 was noted during the count to be of two units with an individual cost of P26,250, hence below the PPE capitalization threshold and therefore recognized as SE. On the other hand, an item costing P50,000 was reflected in the RPCPPE but not in the books, as it was recorded as SE. These resulted in a net understatement of SE and overstatement of PPE in the amount of P2,500.
- 7.16 For the motor vehicle, the variance of P4.780 million was due to the erroneous recognition of the full advance payment of P9.400 million as PPE-MV for the purchase of six vehicles. However, only three vehicles with a total cost of P4.620 million had been delivered as at year-end, despite the PRA's issuance of a check as full payment to its eWallet - Government Purchase Card. Thus, the undelivered MVs costing P4.780 million should have been recorded in the books under the Due from National Government Agencies (NGAs) account instead of under PPE-MV account.
- 7.17 For the LAI – Buildings, the item recorded as “Workstations,” procured on April 22, 2019, and amounting to P1.594 million, was treated as one lot in the books. However, according to the IC, the workstations procured in CY 2019 are reported in the Report on Physical Count of SE (RPCSE) in CY 2025 since their individual costs are below the PPE threshold of P50,000. Nevertheless, the reported workstations in the RPCSE totaled P1.671 million, or a difference of P77,000.
- 7.18 The FMD and the IC have yet to reconcile which items correspond to those reported in the RPCSE. Also, there was misclassification of items procured for the PRA Clinic, totaling P145,800, recorded as F&E instead of M&E.
- 7.19 Consequently, these erroneous recordings resulted in the misstatements of various affected accounts as at year-end.

Unrecorded PPE items amounting to P2.407 million

- 7.20 Several PPE items totaling P2.407 million were accounted for during the physical count but not recorded in the books/GL, and could not be identified due to a discrepancy of P1.054 million between the PPE lapsing schedule and the GL for ICTE items.
- 7.21 Moreover, the required “found at station” report was not prepared, and although reconciliation is claimed to be ongoing, no progress has been observed. While the Property Officer (PO) stated that items were not tagged due to a lack of awareness whether these items were recorded in the books. These unrecorded

PPE items totaling P2.407 million cast doubt on the accuracy of the recorded PPE as at year-end.

Lapses in the preparation of RPCPPE

- 7.22 Review of the submitted RPCPPE showed errors during its preparation, which had been one of the causes of the discrepancies between the recorded and the counted PPE items. These include new purchases of various items totaling P8.789 million, delivered at year-end but after the physical count. Section 38, Chapter 10 of the Government Accounting Manual (GAM) Volume 1, provides that all PPE purchases and deliveries at year-end be properly recorded and reflected in the RPCPPE to ensure the existence of items reported in the FSs.
- 7.23 One item costing P355,000 was recorded twice in the RPCPPE, while a difference in the classification of PPE accounts totaling P328,300 also resulted in discrepancies between the reports. Equipment in the clinic amounting to P145,800 was recorded as F&F in the books but classified as M&E in the RPCPPE. Discrepancies were also noted on air conditioning units totaling P182,500; a cost difference of P44,231 for other PPE items between RPCPPE and books, and an unreclassified item of P120,340 to the expense account.
- 7.24 Variance was noted on leased assets improvement-buildings as the recorded capitalizable improvements totaling P3.894 million were not included in the Report. These represent payments for the assessment of fit-out and preparation of production drawings for PRA's new office space and civil works, and for structured cabling for the DICT GovNet infrastructure in the MO.
- 7.25 Inquiry and analysis disclosed that the above-cited deficiencies were attributable to incorrect or inadequate inventory procedures, including earlier cut-off, incomplete reconciliation between records and results of physical count, and inadequate coordination between the Property Unit and FMD. Also, there was no Physical Inventory Plan (PIP), incomplete participation of IC members, and delays in resolving previously reported discrepancies.
- 7.26 According to the PO, a cut-off date of December 18, 2025, was set in the preparation of the RPCPPE; thus, deliveries beyond that date were excluded. However, the January 31 submission deadline to COA allows time for reconciliation; hence, accurate RPCPPE reporting is essential to confirm the existence of recorded assets.
- 7.27 Since the required "found at station" report was not prepared, the PO explained that while all items were reported during the count, these were not tagged as "found at station" because it was not known whether these were recorded in the books. Verification could have been made during the count, as FMD personnel were members of the IC; as such, reconciliation could have been made.
- 7.28 Likewise, it was noted during the physical count that only the PO performed the procedures out of the eight IC members, which highlights lack of commitment and coordination among the committee members in carrying out their responsibilities. The FMD personnel reasoned out their regular workload demands. While the designated IC members may have their regular tasks, a provision of COA Circular

No. 2020-006 provides that they may be temporarily relieved of their regular duties to allow them to focus on the inventory until its completion.

- 7.29 Given the absence of most of the IC members during the conduct of the physical count, the intended purpose of creating a Committee to perform reconciliation apart from the physical count, as well as to prepare reliable and complete reports, was not achieved.
- 7.30 As to the absence of a PIP for CY 2025 inventory, the IC Chairperson acknowledged this as an oversight. While the IC reconstitution OO defines the responsibilities of its members, and the OO No. PRA-2025-10-297 outlines the schedule and locations of inventory activities, the required PIP provides a comprehensive plan to guide the entire inventory process, from planning to completion and submission of the report to FMD and COA. The absence of PIP may have been the primary reason for the inadequacies of reports and reconciliations, and the incorrect and/or insufficient execution of procedures.
- 7.31 The above-cited deficiencies have caused misstatements on several accounts as presented in Table 20.

Table 20 – Summary of Misstatements

Accounts Affected	Error in the recording of SE	Error in the recording of the advance payment	Errors in recognizing PPE and SE
ICTE	P 2,983,000	P -	P -
Subscription Expense	(2,983,000)	-	-
MVs	-	(4,779,883)	-
Due from NGAS	-	4,779,883	-
SE – F&F	-	-	50,000
F&F	-	-	(50,000)
SE – Office Equipment	-	-	(52,500)
SE – M&E	-	-	52,500

- 7.32 Due to the noted deficiencies, the correctness of the balances of the accounts PPE - Machinery and Equipment, Furniture and Fixtures, Motor Vehicles, and other PPE items, with a total carrying amount of P40.653 million as at year-end, cannot be established, thereby affecting the fair presentation of the subject accounts in the FSs.
- 7.33 We recommended that Management:**
- Direct the FMD to effect the necessary adjustments to correct the noted misstatements, as well as reconcile its records with those of the ASD-PO based on the submitted RPCPPE; and**
 - Moving forward, require the IC to prepare a PIP as a mandatory requirement for the conduct of a physical count of PPE items to serve as a guide for the systematic execution and completion of inventory activities, and shall be submitted to COA, including the invitation to witness the physical count.**

7.34 In view of the unresolved and recurring deficiencies, we further recommended that Management:

- a. Direct the Information and Communications Technology Division (ICTD) to determine the whereabouts of the missing ICTE items, exert reasonable efforts to locate them, and prepare a status report thereon. Should the items remain unaccounted for, require the concerned personnel previously responsible for their custody, management, and oversight to explain and be held accountable, as warranted. A copy of the status report shall be furnished to the IC, PO, FMD and COA;**
- b. Instruct the IC and the ASD – PO to locate and reconcile all missing or unaccounted for furniture and fixtures, and other PPE items by referring to the corresponding Property Acknowledgement Report and other property records to identify the accountable personnel;**
- c. Require the PO to submit to the Agency Head a list of all missing PPE items for the issuance of demand letters to the concerned accountable officer or personnel, directing them to produce the property entrusted to their custody or explain its non-production;**
- d. Direct all concerned personnel to cooperate fully in the inventory, location, and reconciliation of missing ICTE and other PPE items. For any items that cannot be located or produced by the accountable person/unit/division, direct the PO to prepare a list and forward it to the FMD for the recording of receivables, in accordance with applicable accounting and auditing rules and regulations; and**
- e. Direct the PO to immediately prepare the list of PPE items found in the work stations, including related information, and transmit it formally to the FMD for reconciliation, recording, and updating of the property records.**

7.35 Management commented that the Acting PO and Accountant II of the FMD will coordinate to reconcile the discrepancies in the records of PPE. Once reconciliation is completed, the IC will schedule a recount of any unaccounted PPE. Regarding the missing PPE items, Management stated that some items on the list are already included in the submitted RPCSE, while for other items, Management explained that absence of a formal turnover of documents to the current PO made it difficult to identify the personnel accountable for the missing items.

7.36 As a rejoinder, the Audit Team acknowledges Management's commitment to reconcile PPE records with the results of physical count. However, of the 69 laptops recorded in bulk, only 46 were included in the submitted RPCSE, leaving 23 still unaccounted for. Other declared missing items likewise remain unlocated, like 23 desktops, printers, scanners, and other ICTE items. The ICTD did not submit its written explanation and actions taken to locate the missing assets. Accordingly, the Audit Team reiterates its recommendation for the ICTD to locate the missing ICTE, or otherwise assume accountability, given its prior responsibility for their management, custody, and oversight of such assets.

Lastly, while the submitted list also included donated items supported by Waste Materials Reports, no Deed of Donation was presented for audit. Hence, the Audit Team reiterates the recommendation for Management to retrieve and submit the corresponding Deed of Donation to substantiate the disposition of the assets.

Other Observations

Absence of the required Inventory and Inspection Report (IIRUP) for unserviceable Property PPE items costing P5.875 million with a carrying amount of P0.588 million, and delays in their disposal deprived PRA of storage space and potential recoverable value

- 7.37 Unserviceable properties refer to assets or properties that are beyond repair, have no further use, or are no longer capable of providing future economic benefits; hence, they are subject to disposal.
- 7.38 Section 6.3.1(h) of COA Circular No. 2020-006 provides that the Property Unit shall prepare an IIRUP using the format prescribed under the Accounting Manuals of the respective Sectors for all PPEs found to be unserviceable, obsolete, and/or no longer needed. Likewise, Item C 1.0 of COA-DBM Joint Circular No. 2024-01 provides that the Property Division/Section/Unit of the concerned government entities/ROs/FOs shall submit to the Disposal Committee (DC) the documents pertaining to properties for disposal, including, among others, the IIRUP.
- 7.39 In addition to ascertaining the existence and completeness of PPE items, the Inventory Committee is also tasked to determine the condition of all PPE owned by the government agency. Accordingly, in the RPCPPE, items are classified as being in good condition, unserviceable, for repair, or for disposal.
- 7.40 It was noted that 28 items under M&E account amounting to P5.875 million per FMD schedule were reported as unserviceable in the RPCPPE. These items were procured between 2008 and 2017 and are already fully depreciated. Their carrying value of P0.588 million represents the residual value equivalent to 10 percent of their cost.
- 7.41 However, it was noted that the corresponding IIRUP was not submitted to the DC, contrary to the aforementioned Circular. As required, the ASD - Property Unit is tasked to prepare the said report upon receipt of the RPCPPE and forward it to the DC for the conduct of the required inspection, appraisal, and disposal procedures.
- 7.42 Physical inspection further showed that the items stored in PRA's new office space occupy a significant area, and as a result, incur rental expenses; however, these items are not being utilized for operational purposes.
- 7.43 Inquiry disclosed that IIRUP preparation is pending due to incomplete details like acquisition cost and date, and property numbers. Also, the unserviceable items were only endorsed by the ICTD in October 2025, during the inventory activities,

which limited her ability to prepare the IIRUP. The PO had to verify each item, take photographs, and assign reference tags to facilitate identification during disposal, causing delays. She also reported that IIRUP-related activities were temporarily put on hold from January to February 2026 due to competing priorities, such as new laptops and printer deployments.

- 7.44 On March 9, 2026, the PO endorsed to the DC the list of unserviceable items for disposal in memorandum form. The prescribed IIRUP should have been prepared through coordination with the FMD, as pertinent information is available, such as the costs and their carrying values. The IIRUP is the required document for accounting for all government properties and serves as the basis for derecognizing them, subject to disposal.
 - 7.45 The continued storage of these items contributes to further deterioration and a decline in their potential resale value. Thus, the delayed disposal has deprived PRA of the use of the occupied space and the opportunity to realize the best recoverable value from its asset.
 - 7.46 It is emphasized that the proper and timely disposal of unserviceable items is necessary and prudent, as it not only frees up occupied space but also minimizes losses arising from the continued decline in value of such assets over time.
 - 7.47 **We recommended that Management direct the ASD to prepare and submit to the DC and COA the corresponding IIRUP for all unserviceable properties reported in the RPCPPE as at year-end, and to expedite their disposal through the appropriate mode of disposal to maximize any recoverable value that may be realized from such disposal.**
 - 7.48 Management commented that the ASD had already forwarded an initial list of unserviceable properties under the IIRUP to the DC and the COA and committed to submit the complete list on or before April 30, 2026.
 - 7.49 As a rejoinder, the Audit Team will monitor the submission of the duly accomplished and signed IIRUP, together with the required supporting documents, and the subsequent actions taken to facilitate the disposal of the unserviceable properties.
8. **The correctness of the Unearned Revenue account, with year-end balance of P664.594 million, could not be established due to: (a) unreconciled discrepancies amounting to P323.890 million between the General Ledger and supporting schedules; and (b) absence of supporting schedules for balances of P11.281 million, attributable to the non-maintenance of subsidiary ledgers and improper recording of collections, contrary to Paragraph QC26 of the Conceptual Framework for Financial Reporting.**
- 8.1 Paragraph 15 of PAS 1 – Presentation of Financial Statements provides that;

Financial statements shall present fairly the financial position, financial performance and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events and conditions in accordance with the definitions and

recognition criteria for assets, liabilities, income and expenses set out in the Framework. Xxx

- 8.2 Verifiability is one of the qualitative characteristics that enhances the usefulness of financial information that is relevant and faithfully represented. Paragraph QC26 of CFFR provides that:

Verifiability helps assure users that information faithfully represents the economic phenomenon it purports to represent. Verifiability means that different knowledgeable and independent observers could reach consensus, although not necessarily complete agreement, that a particular depiction is a faithful representation. Quantified information need not be a single point to be verifiable. A range of possible amounts and the related probabilities can also be verified.

- 8.3 Accounting records show that the Unearned Revenue (UR) account has a year-end balance of P664.594 million consisting of seven sub-accounts. Review disclosed that the said balance is supported only by a GL. No SLs were submitted to support and substantiate the GL balance for each sub-account, contrary to the above-cited requirement. A Schedule of the Retirees' UR balances was submitted in place of the SLs.
- 8.4 Sound accounting practice provides that the maintenance of an SL is required, as it shows the details for each control account maintained in the GL. At the end of each month, the totals of the SL balances must be reconciled with the corresponding GL controlling account until the year-end. The balances of the GL and the totals of the SL balances should always be equal at year-end. A Schedule may be prepared showing the year-end balance per client, but this must be sourced from the SL balance/s to be considered verifiable.
- 8.5 Review, however, showed a total discrepancy of P323.890 million between the GL balances of the UR accounts and their corresponding Schedules and a total of P11.281 million of unsupported balances. Details are presented in Table 21.

Table 21 – Discrepancy between GL and Schedule of Unearned Revenue

Account	Per GL	Per Schedule	Difference	%
Unearned Income (UI)-APF	P616,206,612	P303,493,670	P312,712,942	96.55
UR-Visitorial Fees	21,745,076	14,205,234	7,539,842	2.33
UR-Harmonization Fees	4,279,116	1,484,034	2,795,082	.86
UI- APF ED	11,082,618	10,240,616	842,002	.26
Total	653,313,422	329,423,554	323,889,868	100
Other Unearned	8,336,836	No Schedule		
UR-Retiree ID Fees	2,895,915	No Schedule		
UR – Accreditation Marketers	48,147	No Schedule		
Total	P11,280,898			

- 8.6 Notably, 96.55 percent of the total discrepancy originated from the UI – Annual PRA Fees (APF) account. Inquiry with the concerned FMD personnel revealed that the schedule pertains to the collection of advance payments from various

retirees for the APF, covering CYs 2023 to 2025. This schedule spans two to three years, less the necessary adjustments to recognize the earned revenue. Additionally, she informed that as at December 31, 2025, only the unearned advance payments from CY 2023 should have remained on the books for CYs 2025 to 2026. All advance payments recorded in CY 2022 and prior years should have been reclassified to the revenue account.

- 8.7 While the FMD is theoretically correct, the lack of SLs that would detail the control accounts in the GL and the submitted schedule fails to support this claim. Conversely, the Audit Team conducted a trend analysis of the account's increases and decreases from CYs 2023 to 2025. It was noted that the increase in CY 2023 (comparing credits to debits) totaled P197.214 million, while the increases were significantly lower in subsequent years: P31.472 million in CY 2024 and P8.869 million in CY 2025. Additionally, there was a decrease of P17.692 million in CY 2022. This analysis suggests that the UR recorded in previous years, particularly in CY 2023, may have remained unreclassified to the revenue account, thereby affecting the year-end balances of the UI-APF and Revenue accounts.
- 8.8 Moreover, it was also noted that sub-accounts Other Unearned, UR-Retiree ID Fees and UR-Accreditation Marketers were not supported by the corresponding schedules for CY 2024 and prior years. Notably, their year-end balances were the same in the previous years, which implies the absence of regular reconciliation and monitoring procedures. Had the proper reconciliation and monitoring procedures been made, these balances could have been recorded as revenue as at year-end.
- 8.9 The FMD initially records collections by crediting the Accounts Receivable (AR) account, regardless of whether a receivable has been previously recognized/set up, or whether the collections pertain to current, prior, or future periods. Subsequent reclassification is performed periodically to allocate amounts to Revenue, RE, or UR. This practice uses the AR as a clearing account, which obscures the audit trail, complicates reconciliation, and increases the likelihood of misstatements and unapplied balances.
- 8.10 The noted deficiencies are attributable to a combination of control, procedural, and system-related weaknesses. There is a lack of complete, properly maintained SLs for UR/UI accounts. In its absence, the FMD is unable to effectively monitor individual account balances, track collections, and ensure the proper application and recognition of transactions. This condition likewise contributed to the existence of unreconciled balances and apparent duplicate accounts, as there is no sufficient basis for validating and reconciling the recorded amounts.
- 8.11 It is aggravated by the lack of established and documented procedures/guidelines on the recording, monitoring, reconciliation, and reclassification of collections. The recording practices are applied inconsistently, which results in difficulty in tracing transactions, particularly those in prior periods. Also, the collecting officers are constrained to initially record transactions under AR and UR/UI accounts, without the capability to directly recognize the appropriate revenue accounts. In effect, subsequent manual reclassification is required, thereby increasing the risk of error, delay, and misstatement in the financial records.

- 8.12 Due to the foregoing deficiencies, the correctness of the balance of the UR/UI account in the amount of P664.594 million cannot be ascertained, which affected the fair presentation of the balance presented in the financial statements.
- 8.13 **We recommended, and Management agreed, to direct the FMD to:**
- a. **Conduct a comprehensive reconciliation of the GL balances with the supporting schedules to identify the causes of the discrepancies and prior years' unreconciled items, and thereafter, effect the necessary adjustments;**
 - b. **Establish and maintain complete SLs and detailed schedules for all UR accounts to ensure that individual balances are properly monitored, reconciled, and supported by underlying transactions; and**
 - c. **Improve the existing accounting practices of recording collections, including system configuration, and discontinue the use of AR as a clearing account, to ensure that collections are properly classified at the point of receipt as Revenue, UR, or reduction of AR, and that UR balances are timely reclassified to revenue, thereby preventing the accumulation of long-outstanding and unsupported amounts.**

B. NON-FINANCIAL

9. The reasonableness and effectiveness of PRA's advertising and sponsorship expenditures amounting to P78.742 million and P35.389 million, respectively, could not be established due to the absence of clearly defined and measurable success indicators and consolidated performance reporting, which resulted in fragmented monitoring and limited Management's ability to assess the performance of advertising and sponsorship activities, including their contribution to achievement of agency objectives. Consequently, the PRA was unable to adequately demonstrate whether these expenditures generated the intended outcomes and represented an efficient use of government resources, consistent with the principles of Results-Based Budget Management, Section 2 of Presidential Decree No. 1445, and Department of Budget and Management National Budget Circular No. 565.

Moreover, PRA has yet to establish a formally approved written policy outlining the criteria and procedures for the selection and approval of sponsorship activities. The absence of such a policy weakens transparency, fairness, and accountability in decision-making and increases the risk that sponsorship expenditures may not be sufficiently justified, cost-effective, or aligned with the agency's objectives.

- 9.1 Section 2 of PD No. 1445, which is the declared policy of the State, requires that *"all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government."*
- 9.2 The results-based budget management requires that funding decisions be anchored on the specific results the government intends to achieve in pursuit of its socioeconomic objectives. Appropriations are therefore linked to clearly defined outputs, with resources allocated according to the expected quantity, quality, and timeliness of deliverables, and supported by measurable performance targets and accountability for outcomes.
- 9.3 Additionally, the National Budget Circular (NBC) No. 565 provides that all government communication and advertising activities must fulfill a legitimate public purpose, be founded on a clear and measurable plan, and be supported by appropriate results-based monitoring and evaluation mechanisms to assess their impact and effectiveness.
- 9.4 These legal and regulatory frameworks emphasize the principles of efficiency, economy, and effectiveness in the use of public funds that are particularly critical to PRA in implementing its sponsorship and advertising programs aimed at promoting the Philippines as a premier retirement destination.

Absence of clearly defined and measurable success indicators and consolidated performance reporting

- 9.5 Review of records showed that PRA incurred total Advertising, Promotions, and Marketing (APM) expenses of P114.132 million in CY 2025, covering P78.742 million for ads and promotions across multiple platforms and P35.389 million for sponsorships. Sponsorship engagement comprised of P24.678 million for international events, such as exhibits, conferences, etc., and P10.711 million for local engagements.
- 9.6 Ad campaigns utilized a mix of print media, TV advertising, out-of-home advertising, and digital advertising. Meanwhile, sponsorship activities covered participation fees in the attendance to exhibits and events, interpreters, airfare, per diems, and allowances for agency personnel attending international and local events.
- 9.7 Notably, the Board-approved Marketing Plan (MP) provided the Key Performance Indicators (KPIs) to be used for the evaluation of these sponsorship activities and advertising placements. However, the said plan did not clearly define these KPIs nor specify the metrics, data sources, measurement tools, performance thresholds, and reporting structure needed to operationalize them. KPIs are essential for assessing advertising effectiveness, guiding resource allocation, improving cost efficiency, and supporting data-driven decision-making. The lack of clearly defined and measurable KPIs limits Management's ability to evaluate and compare the performance of advertising channels or placements.
- 9.8 As a result, the Marketing Department (MD) could not consistently measure, compare, and evaluate advertising performance across platforms as well as the effectiveness of sponsorship activities, as the indicators lacked clear parameters, application, measurement methods, and expected outputs to support evaluation and decision-making.
- 9.9 Interviews and monitoring reports showed that while tools and data sources (e.g., QR codes, survey forms, media analytics, and digital reports) were used, these were not consolidated into periodic or annual KPI-based performance reports across ad placements. Monitoring relied mainly on service provider submissions rather than integrated analysis, and several KPIs in the MP were not measured or reported, with no system linking advertising channels to actual enrolments.
- 9.10 Overall, the monitoring practices are activity-based rather than results-based indicators. Activity-based metrics, such as survey responses, impressions, clicks, and views, focus on the level of exposure or activity generated. In contrast, results-based metrics, such as increases in enrollees, leads generated, conversion rates, and improvements in awareness or recall, assess whether campaign objectives are achieved. The PRA's current practice largely relies on activity-based indicators without demonstrating actual outcomes, which may create the impression of successful performance despite limited actual impact.
- 9.11 Moreover, the Audit Team observed that the success indicators for the sponsorship activities in the approved MP were presented without clear definitions. As indicated in the board-approved MP, the success indicators are based on lead generation, conversion rate, and partnership and network growth. The plan lacked a comprehensive explanation of its parameters, application,

measurement methods, and the expected outputs that could demonstrate evaluation results for use in decision-making.

- 9.12 Further, review of records disclosed that sponsorship grants and attendance at international events were supported by a short Memorandum Request (MR) stating the objectives and background briefly. However, no consolidated performance report from past years, based on the formulated success indicators, was presented to support or justify the grant of another sponsorship to the same organization. The MR merely stated in general terms the “*networking and connections with industry peers, establishing partnerships with tourism stakeholders, or conducting targeted business-to-business briefings,*” without any specifics regarding the activity, despite the PRA having sponsored the same organization several times.
- 9.13 As a result, the success indicators identified in the board-approved MP were not used as one of the bases for the approval of sponsorships. Instead, sponsorships were evaluated on a case-by-case basis. This may weaken transparency, consistency, and accountability in the use of public funds.
- 9.14 Meanwhile, for CYs 2022 to 2025, the total advertising investments amounted to P196.270 million, categorized by market or country of ad placements, except for digital advertisements. Analysis of the advertising placements and the summary of enrollees revealed that advertisements placed across various platforms may not necessarily translate into higher enrolment figures. A summary of the number of enrollees for CY 2025 and advertising expenditures is presented in Table 22.

Table 22 – Summary of Enrollees per Nationalities and Advertising Placement

No.	NATIONALITIES	2024 Enrollees	2025 Enrollees	Advertising Placement				Total Expenses
				Print Ads	Out-of-Home	TV Ads	Digital Ad	
1	CHINESE (PROC)	1,684	1,237	130,771	250,965	126,028	791,018	1,298,782
2	AMERICAN	739	772	1,362,771	250,965	126,028	203,818	1,943,582
3	INDIAN	271	339	130,771	250,965	126,028	203,818	711,582
4	KOREAN	209	259	190,771	3,085,578	126,028	1,697,818	5,100,195
5	TAIWANESE	176	192	130,771	3,190,465	126,028	203,818	3,651,082
6	BRITISH	109	110	1,128,771	250,965	-	203,818	1,583,554
7	JAPANESE	94	102	430,771	250,965	126,028	203,818	1,011,582
8	CHINESE (HK-SAR)	60	80	130,771	2,147,413	126,028	203,818	2,608,030
9	AUSTRALIAN	67	77	4,162,771	250,965	-	203,818	4,617,554
10	CANADIAN	38	77	130,771	3,224,965	-	203,818	3,559,554
11	GERMAN	57	59	130,771	4,050,965	-	203,818	4,385,554
12	SWISS	27	35	130,771	250,965	-	203,818	585,554
13	FRENCH	20	29	2,162,809	250,965	-	203,818	2,617,592
14	DUTCH	19	25	1,789,564	250,965	-	203,818	2,244,347
15	MALAYSIAN	11	18	130,771	250,965	126,028	203,818	711,582
16	OTHERS	159	227	6,277,007	14,978,390	2,394,528	11,283,267	34,933,192
Total		3,740	3,638	18,551,403	33,187,426	3,402,752	16,421,737	71,563,318

- 9.15 As shown in Table 22, the enrolment remains highly concentrated, with 34 percent (1,237/3,638) coming from the People’s Republic of China, despite relatively limited ad placements in that market and the absence of sponsorships. However, there was a significant decrease in enrolment compared to CY 2024

enrollees, with a drop of 447, which represents a 26 percent decline. This decrease accounts for 12 percent of the total enrollees in CY 2025, suggesting the continued importance of China as a key market for PRA, and hence should be given equal importance.

- 9.16 While there were higher advertising investments in European countries and Canada, these efforts resulted in comparatively lower enrollment outcomes, indicating limited progress toward broader market diversification. However, compared to the enrollments from CY 2024, there was an increase in outcomes, though this increase was insignificant except for Canada. This occurred despite the high investments in Ads, aside from the paid sponsorship fees, as well as the per diem and airfare costs for agency personnel attending sponsorship events thereat.
- 9.17 However, it cannot be determined whether these outcomes or enrollments were directly influenced by the PRA's advertising efforts and sponsorships or attendance at international exhibits and events, as there was no performance evaluation conducted through the KPIs and success indicators provided in the MP. It is worth noting that in a survey conducted by the PRA, results indicated marketers as the highest influencers, which raises concerns about the effectiveness of the various advertising platforms used by the PRA.
- 9.18 While there is a need to strengthen market penetration in countries with low enrolment, it is also required to assess whether advertising placements in these markets are effectively translating into actual enrolments. However, as mentioned, no monitoring report demonstrates the relationship between KPIs and the effectiveness of advertising expenditures per country in relation to enrolment outcomes. This underscores the importance of strengthening performance measurement to evaluate country-specific strategies and support evidence-based allocation of marketing resources.
- 9.19 The deficiencies were attributed to (a) inadequate planning and design of the MP, (b) management's view that the MP serves only as a general guide, resulting in insufficient operational detail for monitoring and evaluation; and (c) lack of a formalized performance monitoring and review process, including the preparation of consolidated reports and periodic evaluation of advertising effectiveness.
- 9.20 According to the MD, the MP is treated only as a general guide, and the detailed definitions, tools, and metrics are assumed to be understood internally or determined through practice or research. Thus, the digital performance data, foot traffic, global audience data, and prior-year advertising performance are reviewed only through market studies to support the decision for ad placements during procurement.
- 9.21 However, while an MP should not be excessively detailed, it must be sufficiently defined and structured to provide clear direction for implementation, establish measurable KPIs for performance evaluation, including the corresponding reports, support monitoring and reporting for decision-making purposes, and, more importantly, justify the expenditures in the implementation of the advertising platforms and promote accountability and transparency on the utilization of public funds.

- 9.22 Consequently, the advertising decisions are based on incomplete or indirect indicators, such as limited survey responses and fragmented reports from service providers, which may not fully reflect the performance of various channels. This may limit Management's ability to identify underperforming platforms, optimize the media mix, and reallocate resources toward more cost-efficient strategies. It may also increase the risk of sustaining high-cost placements without clear evidence of proportional returns in awareness, engagement, or enrolment outcomes.
- 9.23 This limits Management's ability to identify underperforming platforms, optimize the media mix, and reallocate resources toward more cost-efficient strategies. It also increases the risk of sustaining high-cost placements without clear evidence of proportional returns in awareness, engagement, or enrolment outcomes.
- 9.24 Despite advertising expenditures in CY 2024 and CY 2025 totaling P116.892 million, enrolment targets were not fully met, with accomplishments of only 97.14 percent in CY 2024 and 84.12 percent in CY 2025, or an overall achievement of 90.25 percent, as summarized in Table 23.

Table 23 – Comparative Accomplishment Target vs. Actual (2024 & 2025)

Year	Target	Actual	Difference	Percentage of Accomplishment
2025	4,325	3,638	687	84.12%
2024	3,850	3,740	110	97.14%
Total	8,175	7,378	797	90.25%

- 9.25 This shortfall may indicate inefficiencies in translating marketing investments into expected outcomes, reflecting the agency's limited capacity to assess the effectiveness of its advertising campaigns and to determine the reasonableness and efficient use of government resources.
- 9.26 It also raises concerns about how the MD implements these KPIs/success indicators and how such implementation is evaluated by Management and oversight bodies such as COA, particularly in assessing which among the advertising platforms and sponsorship activities effectively contributed to the achievement of the agency's objectives in a manner consistent with results-based budget management, where resource use must be demonstrably linked to measurable outputs, outcomes, and value for money.

Lack of a formally approved written policy for the selection and approval of sponsorship activities

- 9.27 COA Circular No. 2012-003 dated October 29, 2012, defines "unnecessary expenditures" as *"expenditures which could not pass the test of prudence or the diligence of a good father of a family, thereby denoting non-responsiveness to the exigencies of the service. Unnecessary expenditures are those not supportive of the implementation of the objectives and missions of the agency relative to the*

nature of its operation.” This also includes the incurrence of expenditures not dictated by the demands of good government.

- 9.28 Examination of the CY 2025 sponsorship transactions disclosed that no formal policies or guidelines are being followed. While the Audit Team recommended the establishment of sponsorship policies during the audit of CY 2023 sponsorship transactions, the recommendation was not complied with by the Management.
- 9.29 Instead, MD explained that they have the list of Detailed Operating Procedures (DOPs) for the Preparation for Participation in International and Local Promotional Activities under DOP-CR-01 (Local) and DOP-CR-02 (International) dated September 5, 2025.
- 9.30 However, the DOPs primarily govern the post-selection processing, such as processing of invitations, approvals, documentation, payment, travel arrangements, and liquidation of promotional activities. The same document does not specifically define the criteria for the selection, prioritization, and approval of sponsorship packages. Furthermore, the selection considerations are also not formally incorporated into PRA’s official DOPs nor issued through a board-approved written sponsorship selection policy. In cases where local sponsorship requests are not approved, the DOPs merely provide for the issuance of a regret letter to the event organizer, without any documented evaluative basis or comparative assessment.
- 9.31 Thus, sponsorships are approved on a case-by-case basis without a formally documented, standardized, and enforceable framework for determining their necessity, cost-effectiveness, projected ROI, historical performance of similar sponsorships based on reports of the agency personnel attendees, success indicators in the MP, strategic value, prioritization, SRRV applications, or verifiable market impact. This may possibly weaken transparency, consistency, and accountability in the use of public funds and may expose the PRA to governance and financial management/compliance risks.
- 9.32 While the PRA’s approved MP provided that marketing campaigns through sponsorship activities are to be done with the DOT, Tourism Promotions Board (TPB), DTI, and other key government agencies, the selection process was not explained or incorporated therein. Likewise, for partnership with private event organizers, no clear criteria were established. Many of these sponsorship activities, both local and international, are attended annually by the PRA personnel. Notably, approvals for the activities were generally supported only by short MRs briefly outlining the objectives and background, while some had no supporting documentation. Given the circumstances, there appears to be limited documentation of clear justification for the approval or continuation of these sponsorships by the PRA.
- 9.33 The Audit Team emphasized that not all available sponsorships should be taken or accepted, whether government sponsored or a direct invitation to PRA, but should be appropriately assessed and documented to identify those sponsorships that were aligned with the PRA’s institutional goal. It is also important to highlight that through these sponsorship initiatives, the PRA is not

solely expending government funds on the fees associated with participation and interpreters, but also on per diems and allowances for agency personnel attending both international and local events. Hence, incorrect selection may result in waste of public resources.

9.34 In the absence of a formally established and board-approved sponsorship selection policy, sponsorship approvals largely rely on management judgment rather than consistent criteria aligned with PRA's objectives. This may lead to variations in application and make it harder to fully demonstrate transparency and accountability. The absence of a structured process may also result in less efficient use of resources, as sponsorships could be chosen without a thorough assessment of cost-effectiveness or potential benefits.

9.35 **We recommended that Management direct the MD to:**

- a. **Incorporate in the MP for CYs 2025-2026 a well-defined set of KPIs for each advertising platform, including the corresponding measurement tools, data sources, metrics, results-based indicators like conversion and attribution rates, and reporting requirements, and secure Board approval thereof;**
- b. **Prepare individual and consolidated performance evaluation reports for all sponsorship activities undertaken during the year, using relevant and measurable parameters, and subject these reports to review by the agency head to guide future sponsorship decisions and advertising and marketing budget allocations, ensuring that only activities that provide the greatest benefit to the PRA are selected;**
- c. **Prepare periodic and consolidated performance reports by integrating all KPIs data into a comprehensive annual report to facilitate comparison of advertising platform performance, identification of underperforming channels, trend analysis, and evidence-based decision-making;**
- d. **Improve data validation by integrating mandatory surveys during oath-taking to identify enrolment drivers, and enhancing QR code deployment through more engaging designs to increase participation and response rates, in coordination with the ICTD;**
- e. **Submit a comprehensive and realistic performance evaluation report on the CY 2025 advertising placements, platforms, and sponsorship activities based on the KPIs/success indicators in the approved MP, to determine their reasonableness, effectiveness and contribution to enrolment outcomes, and to justify the necessity and validity of sponsorship expenditures of P31.509 million, including any future engagements; and**
- f. **Develop a comprehensive Sponsorship Selection and Approval Policy incorporating standardized criteria for evaluating and approving sponsorship proposals based on cost-effectiveness, pricing benchmarks, ROI indicators, performance evaluation results, and**

alignment with PRA's mandate and approved MP, and integrate such policy into the existing DOPs, for Board approval.

9.36 **Moving forward, we likewise recommended that Management establish a formal review and evaluation mechanisms, to be handled by a designated Committee, to assess advertising and sponsorship performance against KPIs, ensure accountability, and support the continuous improvement of marketing strategies and resource allocation decisions.**

9.37 Management commented the following:

- a. KPIs are integrated into the MP for CYs 2024–2025 and 2026–2028; however, platform-specific KPIs will remain flexible due to the dynamic nature of advertising trends, platform availability, and varying performance metrics across media. A comprehensive data matrix/database of available KPIs and performance metrics for each advertising placement will be established and maintained.
- b. Periodic and consolidated performance reports for each advertising placement will be prepared based on available KPIs, subject to limitations where certain metrics (e.g., foot traffic counts, out-of-home impressions abroad, and print readership data) require substantial cost or manpower.
- c. Compliance with the recommendation on mandatory survey implementation will be undertaken in accordance with the Ease of Doing Business Law, Anti-Red Tape Authority rules, and other applicable government regulations.
- d. Coordination with the ICTD will continue to enhance QR code generation and deployment, while the APD Creative Team will further refine advertisement designs; however, the use of QR codes will be subject to platform-specific constraints.
- e. Further, a comprehensive evaluation report on CY 2025 campaigns will be prepared using available data and insights from semestral Focus Group Discussions, to be implemented in phases due to time and manpower constraints, ensuring proper data validation and coordination. A formal review and evaluation process will also be established through the creation of a dedicated committee to assess advertising performance against KPIs, strengthen accountability, and support continuous improvement of marketing strategies.
- f. While it is correct that a consolidated, Board-approved policy on sponsorship selection has yet to be formalized, sponsorship decisions are not without basis. These are guided by the professional judgment, technical expertise, and institutional knowledge of the CRD, with appropriate consultation with the Office of the General Manager. In practice, evaluation has been anchored on alignment with PRA's SRRV mandate, consistency with approved marketing strategies and priority markets, relevance to target demographics, and opportunities for stakeholder engagement and visibility. These

considerations, while not yet codified in a single policy, reflect a structured and experience-based approach.

- g. For CY 2025 sponsorships were likewise aligned with strategic directions that informed the 2026 MP, with lessons from prior engagements contributing to improved targeting and partnership strategies. The MD concurs with the recommendation to formalize these criteria and is working toward consolidating existing practices into a Board-approved Sponsorship Selection and Approval Policy, including the integration of measurable indicators such as cost-effectiveness and ROI into the DOPs.
- h. On the nature and purpose of sponsorship activities, Management clarifies that “sponsorship,” as applied by PRA, is not merely a discretionary grant but a strategic mechanism for implementing marketing and promotional programs for the SRRV. It enables participation in targeted events, direct engagement with market segments, support for activation and networking initiatives, and enhanced institutional visibility in cost-efficient platforms. Accordingly, sponsorship expenditures form part of PRA’s approved PAPs under advertising and promotions, and are subject to standard budgeting and financial controls. Compared to independently organized activities, sponsorship arrangements are also considered more practical and cost-efficient, evaluated in terms of both outputs and operational value.
- i. On performance Indicators and evaluation, Management acknowledges the need to further define and operationalize success indicators in the MP. While metrics such as lead generation, conversion rates, and partnerships are recognized, these require clearer definitions, measurement methodologies, and reporting templates to strengthen evaluation and auditability. The MD is therefore working on standardizing indicator definitions, developing reporting templates, and enhancing post-event evaluation mechanisms to capture both qualitative and quantitative outcomes.
- j. Management takes the audit recommendations constructively and committed to the following actions:
 - Development and Board approval of a comprehensive Sponsorship Selection and Approval Policy;
 - Strengthening of performance measurement and reporting systems;
 - Institutionalization of stricter documentation and monitoring controls; and
 - Continuous alignment of sponsorship activities with measurable marketing outcomes and agency targets.
- k. Also, Management respectfully reiterates that sponsorships for promotions and marketing-related activities were undertaken in good faith, guided by strategic intent, operational experience, and adherence to its mandate. Nevertheless, it is recognized that there is a need to enhance policy documentation, evaluation frameworks, and compliance mechanisms, and the MD commits to implementing the necessary improvements. A proposed

sponsorship selection policy guideline is being developed for deliberation by the PRA Management and the Board of Trustees.

9.38 As rejoinders, the Audit Team acknowledges Management's commitment to implement the audit recommendations; however, the following matters are emphasized:

- a. While the Audit Team understands the need for flexibility in identifying platform-specific KPIs due to the dynamic nature of advertising media, it is reiterated that the MP should, at a minimum, define standard KPIs, measurement tools, data sources, and reporting requirements per platform category (e.g., print, digital, out-of-home), which can be refined as actual placements are determined. The proposed establishment of a KPI data matrix/database is viewed as a positive step toward this objective.
- b. The Audit Team recognizes the practical limitations in the preparation of periodic and consolidated performance reports based on available KPIs, however, reasonable and verifiable measures must be adopted, where feasible, to allow meaningful comparison of platform performance and support evidence-based decision-making.
- c. On the improvement of data validation through surveys during oath-taking, the Audit Team recognizes the need to adhere to the provisions of Republic Act No. 11032 and the guidelines of the Anti-Red Tape Authority, and encourages Management to explore compliant and non-intrusive means of capturing relevant feedback from enrollees. On the other hand, the use of QR codes may apply only to some advertising platforms; however, the MD has to determine which platforms are most responsive for such evaluation mechanisms and incorporated these into the MP.
- d. While Management emphasized reliance on professional judgment, experience, and alignment with marketing objectives, these considerations do not substitute for an institutionalized policy framework necessary to ensure transparency, consistency, accountability, and auditability in the use of public funds. Regardless of the characterization of sponsorship as a marketing strategy rather than a discretionary grant, the related expenditures remain subject to established principles of economy, efficiency, and effectiveness, supported by clear criteria and complete documentation.
- e. The Audit Team also acknowledges Management's recognition of the need to formalize the sponsorship selection and approval process, define and operationalize performance indicators, strengthen post-event evaluation, and address documentary deficiencies. These acknowledgements substantiate the control gaps identified during the audit and reinforce the necessity of the recommended corrective measures.
- f. The Audit Team appreciates the corrective actions currently being undertaken and reiterates the importance of expediting the development, Board approval, and implementation of the proposed policy and related

control measures. Compliance and effectiveness thereof shall be validated in the succeeding audit.

- g. Nonetheless, the Audit Team reiterates its recommendation that the MD prepare and submit a comprehensive and realistic performance evaluation report for the advertising placements/platforms and sponsorship activities covering CY 2025 based on the KPIs/success indicators prescribed in the approved MP. Such report should provide a basis for assessing the reasonableness and effectiveness of the selected advertising placements/platforms, as well as the necessity, validity, and value-for-money of the related sponsorship expenditures.

Other Observation

The validity and propriety of the sponsorship expenses totaling P19.893 million for CY 2025 could not be fully established due to incomplete supporting documentation

- 9.39 Section 4(6) of PD No. 1445 provides that: *“Claims against government funds shall be supported with complete documentation.”* Further, COA Circular No. 2012-001, dated June 14, 2012, requires that all disbursements be supported by the documentary requirements applicable to the nature of the transaction to ensure the validity, legality, and propriety of government expenditures. In consonance with the foregoing, disbursements for sponsorships must be supported by the mandatory documents, such as:
- Invitation or Request Letter from the beneficiary or event organizer
 - Office Order/Authority approving the sponsorship
 - Billing Statement/Statement of Account (SOA)
 - Official Receipt (OR) or Sales Invoice (SI)
 - Proof of Deliverables/Terminal Report/Post-Event Documentation
 - Proof of Fund Release
- 9.40 For CY 2025, the PRA incurred sponsorship expenses amounting to P35.389 million covering 57 sponsorship transactions charged to the Advertising, Promotional, and Marketing (AP&M) expenses. However, audit disclosed that of the 57 transactions, several sponsorship disbursements were not supported by one or more of the required mandatory documents.
- 9.41 Some sponsorship transactions were processed and paid without any formal invitation, written request, or sponsorship proposal from the beneficiaries or event organizers. Further, several disbursement vouchers lacked supporting documents, such as OR/SI, SOA, OR/SI and proof of deliverables or post-event documentation. Hence, the Audit Team could not verify the validity, accuracy and reasonableness of the amounts paid.

- 9.42 Inquiry disclosed that these deficiencies were due to the late submission of the required supporting documents by the CRPDD to the Disbursing and Budget Unit (D&BU), after the sponsored events had already been conducted. Sponsorship fees are paid to the event organizers before the event, while agency personnel attend during the event/s. Despite the events' completion, several invitations, proof of deliverables, and post-event reports remained unsubmitted, thereby preventing the complete liquidation and proper documentation of the transactions.
- 9.43 Further inquiry revealed that the absence of SOA has been due to the erroneous treatment of the D&BU as similar to SI. However, the SI and SOA serve distinct purposes and contain different essential information. The SI is primarily required under Bureau of Internal Revenue regulations for taxation purposes, as it is proof that a taxable sale occurred and that the corresponding tax obligations were properly recorded. However, for purposes of audit and disbursement verification, the SOA is required, aside from the SI, to establish the propriety of the amount paid, since it contains the itemized breakdown, such as a list of services rendered, coverage period, individual cost component, and total amount due.
- 9.44 These lapses were further aggravated by the lack of a strict internal monitoring mechanism, weak enforcement of post-event documentation requirements, and the absence of a clearly defined internal policy on sponsorship documentation and liquidation procedures. Also, there were no sanctions imposed on the concerned Division or personnel regarding their non-compliance with the supporting documentation.
- 9.45 As a result, the validity and propriety of several sponsorship disbursements cannot be completely determined, contrary to Section 4(6) of PD No. 1445.
- 9.46 **We recommended that Management:**
- a. **Require the FMD for the immediate submission to COA and completion of all missing documentary requirements for the CY 2025 sponsorship transactions, including explanations, where necessary;**
 - b. **Direct the FMD and the CRRPD to formulate and adopt written policy or guidelines governing sponsorship transactions, subject to approval by the agency head and the Board covering: (i) documentary requirements before, during, and after the event; (ii) submission of liquidation reports, post-event reports, and the deliverables from the event organizers within 30 days after the event; (iii) accountability of the CRRPD Head and participating agency personnel/attendees, including strict sanctions for their non-compliance; and (iv) the establishment of an FMD monitoring mechanism to ensure compliance with documentation and reporting requirements;**
 - c. **Direct the FMD - Treasury to strictly enforce the requirement that sponsorship payments shall not be released without the corresponding OR/SI, as applicable under circumstances, including sponsorships for international events; and**

d. Direct the FMD - D&BU to discontinue the practice of treating the SI as a substitute for the required detailed SOA from the event organizers.

- 9.47 Management commented that the noted deficiencies in supporting documents were largely due to timing issues, particularly post-event submissions and coordination gaps. Management has initiated corrective actions, including stricter documentary requirements before and after fund release, clearer distinction between SOA and SI, improved inter-unit coordination, and the development of enhanced guidelines on documentation, monitoring, and accountability with defined timelines and responsibilities. Management likewise committed to completing and submitting all lacking documents within the prescribed period to avoid the issuance of audit suspensions.
- 9.48 As a rejoinder, the Audit Team will continue to monitor the submission and completion of the lacking documents to support the sponsorship expenses.
- 10. PRA incurred lease rentals, condominium dues, and related payments totaling P7.058 million for an additional office space that remained unutilized for its intended purpose as at December 31, 2025, due to significant delays in the procurement of assessment/design services and the subsequent postponement of construction works required to make the premises operational. These circumstances may lead to inefficient use of government resources, contrary to Section 2 of Presidential Decree No. 1445 and the principles of sound public financial management.**
- 10.1 Section 2 of PD No. 1445 provides that *“all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.”*
- 10.2 Sound public financial management provides that public funds and resources shall be planned, allocated, and utilized in an efficient, effective, economical, transparent, and accountable manner to ensure that expenditures are necessary, justified, and directed toward achieving intended public objectives and outcomes.
- 10.3 Annex C of COA Circular No. 2012-003 about irregular, unnecessary, excessive, extravagant, or unconscionable provides the following as an example of unnecessary expenditures:
- Construction of buildings and/or procurement of equipment not actually needed or without any intended purpose, not put to use or used for purposes other than the intended purpose, not completed and could not be properly maintained or operations sustained.*
- 10.4 The PRA Head Office is currently located on the 29th floor of BDO Towers Valero, occupying approximately 2,000 square meters (sq.m.), inclusive of common areas. The PRA, particularly the Administrative and Finance Services Department (AFSD) – ASD, claimed that the existing office space is no longer

sufficient to support its daily operations and functional requirements, particularly for the records room, front desk, meeting rooms, and workstations of six offices. To address its operational requirements, the PRA determined the need and decided to lease additional office space. The Board approved the lease of additional space in April 2024, while the procurement started on February 5, 2025. The Notice of Award was issued on February 21, 2025.

- 10.5 Accordingly, the PRA entered into an LC on April 2, 2025, with XYST Corporation for Units 24-B, 24-C, and 24-D located on the 24th floor - BDO Towers, with a total area of 649.80 sqm and four parking slots, for a period of 24 months from May 2025 to May 2027. Records show that the keys were turned over to PRA on March 16, 2025, and the units were already ready for occupancy at that time.
- 10.6 To make the leased premises operational, PRA planned to undertake renovation works, including fit-out and installation of workstations. The approved budget for the leasehold improvements amounted to P7 million. Initially, the project was intended to be implemented through a Design-and-Build contract. Nonetheless, this was not pursued due to the absence of preliminary design and construction studies. Consequently, the project was divided into two components: (1) procurement of a design consultant, and (2) procurement of a construction contractor.
- 10.7 However, the Audit Team found out that as at year-end, PRA had not commenced procurement of construction works, rendering the leased space unusable from March to December 2025, despite lease rentals and condominium dues totaling P7.058 million had been paid. Instead of its intended purpose, a minimal portion of the leased space is used as storage for unserviceable properties and a venue for flag ceremonies on Mondays, and the rest of the space remains idle.
- 10.8 Audit disclosed that the deferment of use of the leased area is due to the prolonged delay in the procurement of both the assessment and design from a consultant and a construction contractor to implement the design.
- 10.9 For the procurement of design consultant, the procurement processes, including TOR preparation, Request for Quotation posting, and Purchase Order issuance took several months to complete. The consultant submitted the deliverables in August 18, 2025, with a delay of 13 calendar days. Audit revealed that Liquidated Damages (LD) amounting to P2,697 was not imposed against the consultant.
- 10.10 Meanwhile, while the initial design was submitted on August 22, 2025, this was formally inspected and accepted only on October 1, 2025, or a 28-working-day delay. This resulted in an overall gap of approximately seven months between the turnover of the premises and the final acceptance of the design.
- 10.11 Based on the delivered outputs of the consultant, the project construction cost amounted to P29.558 million, significantly exceeding the ASD's approved budget of P7 million for leasehold improvement, inclusive of design costs.
- 10.12 The TWG Head explained that the substantial cost estimate was not anticipated due to their limited expertise in cost estimation and preparation of the bill of materials, prompting the engagement of a design/assessment consultant. The

consultant's assessment further revealed that the leased space required extensive work, including ceiling repairs and electrical system upgrades, which had not been initially identified. This may indicate that the ASD did not conduct any prior technical assessment before the execution of the lease agreement. As a result, the approved budget proved insufficient to meet the project's actual requirements.

- 10.13 The design and proposed TOR for the construction phase with a proposed budget of P25 million, was presented to and approved by the Board on October 9, 2025. Despite approval, the ASD informed that the corresponding Board Resolution remains unprepared/unsigned until December 31, 2025, thus unable to proceed with the procurement of construction works.
- 10.14 Moreover, review disclosed that the Project Procurement Management Plan (PPM) for the project was prepared on September 19, 2025, which was after the deadline for inclusion in the indicative Annual Procurement Plan (APP) for FY 2026. Hence, the project was excluded from the Fiscal Year 2026 APP, rendering it ineligible for Early Procurement Activities, despite the urgency of the project.
- 10.15 It was further noted that a new TWG was created on November 7, 2025, with the purpose of coming up with a TOR for the construction project and giving assistance during the project's implementation. As at March 31, 2026, the TOR remains unfinalized. Despite the design's availability, procurement remained in the pre-procurement stage. Temporary relocation was also not feasible as the space was not yet safe and usable due to the required repairs.
- 10.16 As discussed, the delay in procurement was primarily due to the late start of planning activities, including TOR preparation, technical specifications, and cost estimation and budgeting, which had not been initiated by the ASD before entering the lease agreement. These tasks could have been undertaken between December 2024 and February 2025, instead of the actual period from March to June 2025, which was prolonged.
- 10.17 The TWG raised that the Bids and Awards Committee (BAC) had numerous requirements due to insufficient and incomplete information, leading to several revisions of the TOR. However, this cannot be used as a valid justification, as the ASD should have engaged in early and comprehensive planning and anticipated potential revisions.
- 10.18 Moreover, undertaking the EPA could have been a possible option for the proponent to fast-track the procurement in the last part of CY 2025 and early part of CY 2026, however, due to the late preparation of PPMP, this was excluded from the indicative APP that was due in September 2025. However, the Audit Team emphasized that as at August 22, 2025, the design was already delivered to them by the consultant, enabling them to prepare the needed PPMP. Thus, another alternative could have been considered/taken had there been proper planning.
- 10.19 Additionally, the ASD raised its limited technical capability, which resulted in difficulties in preparing the TOR, inadequate budget allocation, and the non-availability of the design-and-build scheme. These challenges could have been

mitigated by engaging qualified technical personnel or external consultants, such as engineers or architects, earlier in the process. Early engagement of appropriate expertise would have facilitated more efficient TOR preparation, minimized repeated revisions and consultations, and enabled more accurate cost estimation, budgeting, and the appropriate application of the design-and-build scheme.

- 10.20 Relatedly, while two TWGs were created to assist ASD in the said Project, the Audit Team noted that no deadline had been established in the OO issued by the Office of the General Manager (OGM). The lack of timeline, despite the urgent need for timely completion as the PRA pays a monthly rental of P443,054 for a space that it cannot use, may give the impression to the agency personnel that their outputs are not urgent, hence the delay.
- 10.21 Consequently, the PRA did not fully benefit from the total amount of P7.058 million incurred under the lease agreement. These circumstances lead to inefficient use of government resources, contrary to Section 2 of PD No. 1445 and the principles of sound public financial management.
- 10.22 **We recommended, and Management agreed, to:**
- a. **Direct the FMD to demand payment from the Consultant for the liquidated damages that were not deducted from the amount due to him;**
 - b. **Direct the ASD to submit a comprehensive written explanation, supported by relevant documents and timelines, on the delays or non-completion of the project that led to the lease rental costs of P7.058 million, considering the circumstances surrounding the project and the performance of the assigned duties and responsibilities of concerned personnel; and direct the Legal Unit to conduct an independent review of the relevant conditions and the participation of the concerned personnel, and, based on the results thereof, initiate the appropriate actions, if warranted. Thereafter, submit to COA the results of the review and the actions taken;**
 - c. **Direct the ASD, TWG, PMD, and BAC to prioritize and fast-track the finalization of the TOR for the construction project and the procurement of the construction contractor, with clearly defined timelines, milestones, and responsibilities;**
 - d. **Designate a dedicated project focal person within the ASD to oversee the day-to-day implementation of the project, coordinate with concerned offices, monitor progress, maintain proper documentation, and regularly report status updates to the OGM to facilitate the timely completion of the project;**
 - e. **Require the ASD, TWG, PMD, and BAC to conduct regular coordination meetings to promptly resolve issues, monitor project progress, and prevent further delays until the project is fully implemented;**

- f. To prevent similar issues in the future, engage qualified technical personnel (engineer/architect) to assist the proponents and TWGs in: (i) conducting technical assessment for major renovation projects involving prospective leased spaces; and (ii) preparing TORs, plans, cost estimates, technical specifications, and bills of materials;
 - g. Direct the PMD to require proponents to finalize TORs and PPMPs within prescribed written deadlines to ensure timely inclusion in the APP and eligibility for EPA; and
 - h. Establish internal timelines and clearly delineate accountability for the inspection, evaluation, review, and acceptance of consultants' outputs and other deliverables.
- 11. The development of the Human Resource Information System and Website Development Project (Phase II), for which payments totaling P0.974 million and P1.680 million, respectively, were made, remain incomplete due to inadequate coordination and weak project implementation among the responsible divisions/units. As a result, the intended objectives and expected benefits of these projects have not been fully realized. Consequently, government resources were utilized inefficiently, contrary to Section 2 of Presidential Decree No. 1445 and Sections 7 and 47.2 of RA No. 9184 or the Government Procurement Act Reform Act.
 - 11.1 Section 2 of PD No. 1445 provides that *“all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government.”*
 - 11.2 Section 7 of the Republic Act (RA) No. 9184, as superseded by the New Government Procurement Act (NGPA) or RA No. 12009, mandates that all procurement shall be conducted with sufficient planning and preparation to ensure sound procurement decisions. Likewise, Section 47.2 of RA No. 12009 (similarly stated in RA No. 9184) provides that the specifications and other terms in the Bidding Documents shall reflect the necessary specifications required to meet the needs of the Procuring Entity in clear and unambiguous terms. Lastly, Section 47 thereof provides that *“xxx. Based on specific needs, the End-User or Implementing Unit of the Procuring Entity shall be responsible for the preparation of all documents necessary for the procurement activity”*.
 - 11.3 PRA procured the development of the Human Resource Information System (HRIS) in CY 2018 and the Phase II Website Development Project in CY 2021 as part of its digital transformation initiatives intended to improve HR administration, online services, and client transactions.
 - 11.4 The HRIS project is aimed at developing a Human Resource Management System that will meet the Human Resource's needs for automation, manage employee data or records, payroll requirements and accounting activities. Specifically, the procured system will have the following deliverables: (a)

Employee Personal Data Module; (b) Attendance Management System covering policy manager module, employee manager module – leave credits, report manager module; and transaction manager module – Daily Time Record (DTR) data module, and (c) Payroll System. The project started in CY 2018, with a delivery period of 90 days, and several payments were already made as recorded in the books.

- 11.5 Of the contract price of P1.298 million, PRA had already paid the amount of P0.974 million to the contractor, whereas the remaining P324,500 was already obligated or recorded in the books by the FMD as payable.
- 11.6 Audit revealed that the HRIS remains non-operational despite its procurement in CY 2018. Inquiry disclosed that the system was not accepted by the ASD, as the end-user, due to system inaccuracies during testing, particularly in data capture and processing. The ICTD attributed the delay to the ASD's failure to provide complete and necessary data, the lack of support, and obstruction from other divisions. The ASD, on the other hand, cited data privacy concerns, hence only sample data were provided for testing, and there was a lack of training on data migration.
- 11.7 Despite the non-completion of the Project, the biometric component was later implemented in December 2023, requiring personnel to use the biometric system. However, the ASD informed that the system produced multiple time logs, due to its dual use as a door access control, resulting in numerous timestamps per employee, which required manual corrections and encoding these into the DTR. This process resulted in delays in the payroll processing and additional manhours for encoding. Consequently, the PRA personnel were forced to revert to the manual Bundy clock system.
- 11.8 Notwithstanding the deficiencies, review of the submitted documents showed an accomplished Certificate of Completion and Acceptance (CCA) signed by the ICTD Head and the Management Services Department - Department Manager instead of the ASD, as the end-user. The certificate provides that the contractor has fully delivered and completed the delivery of the HRIS on November 27, 2020, and that they also certified its acceptance as the work is compliant with the scope of work and technical requirements set in the TOR. This situation raises significant concerns over the propriety of the issued certificate considering the non-operational status of the HRIS project.
- 11.9 For the Phase II Website Development Project, with a contract price of P2.4 million, payments to the contractor totaling P1.68 million or 70 percent was already made. The project covers the development of the official website and various online systems, including SRRV applications, appointment scheduling, online transactions, accreditation processing, online payments, and related functionalities. The project is being implemented under the ICTD.
- 11.10 Although launched in July 2024, the ICTD reported that to date, certain system features remain incomplete due to the absence of critical inputs necessary for full functionality. These include requirements from the Resident Retiree Servicing Department (RRSD), such as Frequently Asked Questions (FAQs) to address common inquiries on the SRRV application process, with the aim of making

information readily available on the website and reducing repeated client assistance requests.

- 11.11 Inquiry with the RRSD disclosed that the department was not previously aware that they have remaining deliverable or input to the ICTD. Nevertheless, they have committed to provide the required FAQs.
- 11.12 In addition, inputs from the FMD are still pending, particularly those relating to dollar-denominated online payments. The current payment gateway (Linkbiz Portal) does not support transactions in U.S. dollars. As PRA billings are denominated in U.S. dollars, the system is being designed to convert peso payments into their dollar equivalent to match the billing amount. However, the ICTD informed that they are still awaiting the FMD's accounting policy on currency conversion to enable proper system integration.
- 11.13 The FMD explained that the matter was not relayed by its former representative to the TWG. It also noted ongoing plans to partner with a bank capable of supporting dollar-denominated payment facilities. To date, the FMD has yet to establish said policy.
- 11.14 As noted in both projects, the conflicting accounts between the ICTD and the end-users/concerned Divisions indicate that data governance, system requirements, and responsibilities were not clearly defined during the project planning and implementation. There may have been deficiencies in the procurement planning, particularly in the preparation of the TOR and the definition of system requirements. Also, the lack of coordination among the concerned offices and the failure to consolidate necessary inputs during the planning stage resulted in key requirements being identified only during implementation, contributing to delays in project completion.
- 11.15 In the case of the Website project, the essential data needed to fully operationalize the online SRRV application system should have been established at the outset rather than addressed progressively during development. While the ICTD noted that the project was affected by policy changes, such as adjustments to the age requirements for retirees, these did not significantly impact the core data requirements of the system.
- 11.16 These issues were compounded by the absence of a formal IT project governance structure and acceptance testing framework, as well as weak documentation of inter-office coordination, which hindered effective monitoring and accountability of the project.
- 11.17 The absence of a fully functional HRIS may have adversely affected the efficiency of human resource records management and overall administrative operations, as processes continue to rely on manual systems. Likewise, using a Bundy clock for attendance among agency personnel presents significant risks regarding the reliability of information, compared to biometrics systems, which enforce stringent regulations.
- 11.18 Similarly, although operational, the delays in completing key features of the Phase II Website Development Project have limited its full utilization and

effectiveness. Consequently, the intended benefits of these digitalization initiatives have not been fully realized.

11.19 Overall, the PRA resources were expended on systems that are partially or wholly non-operational, which resulted in the inefficient use of government resources, inconsistent with Section 2 of PD No. 1445 and Sections 7 and 47.2 of RA No. 9184 or the Government Procurement Act Reform Act.

11.20 **We recommended that Management:**

- a. **Require the ICTD to provide a written explanation for the prolonged delay in the completion of the HRIS and the Website Project, including the basis for the issuance of CCA despite the HRIS not being fully completed and operational;**
- b. **Direct the ICTD and ASD to immediately coordinate and collaborate in identifying and completing the necessary requirements and inputs necessary for the HRIS to become fully functional and operational, and to establish a definite timeline to fast-track the completion and implementation;**
- c. **Instruct the ICTD, RRSD, and FMD to immediately coordinate and complete all the remaining requirements and inputs for the Website Development Project, with clearly defined roles, responsibilities, deliverables, and implementation timelines;**
- d. **Direct the ICTD and Legal Unit to conduct a technical and financial assessment of the project deliverables vis-à-vis payments made, to determine any accountability on the part of the vendor/contractor and to enforce compliance with contractual obligations, as warranted. Likewise, coordinate with the contractor regarding the requirements raised by the Office of the Government Corporate Counsel regarding the outstanding payment issues;**
- e. **To prevent the recurrence of similar lapses in the future, strengthen project planning and governance by formulating and implementing an IT Project Governance Policy covering, among others, TOR preparation, requirements definition, acceptance testing, documentation, project monitoring and accountability mechanisms; and**
- f. **Direct the Internal Audit Division to conduct a comprehensive review of all software system projects to assess their completion status, functionality, usability, and the extent to which intended objectives and benefits have been realized.**

11.21 Management commented that it had instructed the concerned Division/Unit to strictly comply with the audit recommendations through an unnumbered Memorandum dated April 28, 2026. In addition, the ICTD expressed its commitment to continue the development of the HIS Project through an in-house

approach, and to implement the audit recommendations pertaining to the Website Phase II Project.

- 11.22 As a rejoinder, the Audit Team acknowledges the actions taken and those proposed by Management. Nevertheless, it reiterates that the completion and full operationalization of both projects should be accorded high priority, considering their intended benefits to the PRA, and the substantial public funds already expended since the commencement of the projects. The Audit Team will continue to monitor the implementation of the corrective measures to ensure the timely completion and realization of the project's intended objectives.

12. PRA authorized and paid overtime works for routine and regular tasks that were neither urgent in nature nor extremely necessary to be accomplished beyond regular work hours due to inadequate workload planning/scheduling and incorrect classification of regular and routine tasks as priority tasks, contrary to Item 3.0 of the Civil Service Commission-Department of Budget and Management Joint Circular No. 1 series of 2015 and Section 5.1 of COA Circular No. 2012-001. Consequently, substantial overtime pay claims were incurred for activities that could have been accomplished during regular office hours, which may be deemed unnecessary.

- 12.1 Pursuant to Civil Service Commission (CSC) -Department of Budget and Management (DBM) Joint Circular (JC) No. 1 dated November 25, 2015, agencies are granted limited flexibility to compensate overtime (OT) services in cash, subject to specific conditions and restrictions. Item 3.0 of the Circular provides the General Policies on Overtime Services, which include the following:

- 3.1 *The rendition of overtime services shall be authorized only when extremely necessary. Xxx*
- 3.2 *As a general rule, the remuneration for overtime services shall be through CTO, in accordance with the guidelines under the CSC-DBM Joint Circulars No. 2s. 2004 and No.2A. s. 2005.*
- 3.3 *The payment in cash of overtime services through Overtime Pay may be authorized only in exceptional cases when the application of CTO for all overtime hours would adversely affect the operations of the agency.*

- 12.2 Section 5.10 of COA Circular No. 2012-001 dated June 14, 2012 stated the general guidelines for overtime pay, to wit:

Overtime work should be avoided by adequate planning of work activities. It should not be resorted to in the performance of regular/routine work and activities except in cases when unforeseen events and emergency situations will result in any of the following:

- *Financial loss to the government or its instrumentalities*
- *Embarrassment to the government due to its inability to meet its commitments*

- *Negate the purpose for which the work or activity was conceived.*

- 12.3 The PRA primarily compensated OT services through cash payments instead of Compensatory Time Off (CTO), which is the prescribed general rule. As observed in previous years, this practice led to significant overtime expenditures due to the frequent approval of OT work that was neither urgent nor critically necessary. The agency explained that CTO was not adopted because of staffing limitation could adversely affect service delivery if personnel were allowed to avail themselves of CTO. To address these issues, PRA revised its previous policy and issued PRA Policy No. PRA-AD-POLC-0002, the *Revised Policies and Guidelines on Overtime Services and Overtime Pay for PRA Personnel*, in August 2024. This revised policy intends to introduce stricter and clearer rules governing the authorization and compensation of OT services.
- 12.4 These issuances establish that overtime is intended to be an exception rather than a regular practice, and should be limited to urgent, non-deferrable, and critical activities that cannot reasonably be performed within normal working hours.
- 12.5 For CY 2025, records show that the PRA incurred a total of P4.347 million in overtime payments, consisting of P1.805 million for regular employees and P2.542 million for JO personnel. Review of the disbursement vouchers (DVs) and supporting documents revealed that OT services paid to the personnel of the divisions and units shown in Table 24 involved significant amounts.

Table 24 – Details of OT Expenditures for Various Offices

Department/Division	No. of Personnel		Amount		
	Regular	JO	Regular	Job Order	Total
Financial Management Division	9	15	524,939	503,716	1,028,655
Driver/Messenger/Utility	-	14	-	681,840	681,840
ICTD	4	6	380,671	286,029	666,700
Servicing Division (SD)	4	13	34,123	499,332	533,455
Retiree Services Division (RRSD)	1	8	55,374	238,164	293,538
Processing Division (PD)	6	3	253,447	17,980	271,427
Procurement Management Division (PMD)	1	3	134,524	100,191	234,715
Corporate Planning Division (CPD)	3	5	55,742	109,831	165,573
Advertising and Promotions Division (APD)	2	5	92,548	56,570	149,118
Administrative Services Division (ASD)	6	-	136,316	-	136,316
Satellite Offices (SO)	6	5	38,844	19,526	58,370
Client Relations and Program Development Division (CRPPD)	6	1	41,113	3,777	44,890
Administrative and Finance Division	1	-	33,748	-	33,748

- 12.6 Further review of documents and interviews disclosed that OT services were repeatedly authorized and paid for activities that are part of regular day-to-day operations and many of which are predictable, recurring, and administrative in nature.
- 12.7 Across multiple offices, OT was rendered for activities such as: (a) preparation of financial reports, bank reconciliations, journal entries, and updating of subsidiary ledgers; (b) sorting, filing, scanning, and archiving of documents; (c) routine database updating, report generation, and monitoring activities; (d) preparation of procurement-related documents, inspection of deliveries, and compliance

reporting; and (e) drafting of memoranda, office orders, presentations, and other internal administrative documents. These activities, by their nature, form part of the normal duties and core functions of personnel and are expected to be performed within regular working hours through proper planning and scheduling.

- 12.8 A significant portion of OT across multiple divisions was devoted to scanning and archiving documents, which are routine support functions. They claimed that manual processes and limited availability of equipment (e.g., scanners) contribute to inefficiencies, thereby prolonging the time needed to complete such tasks and increasing reliance on OT.
- 12.9 Several personnel render OT during weekends and holidays for routine tasks in addition to weekday OT, resulting in higher costs compared to the standard after-office-hours OT arrangement, which is limited to a maximum of three hours.
- 12.10 It was unclear whether proper workload planning/scheduling or alternative arrangements were made, which could have avoided the unnecessary reliance on OT. On the other hand, continuous overtime work may lead to employee fatigue and reduced recovery time, creating the impression of insufficient rest. This can negatively affect productivity, focus, and work quality, and may also increase the risk of errors, stress, and burnout over time, as evidenced by ongoing delays and backlogs in routine deliverables.
- 12.11 Moreover, for CY 2025, the approved budget for OT services amounted to P1.387 million and P3.120 million for the regular and JO personnel, respectively. By September 2025, the budget for regular personnel had been fully utilized, prompting the realignment that raised it to P2.230 million. This substantial budget allocation, which may not have been strictly aligned with the actual necessity and essential requirements, could create a perception among personnel that the performance of OT services is encouraged, potentially disregarding the true necessity of such work due to the availability of funding.
- 12.12 The total OT expenses of P4.347 million highlight the financial impact of excessive OT services arising from the performance of regular tasks, despite the absence of the requirements under the afore-cited provisions. While certain unavoidable circumstances may justify requiring OT, the agency's existing OT practice indicates otherwise, notwithstanding the hiring of 102 JO personnel to augment additional work demands. This practice raises concerns regarding personnel efficiency in performing their regular tasks and the effectiveness of the supervisors in monitoring the deliverables of their staff.
- 12.13 In the case of FMD, despite the substantial OT services, delays and backlogs persist, caused by work process inefficiencies and the absence of prioritization and scheduling. For RRSD and related units, some functions overlap with the responsibilities of other divisions, such as the FMD, resulting in duplication of work or unnecessary processing time extension. Others cited the expansion of programs and transaction volumes; however, these assertions were not supported by quantifiable data or performance metrics.
- 12.14 As to PMD, avoidable OT resulted from the delayed submission of procurement requests by end-users, while routine activities, such as inspection and

documentation, being predictable and cyclical, were not effectively integrated into regular work schedules. For ICTD, predictable and recurring IT activities (e.g., backups and maintenance) were likewise not incorporated into structured work arrangements, such as shifting schedules or staggered work hours, resulting in the continued dependence on OT.

- 12.15 The Audit Team also noted that there are weaknesses in the existing OT policy and its implementation, such as the classification and approval of routine, non-urgent, and recurring tasks as priority activities eligible for OT, contrary to the above-mentioned provisions. This is further compounded by the practice of approving OT without rigorous assessment of necessity, urgency, or availability of alternative work arrangements, thereby institutionalizing OT as a regular operational tool rather than an exception-based measure.
- 12.16 The existing OT issues of the agency could have been possibly addressed, or at least mitigated, through the preparation of and compliance with the Individual Performance Commitment and Review (IPCR) required for government employees and the Division/Department Performance Commitment and Review (DPCR) for Division Chiefs or Department Heads per CSC Resolution No. 1200481. These serve as performance contracts that align individual outputs with the agency goals. They contain the objectives and performance indicators for the rating period, as well as commitments agreed upon between the staff and the immediate supervisor, and the unit-level commitments. In essence, these documents promote accountability, transparency, and alignment of individual and organizational performance.
- 12.17 As a result of the foregoing, the PRA incurred significant and recurring overtime expenditures amounting to P4.347 million as at December 31, 2025, contrary to Section 5.1 of COA Circular No. 2012-001, as these relate to activities that are routine, predictable, and should have been performed within regular working hours. This also undermined sound financial management, distorted resource allocation priorities, and reduced the agency's capacity to utilize funds for more critical and value-adding activities.
- 12.18 **We recommended, and Management agreed, to:**
- a. **Discontinue the rendition of overtime services by all regular and JO personnel, except for urgent and critical tasks that strictly warrant overtime work;**
 - b. **Direct all Division Heads and Department Heads to limit the OT approval/authorization to extremely necessary situations only, as well as determine and monitor the quality and quantity of their Staff's deliverables and timelines, while personnel's regular tasks undertaken during OT, such as email, drafting of office orders, OT supervision, scanning/sorting/filing of documents/reports/folders/DTRs/Board Resolutions for archiving/other purposes, accounts updating, bank reconciliation, inspection of delivered items, review of replenishments, and the like, are not allowed as these do not fall within the requirements of Section 5.1 of COA Circular No. 2012-001 and Item 3.1 of CSC-DBM JC No. 1;**

- c. Establish a budgetary limit for overtime services to ensure that only activities that are critically necessary and whose non-completion may result in financial loss, operational disruption, or reputational damage to PRA are authorized for overtime compensation;
- d. Require all concerned Divisions to prepare and submit purchase requests and all related procurement requirements to the PMD within the prescribed timelines to facilitate completion of procurement activities during regular office hours and minimize the need for overtime work;
- e. Review and amend the PRA OT Policy to ensure that eligible OT activities strictly align with the requirements of Section 5.1 of COA Circular No. 2012-001, or alternatively, prioritize the grant of compensatory time off in lieu of overtime pay, consistent with Items 3.2 and 3.3 of CSC-DBM JC No. 1;
- f. Require the Division Heads, prior to approving OT request, to obtain from the requesting personnel a written justification stating the necessity and urgency of the work, the reasons why the task cannot be completed within regular working hours, the expected deliverables and completion timelines, and the adverse effects on PRA operations should the deliverables remain unfinished. Such justification, together with the actual outputs produced, shall form part of the supporting documentation for OT claims; and
- g. Institutionalize the preparation, submission, and periodic monitoring of the IPCR and DPCR by all concerned personnel and offices to improve employee efficiency, strengthen personal and collective accountability, and ensure alignment between individual performance targets and the PRA's strategic objectives.

GENDER AND DEVELOPMENT

13. The PRA prepared its Gender and Development (GAD) Plan and Budget (GPB), allocating at least five percent of its total budget to GAD-related programs, activities and projects (PAPs) for calendar year 2025. However, the GPB was not endorsed by the Philippine Commission on Women (PCW) due to its late submission, and the GAD Accomplishment Report, along with its supporting documents, was not prepared and submitted to the Commission, contrary to Sections 2.3 and 8.2 of the Philippine Commission on Women (PCW)-National Economic and Development Authority-Department of Budget and Management Joint Memorandum Circular No. 2022-01 and Section 1.1 of the PCW Memorandum Circular No. 2025-09. Consequently, the Audit Team was unable to verify whether the identified GAD-related PAPs were actually implemented by the PRA, and whether GAD funds were properly utilized and reported in accordance with applicable laws, rules, and regulations.

- 13.1 Section 3.5 of the Philippine Commission on Women (PCW)-National Economic and Development Authority (NEDA)-Department of Budget and Management (DBM) Joint Memorandum Circular (JMC) No. 2022-01 provides the guidelines for the preparation and submission of the annual Gender and Development (GAD) Plan and Budget (GPB) and corresponding GAD Accomplishment Report (AR). It mandates that:

The agency GAD Focal Point Systems (GFPS) shall take the lead in mainstreaming gender in the agency PAPs. As such, they shall coordinate the preparation of the agency GPB, monitor its implementation and report on the results through the GAD AR. They shall provide technical assistance on gender mainstreaming to offices or units within their agency.

- 13.2 Section 7.3 of the same JMC provides guidelines for the submission, review, and endorsement of agency GPBs, to wit:

7.3 PCW shall endorse a GPB, if and only if:

7.3.1 the GAD budget meets the minimum five percent (5%) allocation, and

7.3.2 the GPB reflecting PCW's requested revisions, additional information or responses to the questions if any), has been received within the prescribed period and deemed sufficient by PCW.

- 13.3 Further, Section 10.2 of PCW-NEDA-DBM JMC No. 2022-01 provides that the required GPB and GAD AR of the agency be submitted as follows:

Agencies shall submit signed copies of their endorsed GPB and GAD AR with PCW final remarks to their respective COA Audit Team within five (5) working days upon receipt. An advance copy of the GAD ARs shall be provided to the COA Audit Team on or before the 10th of January of the ensuing year, or until further contrary circular is issued, for post-audit purposes.

- 13.4 The deadline set for the submission of GAD AR of Government Corporations to PCW is on February 24, 2026.

- 13.5 Audit of the PRA's CY 2025 GAD activities disclosed that its GPB was initially submitted on January 2, 2025, and subsequently revised and resubmitted on January 30, 2025. However, the same remains in the GMMS with a status of "for revision," which means that it has not been endorsed by the PCW.

- 13.6 Inquiry with the concerned personnel disclosed that the GPB was revised based on the comments of the PCW. A copy of the revised GPB and documentation of communications was requested to verify the comments from PCW, however, the concerned personnel was unable to provide it. She explained that she encountered access issues with the GMMS following the recent transfer of workstations; hence, relevant documents cannot be retrieved. She has yet to request new access code to the GMMS with PCW.

- 13.7 Moreover, the non-endorsement of the GPB was primarily due to the late submission of the revised copy by the concerned personnel. As noted in the submitted documents, the PCW comments were issued on January 10, 2025, and the PRA was given 10 working days to submit a revised GPB. However, based on the schedule of activities, the revised version was submitted by the PRA on January 30, 2025, which was beyond the prescribed period of the PCW.
- 13.8 Notwithstanding the absence of endorsement, the Audit Team verified that the PRA has allocated a total GAD budget of P44.942 million or 6.15 percent of its total Corporate Operating Budget (COB) of P730.886 million, which is in accordance with the requirement of at least five percent under the PCW-NEDA-DBM JMC No. 2022-01.
- 13.9 Meanwhile, the PRA was unable to prepare and submit its CY 2025 GAD AR within the prescribed deadline, contrary to PCW-NEDA-DBM JMC No. 2022-01. Instead, a list of GAD activities indicating the dates of implementation and remarks was submitted to the Audit Team, without accompanying supporting documents, such as attendance sheets, activity reports, or other relevant documents.
- 13.10 The Audit Team noted that only one personnel was assigned to handle the GAD-related activities and reports, which may be difficult given that she has regular tasks to perform. Furthermore, inquiry disclosed that the concerned personnel failed to attend to several requirements for GAD-related activities and reports due to competing workload demands in her capacity as Records Officer. She also acknowledged lapses in the monitoring of GAD activities, noting that the GAD function was being performed as an additional responsibility alongside her regular duties.
- 13.11 Consequently, the planned GAD interventions did not undergo the prescribed review and endorsement process, thereby limiting the assurance that these are fully aligned with gender-responsive planning and budgeting guidelines and responsive to identified gender issues within the agency.
- 13.12 Likewise, due to the non-submission of GAD AR, together with the supporting documents, the Audit Team was unable to verify whether the GAD activities were actually implemented by the PRA, and the GAD funds were properly utilized and reported in accordance with applicable laws, rules, and regulations.
- 13.13 **We recommended, and Management agreed, to:**
- a. **Direct the GFPS to ensure the timely preparation and submission of the revised GPB and the GAD AR to the PCW by establishing internal timelines that will allow completion and submission prior to the prescribed deadlines and facilitate the timely endorsement thereof;**
 - b. **Establish and maintain a systematic documentation and monitoring mechanism for all GAD-related activities, including the retention of complete supporting documents to substantiate implementation, accomplishments, and results; and**

- c. **Reassess the workload associated with GAD activities and, where warranted, designate additional personnel to assist in the preparation of GAD-related reports, monitoring of activities, and maintenance of documentation to ensure timely compliance with all the GAD requirements.**

COMPLIANCE WITH TAX LAWS

- 14. Taxes withheld for the month were remitted on or before the 10th day of the following month, except those withheld in December, which were remitted on or before the 15th day of January of the following year.

In compliance with applicable tax laws and regulations, information on taxes and licenses paid or accrued during the taxable year 2025 was disclosed in Part I of this Report, specifically under Note 31 of the Notes to Financial Statements. The taxes are withheld and remitted to the Bureau of Internal Revenue in accordance with the deadlines on payment/remittance of taxes prescribed by the National Internal Revenue Code, as amended.

COMPLIANCE WITH GOVERNMENT SERVICE INSURANCE SYSTEM (GSIS), HOME DEVELOPMENT MUTUAL FUND (HDMF), AND PHILIPPINE HEALTH INSURANCE CORPORATION (PHILHEALTH) LAWS

- 15. In CY 2025, the PRA complied with Title III, Section 18 of the Implementing Rules and Regulations of RA No. 7875, as amended in the payment of national health insurance premium contributions to the PhilHealth.

Moreover, PRA also complied with Rule VII, Section 3 of the Implementing Rules and Regulations of RA No. 9679 in the collection and remittance of contributions/premiums to the Pag-IBIG Fund.

Further, in CY 2025, PRA complied with the rules and regulations implementing the GSIS Act of 1997, particularly on the collection and remittance of contributions/premiums to GSIS as follows:

- a. Mandatory monthly contribution of covered employees and employer in accordance with Section 18 of the GSIS Act of 1997; and
- b. Remittance of employees' and employers' contributions and employees' compensation premiums within the due date, pursuant to Section 19 of the GSIS Act of 1997.

COMPLIANCE WITH PROPERTY INSURANCE LAW

- 16. For CY 2025, PRA insured certain government properties, particularly its motor vehicles, with the GSIS, pursuant to RA No. 656, otherwise known as the "Property Insurance Law," as amended by PD No. 245. Audit noted that only selected properties were initially covered by insurance, while other properties and assets with insurable interests

remained uninsured at the time of audit. Management is currently finalizing the schedule of uninsured properties for submission to the GSIS. The insured properties had a total insurance coverage amounting to P3.350 million, with corresponding insurance premiums paid totaling P16,371.

SUMMARY OF SUSPENSIONS, DISALLOWANCES AND CHARGES

17. The summary of audit suspensions and disallowances for CY 2025 is shown in Table 25, while the corresponding details and status thereof are presented in Part IV, Annex A of this Report. No audit charges were issued during CY 2025.

Table 25 - Audit Suspensions and Disallowances

	Beginning balance January 1, 2025	Issued	Settled	Ending balance December 31, 2025
Suspensions	P 2,231,334.89	P -	P 256,202.50	P 1,975,132.39
Disallowances	2,437,458.29	-	-	2,437,458.29
Charges	-	-	-	-
Total	P 4,668,793.18	P -	P 256,202.50	P 4,412,590.68

PART III - STATUS OF IMPLEMENTATION OF PRIOR YEAR'S AUDIT RECOMMENDATIONS

Of the 115 audit recommendations embodied in the prior year's Annual Audit Report (AAR), 65 were fully implemented and 50 were not implemented. Details are as follows:

Reference	Observations	Recommendations	Actions Taken/Comments
<u>FINANCIAL</u> AAR 2024 Audit Observation (AO) No. 1, page 60	The Right-of-Use (ROU) Asset account, with year-end balance of P100.350 million and its corresponding Accumulated Depreciation were both overstated by P65.373 million and P66.490 million, respectively, while the Depreciation Expense, Lease Payable, and other accounts were either overstated or understated in various amounts, due to: (a) non-derecognition of ROU asset for the paid and expired two lease contracts; (b) erroneous recording of rental expenses; (c) over-recording of depreciation expenses; and (d) non-recognition of remeasurement values for lease extensions, contrary to Paragraph 15 of the Philippine Accounting Standard 1 and Paragraphs 5, 40 and 41 of the Philippine Financial Reporting Standard 16.	We recommended that Management direct the FMD to: a. Effect the necessary adjustments to correct the misstatements; b. Exercise due diligence in the recording of lease-related transactions by ensuring compliance with PFRS 16 provisions and prescribed Charts of Accounts for Government Corporations; c. Closely monitor other expiring contracts to ensure the timely derecognition of previously recorded ROU asset and the related accumulated depreciation; and d. Establish accounting guidelines aligned with the PFRS 16 as a guide in preventing erroneous recording of lease transactions.	 Fully Implemented Fully Implemented Not Implemented Reiterated and updated, as discussed under Observation No. 6, Part II – Observations and Recommendations of this Report. Not Implemented The updated Financial Management Manual is currently being developed by a hired consultant.
AAR 2024 AO No. 2, page 65	The Deferred Tax Assets, Deferred Tax Liabilities and Retained Earnings	We recommended that Management direct the FMD personnel to:	

Reference	Observations	Recommendations	Actions Taken/Comments
	accounts were net understated by P34.233 million, P1.234 million, and P32.998 million, respectively, due to: (a) improper adjustments made by the FMD in CY 2023 to reconcile balances as at December 31, 2022; and (b) errors in the recording and adjustment of temporary differences arising from Unearned Income and Unrealized Foreign Exchange Losses, contrary to Paragraph 15 of the Philippine Accounting Standard (PAS) 1 and Paragraph 5 of PAS 12, thereby, affecting the fair presentation of the balances of said accounts in the financial statements as at year-end.	a. Effect the necessary adjustments to correct the understatement of the DTA, DTL, and RE accounts by P34.233 million, P1.234 million, and P32.998 million, respectively; b. Develop and implement a formal reconciliation process that links the unrealized FOREX gains and losses recognized in the prior year to the corresponding realized amounts upon maturity; c. Establish accounting guidelines for the recognition of DTA and DTL to ensure a consistent framework for measuring, recording, and disclosing deferred taxes-related transactions, thereby serving as a guide for FMD personnel; d. Expedite the reconciliation of DTA/DTL's previous balances, and incorporate them into the SLs to be maintained for each account, thereby facilitating the preparation of detailed schedules and income tax returns, as well as improving monitoring and verification; and e. Implement a documented turnover protocol for FMD personnel to preserve institutional knowledge, and ensure the availability of complete working papers/ documentation,	Not Implemented Reconciliation activities are ongoing but have yet to be completed. Not Implemented Reconciliation activities are ongoing but have yet to be completed. Not Implemented The updated Financial Management Manual is currently being developed by a hired consultant. Not Implemented Reconciliation activities are ongoing but have yet to be completed. Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
		thereby supporting continuity of accounting practices despite changes in staffing.	
	Absence of SLs for DTA and DTL accounts, as well as the questionable reliability of the reversal of DTA and DTL balances recognized from Unrealized Loss and Gain on FOREX in CY 2023, due to incomplete supporting documents.	We recommended, and Management agreed, to: a. Develop and implement a formal reconciliation process that links the unrealized FOREX gains and losses recognized in the prior year to the corresponding realized amounts upon maturity; b. Submit to the Audit Team a detailed schedule supporting the adjustments made to the DTA-UL and DTA-UG, to aid the users and readers in understanding the basis for such reversals; and c. Maintain SLs for FOREX transactions from which the DTA and DTL are derived, to support the corresponding tax reversals.	Not Implemented Reconciliation activities are ongoing but have yet to be completed. Fully Implemented Not Implemented Suppliers' subsidiary ledgers are not yet completed.
AAR 2024 AO No. 3, page 71	The Accounts Receivable-Annual PRA Fee (APF)/ Visitorial Fee (VF)/ Harmonization Fee (HF) and the Unearned Revenue—APF/VF/HF accounts were overstated by P15.636 million and P16.236 million, respectively, while the Unrealized Gain on Foreign Exchange account was	We recommended that Management direct the FMD personnel to: a. Effect the necessary adjustments to correct the over/ (under)statement of accounts; b. Strictly comply with the accrual basis of accounting, as well as refrain from recording fees for future periods under the UR account, unless actual	Fully Implemented Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	understated by P0.604 million, due to: (a) misapplication of full year of PRA fees for Calendar Years 2024 to 2025; and (b) errors in the year-end revaluation of foreign currency balances, contrary to Paragraphs 4.16 and 4.4 (a) of the Philippine Accounting Standard 1 and Qualitative Characteristics 12 and 15 of the Conceptual Framework for General-Purpose Financial Reporting.	cash payments have been received in advance from retiree-members; c. Where feasible, implement automated controls in the receivable tracking and revaluation processes to minimize manual errors and promote consistency in the preparation of accounting reports; and d. Provide capacity-building initiatives or training to personnel responsible for revaluation and financial reporting to enhance the accuracy and reliability of financial information. It is further recommended that the FMD Head conducts a thorough review for material adjustments before recording them in the books to minimize the risk of misstatements.	Not Implemented Procurement of accounting system has been deferred until CY 2026. Fully Implemented Fully Implemented
AAR 2024 AO No. 4, page 75	The Allowance for Impairment – Annual PRA Fee/ Management Fee, Impairment Loss and Retained Earnings Accounts were overstated by P77.268 million (net); P78.740 million; and P1.472 million, respectively, due to: (a) incorrect calculations of impairment provisions; and (b) erroneous adjustments for collection recoveries and the derecognition	We recommended, and Management agreed, to direct the FMD personnel to: a. Effect the necessary adjustments to correct the over(under) statement of accounts; b. Strictly comply with the accrual basis of accounting, and refrain from recording fees for future periods under the Unearned Revenue account unless actual cash payments have been received in advance from retiree-members;	Fully Implemented Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	of overdue accounts from withdrawn retirees, contrary to Qualitative Characteristic 12 of the Conceptual Framework for General Purpose Financial Reporting and Paragraph 34 of the Philippine Accounting Standard 8, thereby affecting the fair presentation of the balances of the said accounts in the year-end financial statements	c. Where feasible, implement automated controls in the receivable tracking and revaluation processes to minimize manual errors and promote consistency in the preparation of accounting reports; and d. Provide capacity-building initiatives or training to personnel responsible for revaluation and financial reporting to enhance the accuracy and reliability of financial information.	Not Implemented Procurement of accounting system has been deferred until CY 2026. Not Implemented Reiterated and updated, as discussed under Observation No. 5, Part II – Observations and Recommendations of this Report.
AAR 2024 AO No. 5, page 78	The Withholding Tax at Source account, with a year-end balance of P18.911 million, along with the Income Tax Payable account, were overstated by P4.155 million (net) and P13.384 million, respectively, while the Retained Earnings account was understated by P9.229 million, resulting from: (a) erroneous adjustments of prior year transactions arising from improper recognition and non-recording of creditable withholding tax (CWT) utilization; and (b) premature recognition of CWT intended for use in CY 2025, contrary to	We recommended, and Management agreed, to direct the FMD to: a. Effect the necessary adjustments to correct the erroneous entries that overstated the WTS and ITP accounts, and understated the Retained Earnings account; b. Maintain a subsidiary ledger for the WTS account and an updated schedule documenting all creditable taxes withheld and applied, to ensure systematic monitoring and traceability; c. Attend tax regulation trainings relevant to PRA operations to enhance the knowledge and competencies of personnel handling tax-related tasks;	Fully Implemented Fully Implemented Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	Qualitative Characteristics 12 and Paragraph 4.3 of the Conceptual Framework for General Purpose Financial Reporting.	d. Strictly apply CWTs in the period when the related income is earned or received, as required under BIR RR No. 02-98. Also, exercise prudence in the recording of transactions pertaining to the recognition and application of CWTs in filing income tax returns, to avoid the forfeiture of tax credits due to late or non-utilization;	Fully Implemented
		e. Ensure that the Head of FMD implements effective and adequate supervision over personnel preparing adjustments, considering similar errors in the WTS account have recurred for three consecutive years; and	Fully Implemented
		f. Reconcile the unapplied CWTs recorded in the WTS account with those applied CWTs per ITRs from previous years to assess whether the outstanding balance of P10.522 million should remain classified as an asset, given the apparent lack of economic benefits. Thereafter, effect the necessary adjustments.	Not Implemented Retrieval of supporting documents for the reconciliation is still ongoing.
AAR 2024 AO No. 6, page 83	The faithful representation of the Trust Liabilities (TL) - Visa Deposits (VDs) and Interest on VDs accounts totaling P21.734 billion as at year-end, was not established due to:	We reiterated our recommendations that a. Direct the FMD to: i. Expedite the reconciliation of the TL-	Not Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	(a) an unaccounted net discrepancy of P222.714 million between their corresponding contra-accounts totaling P21.511 billion; and (b) the non-maintenance of complete subsidiary ledgers for various retiree-members (RM) to support the related general ledger balances, contrary to Paragraph 15 of the Philippine Accounting Standard 1 and Qualitative Characteristics 26 of the Conceptual Framework for General Purpose Financial Reporting. Furthermore, the interest earned from the RMs' VDs in CY 2024, totaling P235.557 million, was recognized as interest income instead of as TL-interest on VDs, despite the absence of approved authority, contrary to Section 3, Rule VIII-A of the Implementing Rules and Regulations of Executive Order No. 1037, thereby casting doubt on the validity of the recognized revenue and the accuracy of the reported balance of the TL-interest on VDs account.	VDs and Interest on VDs accounts with their corresponding contra-accounts to identify and address the P222.714 million discrepancy, and thereafter, effect the necessary adjustments; ii. Assign qualified permanent employee/s to manage and reconcile the subject accounts, ensuring proper supervision and continuous monitoring to support reliable financial reporting; iii. Assign additional JO personnel to assist in the preparation and updating of SLs, on top of their usual tasks, with strict supervision and submission of monthly outputs to the FMD Head, while maintaining coordination with the Resident Retiree Servicing Department and the Information and Communication Technology Division for necessary support; iv. Formulate written accounting guidelines and standard operating procedures for FMD personnel regarding TL and ONCA-RF-VDs transactions, with inputs from Unit/Section Heads – FMD, for review and approval by the competent authority;	Reiterated and updated, as discussed under Observation No. 3, Part II – Observations and Recommendations of this Report. Fully Implemented Not Implemented Creation of new job order position to assist in the reconciliation process is pending due to ongoing reorganization. Not Implemented The updated Financial Management Manual is currently being developed by a hired consultant.

Reference	Observations	Recommendations	Actions Taken/Comments
		v. Coordinate with the Legal Unit to clarify PRA's authority under EO No. 1037 concerning interest from VDs in the DBP; and	Not Implemented Reiterated and updated, as discussed under Observation No. 2, Part II – Observations and Recommendations of this Report.
		vi. Adjust prior interest income entries retroactively, where applicable, by crediting the corresponding amounts to the TL – Interest on VDs account, pending the execution of a valid sharing agreement;	Not Implemented Reiterated and updated, as discussed under Observation No. 2, Part II – Observations and Recommendations of this Report.
		b. Formalize the sharing agreement regarding interest earned from VDs through an approved Board Resolution, and incorporate the same in the VD guidelines to ensure transparency and accountability of the PRA to its stakeholders. Discontinue the recognition of interest income in the absence of proper authority and legal basis; and	Not Implemented Reiterated and updated, as discussed under Observation No. 2, Part II – Observations and Recommendations of this Report.
		c. Appoint the Internal Audit Division or designate a compliance officer/team/focal unit to monitor the prompt implementation of audit recommendations, prepare action plans with timelines, and provide	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
		status reports to the PRA Board for appropriate action and to COA.	
AAR 2024 AO No. 7, page 89	The correctness of the carrying amount of Accounts Receivable (AR), totaling P77.467 million, could not be established due to the continued application of an age-based approach in computing its impairment, contrary to the requirements of Philippine Financial Reporting Standard (PFRS) 9 on the recognition and measurement of Expected Credit Losses (ECL) using a forward-looking approach. Furthermore, PRA failed to provide proper and adequate disclosures regarding the estimation methods and assumptions applied in determining ECLs, which is inconsistent with Philippine Accounting Standard 1 and PFRS 7.	We recommended that Management direct the FMD to: a. Immediately prioritize the development and adoption of an ECL model that is fully aligned with the PFRS 9 requirements; b. Institutionalize a formal written accounting policy for the measurement of ECL based on the established ECL model consistent with PFRS 9, in consultation with relevant units/divisions; c. Strengthen the capacity of concerned personnel through participation in training sessions on PFRS; and d. Revise and harmonize the disclosures in the Notes to the Financial Statements to ensure consistency with the actual impairment methodology applied.	Not Implemented Reiterated and updated, as discussed under Observation No. 5, Part II – Observations and Recommendations of this Report. Not Implemented Reiterated and updated, as discussed under Observation No. 5, Part II – Observations and Recommendations of this Report. Not Implemented Reiterated and updated, as discussed under Observation No. 5, Part II – Observations and Recommendations of this Report. Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	Dormant AR amounting to P43.756 million were retained in the books without appropriate without derecognition.	We recommended that Management: a. Formulate and adopt a formal policy aligned with COA Circular No. 2023-008 to govern the identification, assessment, and derecognition of dormant accounts, including the preparation of required documentation, and conduct of internal evaluation; b. Designate an Investigation Committee, if warranted, to conduct the required investigation based on the reports submitted by the FMD; and c. Direct the FMD to: 1. Perform immediately the procedures enumerated under Section 7.1 of the Circular, and submit the required reports to the Agency Head. Also, instruct the FMD to identify all dormant receivable accounts in PRA's books that meet the ten-year threshold, and thereafter, submit to COA the	Not Implemented The updated Financial Management Manual is currently being developed by a hired consultant. Not Implemented There is inadequacy of personnel, time and effort required to locate old records and other supporting documents necessary for the processing of Requests for Write-Off Dormant Accounts with the COA. Not Implemented Collection notices and final demand notices for accounts with unpaid balances exceeding three years are still being issued.

Reference	Observations	Recommendations	Actions Taken/Comments
		corresponding Schedule of Dormant Receivables;	
		2. Oversee compliance with COA Circular No. 2023-008 and to regularly monitor the aging and disposition status of receivables; and	Not Implemented Collection notices and final demand notices for accounts with unpaid balances exceeding three years are still being issued.
		3. Seek clarification from the COA-Central Office as to whether request for write-off will be accepted beyond the one-year period prescribed under COA Circular No. 2023-008 dated August 17, 2023.	Not Implemented Collection notices and final demand notices for accounts with unpaid balances exceeding three years are still being issued.
AAR 2024 AO No. 8, page 95	The correctness of the Cash-in-Bank (CIB) account, with a year-end balance of P152.031 million, could not be established due to: (a) a material net variance of P82.668 million between the book balances and confirmed bank balances at year-end, primarily caused by unadjusted book reconciling items amounting to P62.939 million, accounting errors, stale checks totaling P2.622 million, and delays in the preparation of	We recommended that Management require the FMD to: a. Immediately reconcile and adjust unrecorded credit/deposits and stale checks for CY 2024 and prior years, ensuring that all adjustments are properly documented. Likewise, continue reconciling other unidentified items and effect the necessary adjustments; b. Strengthen the preparation and timely submission of monthly BRSs for all accounts, both peso and foreign currency, in	 Not Implemented Reiterated and updated, as discussed under Observation No. 4, Part II – Observations and Recommendations of this Report. Not Implemented Reiterated and updated, as discussed under

Reference	Observations	Recommendations	Actions Taken/Comments
	Bank Reconciliation Statements; and (b) an abnormal year-end balance of P12.882 million, which reduced the reported CIB balance. These conditions are not in consonance with Paragraph 15 of the Philippine Accounting Standard 1 and Paragraph 7 of Philippine Financial Reporting Standard 7, thereby affecting the fair presentation of the CIB account balance in the financial statements.	compliance with Sections 4, 6, and 7 of GAM, and monitor stale checks to ensure timely adjustments of both BRIs and stale checks within the year; c. Maintain regular communication with depository banks (LBP and DBP) to ensure the timely receipt of debit/credit memos, including resolution of outstanding items from previous years; d. Require the Treasury Unit to prepare a daily or weekly cash position report to monitor cash balances against obligations, and to prevent excessive withdrawals; e. Assign a staff member responsible for cash account monitoring and bank reconciliation, ensuring accountability for the timely preparation of reports and adjustments; and hold said staff accountable for lapses in compliance; f. Develop a fund transfer policy that clearly defines responsibilities, approval hierarchies, thresholds, and monitoring mechanisms to ensure consistency and effective cash management; g. Conduct regular training sessions for FMD staff on cash management, bank	Observation No. 4, Part II – Observations and Recommendations of this Report. Fully Implemented Fully Implemented Fully Implemented Fully Implemented Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
		reconciliation, and financial reporting, with a focus on timely reconciliations and accurate record-keeping.	
	Delay in the reactivation of the dormant bank account maintained with the DBP.	We recommended, and Management agreed, to comply with all the DBP requirements, including obtaining Board approval, to expedite the reactivation of the dormant account. Subsequently, assign the preparer of BRSs to regularly monitor bank transactions across all bank accounts to mitigate the risk of future dormancy.	Fully Implemented
AAR 2024 AO No. 9, page 101	The correctness of the Accounts Payable (AP) account, which had a year-end balance of P53.935 million, could not be ascertained due to: (a) long-outstanding obligations of P25.276 million, consisting of stale checks and obligated accounts; (b) accounts with negative balances of P2.816 million, reducing the AP balance; and (c) non-maintenance of individual subsidiary ledgers for each PRA creditor/supplier, contrary to Qualitative Characteristics 12 and 26 of the Conceptual Framework for General Purpose	We recommended that Management direct the FMD to: a. Effect the necessary adjustments to correct the misstatements in the affected accounts; b. Continue reviewing and analyzing the identified long-outstanding accounts, including transactions that resulted in negative balances, and ensure these are adequately supported with proper documents prior to making the necessary adjustments; c. Assign dedicated personnel to conduct the reconciliation, and retrieve documents, and set a timeline for the completion of the reconciliation and preparation of adjustments, to address the recurring	Fully Implemented Not Implemented Reconciliation process is still ongoing. Not Implemented Reconciliation process is still ongoing.

Reference	Observations	Recommendations	Actions Taken/Comments
	Financial Reporting (CFGPFR). Furthermore, both the AP and Repairs and Maintenance-Machinery and Equipment accounts were overstated by P0.776 million due to the premature recognition of 50 percent of the contract price for preventive maintenance services, despite the absence of actual service delivery as at year-end, contrary to Paragraph 4.15 of CFGPFR.	issues on long-outstanding and negative AP account balances; d. Ensure, moving forward, that all recorded payables are supported with complete documentation, so that only valid obligations are included in the AP account. Exercise due diligence in the preparation of adjustments to prevent negative balances; e. Prioritize, in collaboration with the ICTD, the preparation and maintenance of individual SL for each PRA creditor/supplier to determine the correct amount due to each, and reconcile these with the AP general ledger and AP Schedule; f. Review and monitor the preparation of SLs by the concerned personnel to ensure the use of an appropriate format that accurately reflects the amount due to each creditor/supplier. Thereafter, submit the SLs to COA for verification. SLs should be regularly printed and filed regularly to maintain hard copies as part of the PRA's permanent accounting records; and g. Perform quarterly reconciliation of the account balances reflected in the GL, SL, and Schedules,	Not Implemented Reconciliation process is still on-going. Not Implemented Subsidiary Ledgers for suppliers have not yet been completed. Not Implemented Subsidiary Ledgers for suppliers have not yet been completed. Not Implemented Subsidiary Ledgers for

Reference	Observations	Recommendations	Actions Taken/Comments
		instead of limiting such reconciliation to year-end, to ensure the accuracy of financial information.	suppliers have not yet been completed.
AAR 2024 AO No. 10, page 106	The correctness of the Restricted Funds (RF) account, with a year-end balance of P21.182 billion, could not be established due to a variance of P101.538 million between the book balance and the confirmed balance from the Development Bank of the Philippines (DBP) for Other Non-Current Assets (ONCA)-RF-Visa Deposits (VDs) Receiving and Disbursing accounts. The discrepancy arose from long-outstanding book reconciling items, with variances of P(45.557) million in the Receiving account and P147.096 million in the Disbursing account, contrary to Paragraph 15 of the Philippine Accounting Standard 1.	We recommended that Management direct the FMD Head to: a. Prioritize the reconciliation of ONCA-RF-VD Receiving and Disbursing accounts maintained with DBP, investigate long-outstanding items, and prepare adjusting entries by verified documentation; b. Strengthen the monthly preparation and submission of BRSs for ONCA-RF-VD accounts, in compliance with Sections 4, 6, and 7 of GAM, and enhance the review and monitoring process to ensure timely adjustments within the year; and c. Designate specific personnel accountable for the monitoring and reconciliation of ONCA-RF-VD accounts, provide them with relevant training, and ensure documentation of procedures to mitigate the impact of staffing changes.	Not Implemented Reiterated and updated, as discussed under Observation No. 2, Part II – Observations and Recommendations of this Report. Not Implemented Reiterated and updated, as discussed under Observation No. 2, Part II – Observations and Recommendations of this Report. Fully Implemented
AAR 2024 AO No. 11, page 108	The fair presentation of the Income Tax Payable (ITP) account, which had a year-end balance of P72.533 million, could	We recommended that Management direct the FMD to: a. Reconcile the ITP account by (i) implementing prior	Not Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	not be established due to a discrepancy of P14.593 million between the ITP year-end balance account and the income tax due of P87.126 million reflected in the CY 2024 amended Annual income Tax Return, contrary to Qualitative Characteristics 12 of the Conceptual Framework for General Purpose Financial Reporting and Philippine Accounting Standard 12.	audit recommendations to correct overstatement of P17.193 million, and (ii) reconstructing prior years' quarterly tax accruals based on actual cumulative taxable income, and subsequently comparing the results with the ITP account balance in the books to effect the necessary adjustments;	Ongoing reconciliation and retrieval of supporting documents to substantiate the proposed adjustments.
		b. Refrain from using the ITP account for recognizing deferred taxes, in compliance with PAS 12;	Fully Implemented
		c. Develop and implement an accounting guidelines that outline detailed procedures and corresponding journal entries for income tax transactions, including recording of tax credits, interest penalties, and deferred taxes, to ensure consistency and minimize errors among accounting staff;	Not Implemented The updated Financial Management Manual is currently being developed by a hired consultant.
		d. Require senior accounting personnel to review all adjustments and reconciliations before recording, and provide staff with opportunities to attend tax seminars to stay updated on tax regulations; and	Fully Implemented
		e. Henceforth, exercise due diligence in the preparation and recording income tax transactions to ensure that only amounts due to the BIR, and their	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
		related adjustments, are recorded.	
		Moreover, in view of the persistence of the issue and the high risk of recurrence, we further recommended that the Internal Audit Division (IAD) evaluate the accounting systems related to tax transactions, identify weaknesses or inefficiencies, and recommend improvements in tracking, automation (if applicable), and reporting mechanisms. Where feasible, the IAD should also assist the FMD in establishing standardized accounting procedures for tax-related transactions, including the correct treatment of tax credits, deferred taxes, and interest penalties.	Fully Implemented
AAR 2024 AO No. 12, page 111	The correctness of the balance of PPE - Machinery and Equipment, Furniture and Fixtures, Motor Vehicles and other PPE items, with a carrying amount of P14.572 million as at December 31, 2024, could not be established due to various deficiencies, such as: (a) missing/non-existent items amounting to P9.743 million; (b) unrecorded items totaling P2.264 million; and (c) an unreconciled balance of P1.504 million between the general	We recommended that Management direct: a. The Inventory Committee to immediately locate the missing/non-existent items listed in the Summary and thereafter, prepare a final list to be submitted to the Property Officer (PO) for identification of the responsible personnel, based on the Property Acknowledgement Reports; b. The Property Officer (PO) to provide the Agency Head with a list of missing items for the issuance of demand letters to the concerned accountable	Not Implemented Reiterated and updated, as discussed under Observation No. 7, Part II – Observations and Recommendations of this Report. Not Implemented Reiterated and updated, as discussed under Observation No. 7, Part II –

Reference	Observations	Recommendations	Actions Taken/Comments
	ledger and the lapsing schedule, thereby affecting the faithful representation of the PPE account in the financial statements, contrary to Paragraph 15 of the Philippine Accounting Standard 1.	personnel for the retrieval of the PPE;	Observations and Recommendations of this Report.
		c. The concerned personnel to fully cooperate in locating missing ICTE and other items. For items that remained unaccounted for, the PO shall prepare a list and forward it to the FMD for recording of receivables;	Not Implemented Reiterated and updated, as discussed under Observation No. 7, Part II – Observations and Recommendations of this Report.
		d. The PO/concerned unit to immediately prepare a list of PPE items found in workstations, including relevant details, and formally transmit the same to the FMD for reconciliation and proper recording;	Not Implemented Reiterated and updated, as discussed under Observation No. 7, Part II – Observations and Recommendations of this Report.
		e. The ASD to immediately retrieve and submit to the FMD the necessary disposal documents, such as the Inventory and Inspection Reports of Unserviceable Property and Property Transfer Reports, covering donated properties, to facilitate the timely derecognition of disposed items;	Not Implemented Reiterated and updated, as discussed under Observation No. 7, Part II – Observations and Recommendations of this Report.
		f. The ASD and the ICTD to fast-track the transfer/turnover of accountability for ICTE items to facilitate the attachment of property stickers; and	Not Implemented Turnover of equipment is still ongoing.

Reference	Observations	Recommendations	Actions Taken/Comments
		achieve correct financial representation.	
<u>NON-FINANCIAL</u> AAR 2024 AO No. 14, page 119	Various deficiencies were identified in the hiring and placement of 101 Job Order (JO) personnel at PRA, who are assigned to specific agency tasks and responsibilities, resulting in total salary payments of P27.129 million for CY 2024, contrary to the provisions of COA-DBM Joint Circular (JC) No. 2 s. of 2020, and Section 6.2.2 of RA No. 9184 and GPPB Resolution No. 09-2012, as evidenced by the following:	We recommended that Management direct the ASD to: a. Collaborate with concerned Divisions/Units to clearly define the actual duties of each JO personnel, assess PRA's staffing needs based on targeted outputs, and compare these with the current number of hired JO personnel to identify any redundancies or task duplications. Renewal of JO contracts should be based on the agency's actual needs and individual performance, to prevent excessive hiring;	Fully Implemented
	a. The functions performed by the majority of the JO personnel closely resemble those of regular Plantilla positions. Moreover, the imposition of a rotation policy may hinder the continuity and effectiveness of services they are specifically assigned to deliver;	b. Adhere strictly to the approved hiring limits for JOs within the fiscal year to avoid excessive recruitment;	Fully Implemented
		c. Strictly enforce COA-DBM JC provisions and the PRA's internal guidelines and procedures on JO hiring, ensuring that engagements are supported by appropriate documentation, clearly defined duties, and justified operational needs of the concerned Offices/Units;	Fully Implemented
	b. There was an apparent lack of thorough review and assessment of duties and	d. Conduct a comprehensive evaluation of the duties and responsibilities associated with each JO	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	responsibilities required before hiring JO personnel and the number of JO personnel hired exceeded the established limit for CY 2024 by 23, indicating non-compliance with internal controls;	position title, and revise the salary structure by aligning it with job descriptions, comparable government positions, and corresponding SGs. Seek Board approval to formalize this structure as the basis for compensating JO personnel;	
	c. The absence of a comprehensive salary structure for JO position rendered it difficult to establish parity with regular government positions, raising concerns over the propriety, reasonableness, and transparency of salaries paid; and	e. Moving forward, require the attachment of each JO worker's monthly accomplishment report to the corresponding DVs at month-end, to ensure complete supporting documentation for payment of salaries;	Fully Implemented
	d. The hiring of JO personnel for tasks/roles requiring technical and professional expertise, which exceed PRA's in-house capacity, contravenes Section 6.2.2 of COA-DBM JC No. 2-2020 and GPPB Resolution No. 09-2012.	f. Reassess the necessity of engaging a Security Risk Officer and a Foreign Language Interpreter to determine whether the continued services of these positions remain justified; and g. Ensure full compliance with applicable procurement laws and regulations in the engagement of consulting services for the agency.	Fully Implemented
	Consequently, PRA was deprived of the opportunity to engage the most qualified		

Reference	Observations	Recommendations	Actions Taken/Comments
AAR 2024 AO No. 15, page 130	individuals through competitive public bidding or alternative procurement modalities mandated by Republic Act No. 9184, undermining transparency and competitiveness in its procurement processes.	We recommended that Management:	
	Due to the inaccurate computation of taxable income, the PRA paid a total of P5.642 million in deficiency taxes for CY 2022, inclusive of interest of P0.923 million, following the issuance of a Preliminary Assessment Notice by the Bureau of Internal Revenue (BIR) on October 21, 2024, citing discrepancies in PRA's CY 2022 Income Tax Return. The matter is currently under investigation by the BIR, for possible violations of Sections 269 (f) and 272 of the National Internal Revenue Code of 1997.	a. Direct the FMD and Legal Unit to review the PRA's overall compliance with updated tax laws, revenue regulations, and related issuances, to minimize tax exposure with the BIR;	Fully Implemented
		b. Consider designating an accounting personnel to focus specifically on PRA's tax matters, and capacitate the FMD accounting personnel on tax regulations and the proper computation of complex taxes, to ensure accurate reporting of taxable income, tax payments and withheld taxes, and the correct recording of tax adjustments in the books; and	Not Implemented Lack of personnel.
		c. Direct the concerned FMD personnel to file accurate ITRs and properly withhold and remit taxes in accordance with PRA's duty as a government withholding agent, and thereby avoid deficiency taxes, penalties, and	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
		potential civil liabilities under Sections 269 (f) and 272 of the 1997 NIRC.	
AAR 2024 AO No. 16, page 134	Penalty Fees totaling USD40,026.13 or equivalent to P2.108 million, imposed on two accredited depository banks for Visa Deposits, were waived and condoned by the PRA despite the absence of the required COA approval, and any enabling law, executive issuance, or legally authorized waiver procedure, inconsistent with Section 36 of Presidential Decree No. 1445, which may result in the loss of government funds.	We recommended that Management direct FMD to: a. Record the condoned penalties of AB1 and the previously unrecognized penalty of AB2, totaling P1.947 million and P160,423 as PRA's receivables; and thereafter, collect from them; b. Refrain from any future condonation, write-off, or waiver of government receivables without a clear legal basis and prior concurrence from COA or other competent authorities; and c. Ensure that internal financial policies and guidelines are aligned with applicable statutory provisions regarding the authority, process, and documentation required for the waiver or condonation of receivables and other government claims.	Fully Implemented Fully Implemented Fully Implemented
AAR 2024 AO No. 17, page 137	PRA has procured airline tickets for both domestic and international travel of its personnel in CY 2024 from various travel agencies, totaling P5.378 million, through Small Value Procurement	We recommended that Management direct the BAC and its Secretariat to: a. Observe the procurement requirements for airline tickets, either through Competitive Public Bidding or NP-Direct Retail Purchase, (NP-DRP),	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	modality, contrary to GPPB Resolution No. 24-2019, as well as Sections 10, 48.2, and Annex H of the revised Implementing Rules and Regulations of Republic Act No. 9184, hence, the agency was not assured of obtaining the most advantageous price during the procurement process, and additional costs amounting to P42,000 were incurred as service charges. Furthermore, PRA entered into a purchase agreement with Airline Company A for the procurement of airline tickets for a period of one year, subject to renewal, without conducting the required market evaluation, which likewise contravenes the aforementioned procurement provisions.	depending on the modality that best aligns with the PRA's operational needs; and b. Strictly apply the NP-DRP for the purchase of airline tickets for PRA personnel's official travel when CPB is not feasible, by obtaining legitimate quotations directly from various commercial airline companies as supporting documentation, and conducting a thorough evaluation to determine the most reasonable airfare options and to avoid unnecessary service charges. It is further recommended that PRA Management expedite the opening of a corporate account with AC B to take advantage of potentially lower airline rates. It is also recommended that Management adhere to documented procurement methodologies and support all procurement decisions with verifiable and auditable evidence.	Not Implemented Application has been submitted to the Department of Budget and Management (DBM) and is currently awaiting implementation or further instructions. Not Implemented Application has been submitted to the DBM and is currently awaiting implementation or further instructions. Fully Implemented
AAR 2024 Audit Observation (AO) No. 18 page 141	Several deficiencies and lapses were noted in the foreign official travels of some PRA personnel, which were inconsistent with Sections 3 and 16 of	We recommended that Management: a. Discontinue the practice of deploying personnel to PRA's marketing campaigns and activities, whether foreign or local,	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	Executive Order No. 77, and the provisions of the Board-approved PRA Marketing Plan, resulting in irregular and unnecessary expenditures, thereby exposing PRA to risk of loss due to inefficient use of public funds, as follows:	whose regular duties and functions unrelated to such engagements, to maximize the official travels' purpose, minimize unnecessary expenses;	
	a. Incurred traveling expenses and clothing allowance totaling P1.637 million for the overseas trips of personnel whose actual office functions, duties, and responsibilities were either misaligned with or unrelated to the objectives of the travel/events conducted. Their participation was neither critical nor indispensable to the intended outcomes of the events;	b. Limit the number of attendees at fairs, exhibits, and expos to one or two personnel, and minimize travel days by strategically planning detailed itineraries that consolidate marketing activities, inspection visits, embassy calls, and confirmed meetings. Further, evaluate the necessity and expected benefits of participation, as not all events may yield a positive impact on the agency;	Fully Implemented
	b. Lapses in the planning and conduct of overseas marketing activities and campaigns;	c. Establish clear selection criteria and ensure that only qualified personnel are deployed for international marketing events/campaigns to avoid irregular and unnecessary expenses;	Fully Implemented
	c. Foreign travel activities, such as participation in sales missions and the conduct of ocular inspections (OI), were not included in the	d. Prioritize the use of video conferencing in conducting meetings with potential marketers, as an alternative to traditional face-to-face interactions/engagements, to reduce travel-related costs;	Fully Implemented
		e. Strictly require participants of exhibits and expositions to gather complete contact information from leads, not merely for compliance, but	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
		part of the post-travel documentation, to uphold transparency and accountability, substantiate the reasonableness of travel-related expenses, enable the assessment of the effectiveness of such activities. Further, we recommended that Management: a. Discontinue the granting of CAs for representation expenses during foreign travel, as such expenses may only be claimed through reimbursement, subject to the submission of the required supporting requirements; b. Limit the reimbursable expenses to the allowable amounts prescribed by EO No. 77, to avoid possible disallowance in audit; and c. Submit a justification for the incurrence of representation expenses of \$4,043, as approved by the authorized officer, in compliance with Section 16 of EO No. 77, to avoid possible suspension and/or disallowance in audit.	Fully Implemented Fully Implemented Fully Implemented
AAR 2024 AO No. 19 page 159	The allocation and utilization of the PRA Gender and Development (GAD) Budget were found to be compliant with applicable	We recommend that the Management further enhance the effectiveness of its GAD initiatives by expanding gender analysis to other key programs and integrating feedback from beneficiaries,	Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	requirements, and the PRA's GAD Programs were subjected to gender analysis using the Harmonized Gender and Development Guidelines tool. However, eight out of nine GAD Programs in CY 2024 were organization-focused, consisting primarily of seminars/workshops on GAD awareness, which is inconsistent with Annex A of JC No. 2022-01, which emphasizes the need for client-focused and impact-driven activities. Additionally, GAD awareness materials primarily consisted of t-shirts and umbrellas, instead of more effective information, education, and communication (IEC) materials such as brochures, pamphlets, or videos, leading to limited retention and reinforcement of GAD knowledge among PRA personnel. Moreover, the implementation of GAD Activity No. 5, pertaining to the participation of employees in the 18-Day Campaign to End	especially women retirees, to improve program responsiveness and sustainability. Also, we recommended that Management: - Continue full compliance with GAD-related laws, rules, and regulations, particularly the revised guidelines on the preparation of the GPB and AR pursuant to PCW-NEDA-DBM JC No. 2022-01 dated December 28, 2022; - Require and instruct the GFPS to: - Reevaluate the performance indicators used to measure the effectiveness of GAD activities focused on employees, to ensure a better retention of learning and improved utilization of allocated GAD funds; - Reassess the selection of IEC materials for GAD PAPs. Limit the purchase of t-shirts, and/or discontinue altogether, if warranted, and instead prioritize more impactful IEC materials and activities to enhance the GAD awareness campaign; - Reorient future GAD planning to be more client-focused, in line	Fully Implemented Not Implemented Not Implemented Fully Implemented

Reference	Observations	Recommendations	Actions Taken/Comments
	Violence Against Women, was not aligned with the official campaign dates set under Proclamation No. 1172, s. 2006, thereby diminishing its intended impact. Also, the actual distribution of around 28 percent and 15 percent of the procured t-shirts and umbrellas, respectively, could not be verified due to the absence of a detailed and specific list of recipients, casting doubt on the reliability of the reported distribution.	with the directive under JC No. 2022-01, including the identification of gender issues affecting retiree-members, and the development of responsive programs align with the agency's core services; 4. Submit a justification for the excessive procurement of t-shirts in support of GAD activities, including an account of the undistributed items; and 5. Henceforth, establish a more efficient procurement timeline for GAD-related IEC materials to ensure timely delivery and optimize the effectiveness of GAD PAPs; and c. Instruct the BAC to submit a written explanation on the delayed procurement of t-shirts intended for the "18-Day Campaign to End Violence Against Women," as the delay rendered them unusable for their intended purpose and schedule.	Fully Implemented Not Implemented No IEC materials have been purchased to date. Fully Implemented

**Status of Unsettled Audit Suspensions and Disallowances
As at December 31, 2025**

I. Notices of Suspension (NS)

NS No. / Date	Persons Responsible	Nature of Suspension	Amount	Status
2011-11/ 11-29-11	Division Chief – Administration, Officer in Charge (OIC)-Client Relations, former Executive Assistant, Assistant Officer II (retired), Management & Audit Analyst I, former Management & Audit Analyst II	Cash Advances related to the “Family Day” celebration on September 26, 2011	P 18,500.00	Matured into disallowance. For issuance of Notice of Disallowance (ND).
2012-001 (11)/ 02- 08-12	Payee, former Department Manager (DM) - Administration & Finance, former Deputy General, DM - Marketing	Various disbursement vouchers that lack supporting documents	53,387.76	Matured into disallowance. For issuance of ND.
2012-002 (11)/ 03- 14-12	Payee, former Manager – Administration and Finance, Division Chief-Finance, Manager – Resident Retiree Servicing Department, Assistant Officer I (retired)	Various disbursement vouchers that lack supporting documents	3,060.00	Matured into disallowance. For issuance of ND.
2012-008 (11)/ 10- 05-12	Payee, former General Manager, former Manager – Administration and Finance, Division Chief-Finance, Davao Satellite Officer	Payment for monetization of 40 days leave credits	44,567.27	Matured into disallowance. For issuance of ND.
2013-01 (12)/ 01- 10-13	Division Chief-Finance, Davao Satellite Officer, former Deputy Manager	Payment for aircon repair of vehicle, Hyundai Starex, at the Davao Satellite Office	5,079.02	Matured into disallowance. For issuance of ND.
2013-03 (12)/ 01- 10-13	Division Chief-Finance, former Manager – Administration and Finance	Payment for the purchase of various office supplies	50,538.34	Matured into disallowance. For issuance of ND.
24-001 (2023- 2024)/ 04-02-24	Payee, Division Chief-Finance and Management Division (FMD), Former General Manager/Chief Executive Officer (CEO)	Lack of supporting documents in payment of honoraria	1,800,000.00	Submitted documents/ justifications are currently under review.
Total			P1,975,132.39	

II. Notices of Disallowance (ND)

ND No. / Date	Persons Liable	Nature of Disallowance	Amount	Status
2010(07)– 03, 04, 07, 10, 11,12/ 07/27/2010	Former Division Chief III, Division Chief III, former Division Chief II, former Assistant II, former Audio-Visual Aide Technician III	Payment for unauthorized Cost of Living Allowance (COLA), amelioration, additional COLA, rice, children's and medical allowances for the period October 2, 1995 to March 8, 1999	P1,036,768.21	With COA Order of Execution dated June 30, 2015. P33,300.00 was partially settled as at December 31, 2025.
2010(09)– 01, 02, 03/ 03/22/2011	Payee, former Acting General Manager, former OIC-Administration & Finance Department, Division Chief Finance, Budget Officer, Supply Officer II, former OIC-Admin, Development Bank of the Philippines Service Corporation Associate, former Manager – Administration and Finance, OIC-Marketing Department, OIC-Management Support Office, OIC – Management Information System	Purchase of various garden tools for the tree-planting program held on December 12, 2009	1,002,500.02	Under appeal to the Office of the Cluster Director.
2021(19)– 001 10/11/2021	Payee, former Chief Accountant, General Manager/CEO, Deputy General Manager, Accountant III, Acting Budget Officer III, Former Chief Accountant	Withheld salaries of person liable applied as partial payment to a final and executory ND were refunded/ returned to her by the PRA despite the fact that the total amount of disallowance was not yet settled	232,628.00	Under appeal to the Office of the Cluster Director.
2023-001 (2022) – 03/10/2023	Payee, Received the Daily Subsistence Allowance (DSA)	Excessive Per Diem/ DSA	27,384.55	Filed an appeal on September 15, 2023.
2023-002 (2022) – 03/10/2023	Payee, Received the DSA	Excessive Per Diem/ DSA	27,384.55	Filed an appeal on September

ND No. / Date	Persons Liable	Nature of Disallowance	Amount	Status
				15, 2023.
2023-004 (2022) – 03/10/2023	Payee, Received the DSA	Excessive Per Diem/ DSA	22,396.48	Filed an appeal on September 15, 2023.
2023-005 (2022) – 03/10/2023	Payee, Received the DSA	Excessive Per Diem/ DSA	22,396.48	Issued Notice of Settlement dated January 28, 2026.
24-001 (2023- 2024)/ 12/09/2024	Payee, CEO/General Manager, Former CEO/General Manager/ Department Manager- Administrative and Finance Services Department, Administrative Officer- Administrative Support Division, Division Chief-FMD	Lack of legal basis in payment of Representation and Transportation Allowance for the period November 16, 2023 to May 15, 2024	66,000.00	Filed an appeal on June 9, 2025.
Total			P2,437,458.29	